



FINANCE DEPARTMENT GOVERNMENT OF SIKKIM



ANNUAL CONSOLIDATED AUDIT REPORT *on the accounts of Panchayati Raj Institutions & Municipalities* FOR THE FINANCIAL YEAR 2023-24

(To be laid before the Legislature, as required under Section 19 of the Sikkim Local Fund Audit Act, 2012)

**DIRECTORATE OF LOCAL FUND AUDIT
GANGTOK**



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I, P.S. Tamang (Golay), Minister-in-Charge of the Finance Department, do hereby authenticate the Annual Consolidated Audit Report on the Accounts of Panchayati Raj Institutions and Municipalities for the Financial Year 2023-24.

I approve the same for placing it on the table of the Sikkim Legislative Assembly.

Prem Singh Tamang
(Golay)

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PREFACE

The Directorate of Local Fund Audit (DLFA), a division under the Finance Department, Government of Sikkim, was established in compliance with the recommendations of the Eleventh Finance Commission, through the enactment of the Local Fund Audit Act 2012. The DLFA is empowered to conduct audits on the accounts of local bodies, specifically the **Panchayati Raj Institutions (incorporated under the Sikkim Panchayat Act 1993 as amended) and the Municipalities (incorporated under the Municipalities Act 2007)**.

The DLFA is responsible for producing the Annual Consolidated Audit Report on the accounts of Panchayati Raj Institutions and Municipalities, which is then presented to the State Legislative Assembly by the government. As per Section 19 of the Sikkim Local Fund Audit Act, 2012, the Director sends an annual consolidated report of the audited accounts to the Government. Within three months of receiving this, the government is required to present it before the Legislative Assembly. Additionally, Rule 19 of the Sikkim Local Fund Audit Rules, 2014, stipulates that the Director must send this consolidated report to the Government by 31st March each year.

During the year 2024-25, the DLFA audited the accounts of **205 Panchayati Raj Institutions** (comprising 199 Gram Panchayat Units and 6 Zilla Panchayats for FY 2023-24) and **4 Urban Local Bodies** (consisting of 3 Nagar Panchayats for FY 2022-23 & 2023-24 and 1 Municipal Corporation for FY 2022-23). The results of these audits are compiled in the Annual Consolidated Audit Report (ACAR) for the financial year 2023-24, which is then submitted to the Sikkim Legislative Assembly.

The Annual Consolidated Audit Report for FY 2023-24 is divided into two parts:

- **Part I:** deals with selected audit observations concerning the Panchayati Raj Institutions, including Gram Panchayats and Zilla Panchayats.
- **Part II:** focuses on selected audit observations related to the Municipalities, such as the Nagar Panchayat and Municipal Corporation.

This report aims to provide transparency and accountability in the financial management of local bodies in Sikkim. The audit process is crucial for identifying irregularities, ensuring compliance with rules, and improving the overall financial administration of these institutions.

GLOSSARY OF ABBREVIATIONS

AG	Accountant General
BAC	Block Administrative Center
BDO	Block Development Officer
CAG	Comptroller and Auditor General of India
CAR	Consolidated Audit Report
DLFA	Directorate of Local Fund Audit, Sikkim
DPR	Detailed Project Reports
FFC	Fourteenth Finance Commission
GOS	Government of Sikkim
GP/GPU	Gram Panchayat/Gram Panchayat Unit
LFA	Local Fund Audit, Sikkim
MoRD	Ministry of Rural Development
MC	Municipal Council
OSR	Other Source Revenue
PAA	Panchayat Accounts Assistant
PDA	Panchayat Development Assistant
PRI	Panchayati Raj Institutions
RLB	Rural Local Bodies
SFC	State Finance Commission
SJSRY	Swarna Jayanti Sahari Rozgar Yojana
SPWD	Sikkim Public Works Department
SSR	Sikkim Service Rules, 1979
TFC	Thirteenth Finance Commission
ULB	Urban Local Bodies
VAA	Village Administrative Assistant
VAC	Village Administrative Center
ZP	Zilla Parishad/Panchayat
GPK	Gram Prashasan Kendra
ORDP	Other Rural Development Programmes
ATR	Action Taken Report
GMC	Gangtok Municipal Corporation

OVERVIEW

During the financial year 2024-25, the Directorate of Local Fund Audit audited the accounts of Local Bodies viz., Panchayati Raj Institutions for financial year 2023-24 and Municipalities for the financial year 2022-23 & 2023-24 as shown in the table below.

Sl. No	Name of the Institution	Total Units	District-wise Units covered by DLFA						Total Units covered	%
			Gang tok	Gyal shing	Man gan	Nam chi	Pak yong	Soreng		
1.	Gram Panchayat Unit	199	24	33	25	54	27	36	199	100.00
2.	Zilla Panchayat	6	1	1	1	1	1	1	6	100.00
3.	Nagar Panchayat	5	1	0	1	1	1	0	4	80.00
4.	Municipal Council	1	0	0	0	0	0	0	0	00.00
5.	Municipal Corporation	1	1	0	0	0	0	0	1	100.00
	Total	212	27	34	27	56	29	37	210	99.06

During the audit, various irregularities were noticed and are broadly segregated under different categories as mentioned below.

- Non-adherence/ Violation of Rules
- Irregularities in the Execution of Work
- Irregularities in Purchase Procedure
- Non-production of Records
- Diversion of Fund
- Non-remittance of Deductions
- Unadjusted Advances
- Non-utilization of Fund
- Excess Payments
- Doubtful Expenditure
- Wasteful Expenditure
- Irregularities regarding Revenue
- Miscellaneous

The gist of selected audit objections of Panchayati Raj Institutions and Municipalities which were raised during the year 2024-25 are included in the respective parts of the report.

The audit paras selected for inclusion in the Annual Consolidated Audit Report 2023-24 present a glimpse of financial administration being practised in the Local bodies.

On receipt of replies to the defects pointed out in the earlier reports which were duly supported by relevant evidence, records & documents, the audit objections were settled wherever the replies were found to be satisfactory.

INSTITUTIONS AUDITED

During the year 2024-25, the following Local Bodies were audited by the Local Fund Audit:

Sl. No	Name of the Institution	Total Units	Total Units covered	%
1.	Gram Panchayat Unit	199	199	100.00
2.	Zilla Panchayat	6	6	100.00
3.	Nagar Panchayat	5	4	80.00
4.	Municipal Council	1	0	00.00
5.	Municipal Corporation	1	1	100.00
	Total	212	209	99.06

The detailed list of Local Bodies audited during the year 2024-25 is given in **Appendix I**.

SCOPE OF AUDIT

The Directorate of Local Fund Audit (DLFA) is statutorily responsible for verifying several key aspects during post-audit of Panchayati Raj Institutions and Municipalities. These include Gram Panchayats, Zilla Panchayats, Municipal Councils, and Municipal Corporations.

The scope of the audit includes verifying the following:

- **Proper accounting of taxes and fees:** The audit checks whether taxes, fees, and other revenues collected by Panchayati Raj Institutions and Municipalities are accurately recorded with full details in the books of accounts.
- **Periodic fund checks:** The DLFA ensures that funds are periodically checked with the Treasury or Bank to confirm their accuracy and availability.
- **Budgeted and sanctioned expenditures:** The audit examines whether expenditures were provided for in the budget of the respective institutions and were duly sanctioned by the competent authority, as per the relevant Acts, Rules or Executive Instructions by the Government.
- **Permitted use of funds:** The DLFA verifies that funds were used only for the purposes prescribed under the relevant Panchayat/Municipalities Acts and Rules.
- **Adherence to expenditure procedures:** The audit assesses whether the procedures prescribed by the Government in incurring expenditures and payments are properly followed and accounted for, with due classification in the books of accounts.
- **Maintenance of expenditure vouchers:** The DLFA checks that required vouchers for incurred expenditures are maintained.
- **Proper accounting and use of grants:** The audit ensures that grants received from different sources are properly accounted for and used for their intended purposes.
- **Compliance with Finance Commission guidelines:** The DLFA verifies that guidelines and structures outlined in the Finance Commission recommendations are followed in the utilisation of provided funds.

These checks are essential to ensure the financial integrity of local bodies. The DLFA aims to promote transparency, accountability, and adherence to financial regulations and guidelines. The audit process also intends to identify irregularities, address systemic issues, and improve overall financial administration. The DLFA's findings are compiled into the Annual Consolidated Audit Report (ACAR), which is presented to the Sikkim Legislative Assembly.

COMMON OBSERVATIONS

The audit of local bodies in Sikkim, conducted by the Directorate of Local Fund Audit (DLFA), revealed several recurring anomalies across Panchayati Raj Institutions (PRIs) and Municipalities. These common observations highlight systemic issues in financial management and a lack of adherence to established procedures.

Key recurring issues include:

- **Improper maintenance of books of accounts:** Local bodies frequently neglect to maintain their financial records accurately. This includes not keeping a proper cash book, which should record all daily cash receipts and payments.
- **Non-preparation of payment vouchers:** Many local bodies do not create payment vouchers for their expenditures, which are essential for validating transactions. This omission makes it difficult to verify the legitimacy of payments.
- **Non-preparation/late preparation of annual and supplementary budgets:** Some local bodies fail to prepare annual or supplementary budgets or do not adhere to the budget when incurring expenditures. This can lead to financial mismanagement.
- **Lack of monthly reconciliation with the bank:** Many local bodies do not regularly reconcile their accounts with bank statements. This lack of reconciliation can lead to discrepancies and errors in financial records.
- **Misutilisation of discretionary grants:** There are instances where discretionary grants are not used for their intended purposes.
- **Irregular payment of honorarium:** Honorariums, or payments to elected members, are sometimes paid irregularly. For example, advance payments of honorarium were made to members of the Khamdong GPU.
- **Non-realisation of royalty, GST, etc. at the source:** Local bodies frequently fail to deduct and remit taxes such as royalty, GST, and TDS at the source. This non-compliance leads to revenue loss for the government.
- **Improper maintenance of vouchers:** Vouchers, which serve as supporting documents for expenditures, are not properly maintained.
- **Non-deduction of stamp charges:** Stamp charges on certain transactions are often not deducted.
- **Non-maintenance of advance register:** Local bodies do not consistently maintain an advance register, which is necessary to track advance payments made to contractors or employees. This is critical for monitoring the justification, amount, and repayment status of advances.
- **Cheques drawn in favour of the President, Secretary, and other Staff instead of the actual payee:** Payments are often made to individuals instead of the actual payees.
- **Delay in the deposit of receipts:** Funds received are not always promptly deposited.

These anomalies are often repeated in every audit period, despite being brought to the attention of the concerned authorities. These issues indicate a lack of adherence to established norms and instructions.

The report emphasizes that these common issues are not isolated incidents but widespread problems within the local bodies. The Rural Development Department and Urban Development Department authorities are urged to intervene and provide proper training and awareness to the functionaries in the PRIs.

SOURCES OF FUND

1. The funds under Local Bodies (LB) constitute a self-generated fund and Grant-in-Aids received from the Government of India & State Government. The pattern of all the constituents of the Fund/Scheme is not uniform, though Annual Accounts contain all such constituents. The position is given below:

Sl. No.	Constituent of Fund	Remarks on post audit
1.	General Fund	The DLFA conducts the audit of accounts of ULBs & RLBs and submits the Annual Consolidated Audit Report to the Government and causes it to be placed on the table of the Sikkim Legislative Assembly.
2.	Central Finance Commission Grants	-do-
3.	State Finance Commission Grants	-do-
4.	Revenue	-do-

2. Under sub-rule 3 of Rule 3 of The Sikkim Panchayat (Financial) Rules, 2003 notified vide No. 35(159)/93-94/RDD/P-III/33 dated 10-07-2003, states that the account shall be maintained in the name and style of “Panchayat Fund” duly prefixing the name of the Panchayat President and Panchayat Secretary and jointly operated.

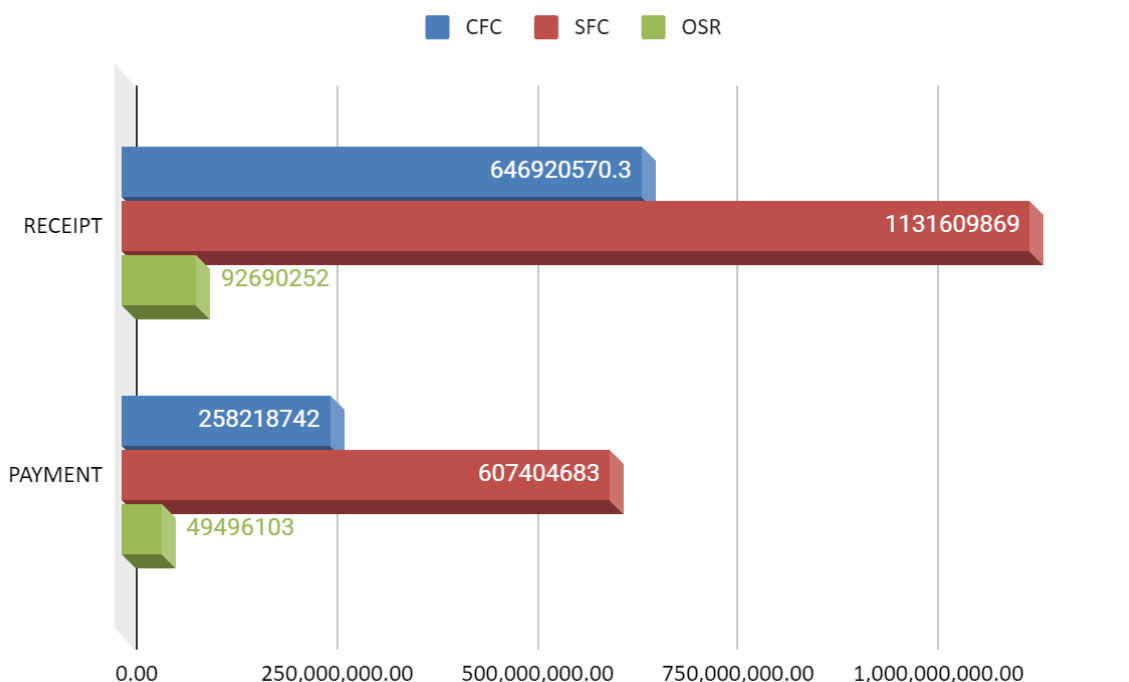
3. Under sub-section 1 of Section 39 of The Sikkim Municipalities Act, 2007, states that there shall be a fund to be called the “Municipal Fund” which shall be held by the Municipality in trust for this Act, and all money realized or realizable under this Act and all money otherwise received by the Municipality shall be credited thereto.

RECEIPTS AND PAYMENTS

The Receipts and Payments are inclusive of the various grants received from Central and State Governments during the year 2023-24 by the Local Bodies audited during the period.

1. Gram Panchayat

1.1 The aggregate Receipts (inclusive of OB, Receipt, and Interest) & Payments audited during the year for the financial year 2022-23 are **Rs. 1,87,12,20,691/-** and **Rs. 91,51,19,528/-** respectively.

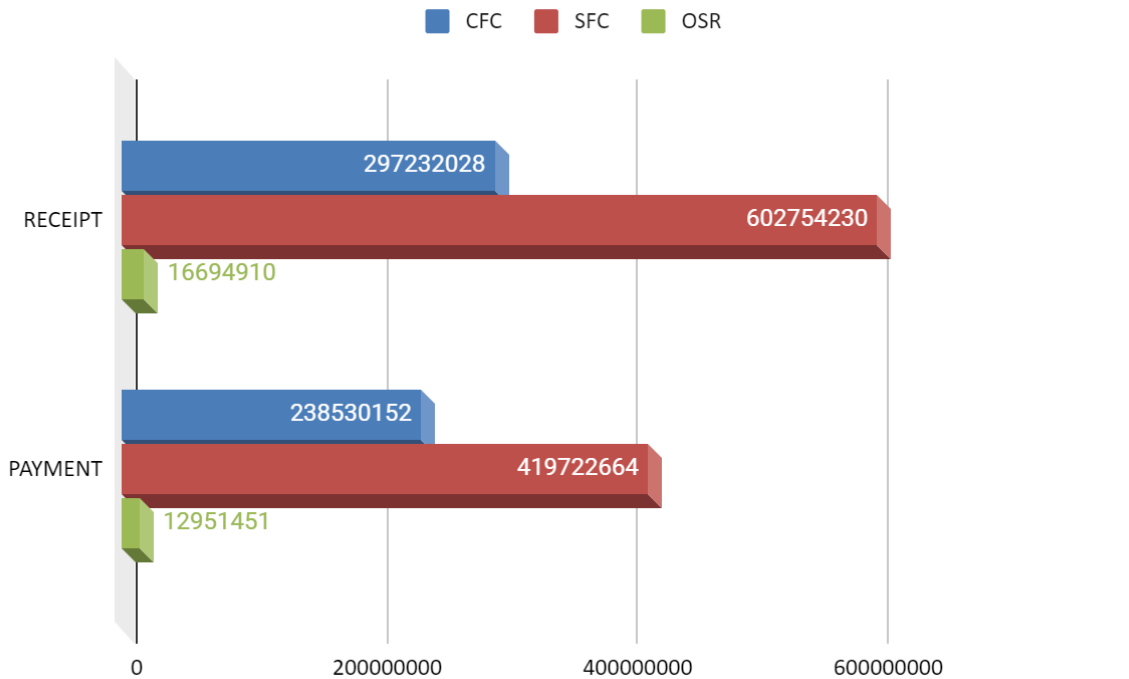


1.2 The details of Gross Receipts and Payments are shown in **Appendix No. II** regarding the Gram Panchayat Unit.

2. Zilla Panchayats

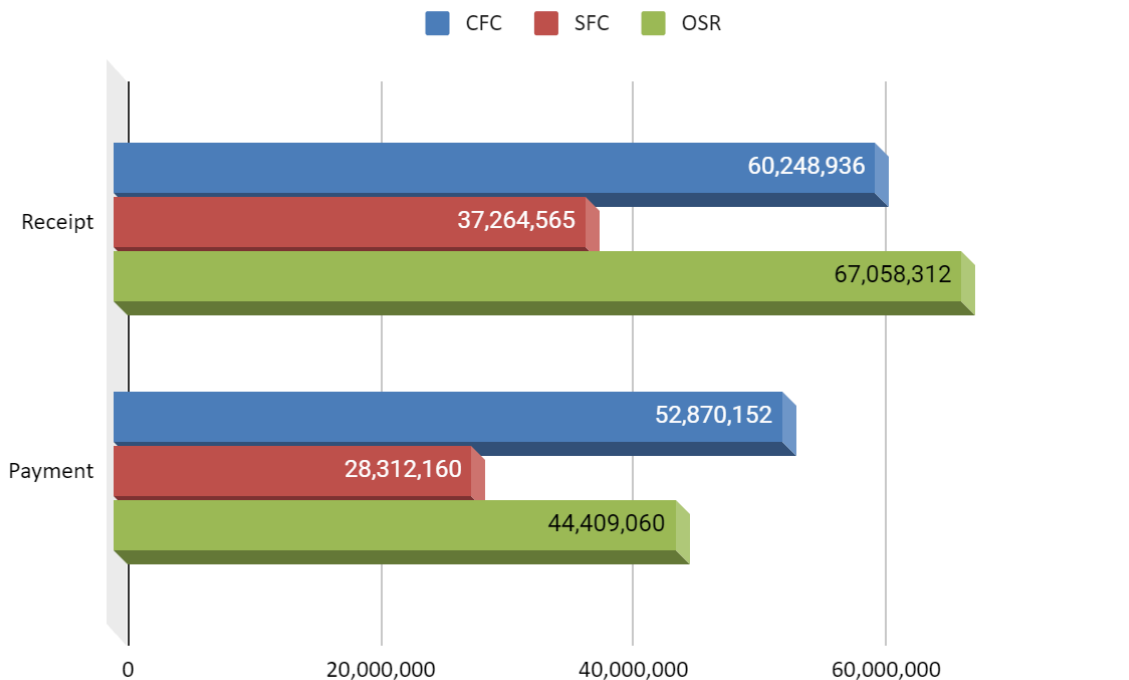
2.1 The aggregate Receipts (inclusive of OB, Receipt, and Interest) & Payments audited during the year for the financial year 2023-24 are **Rs 91,66,81,168/-** and **Rs 67,12,04,267/-** respectively.

2.2 The details of Gross Receipts and Payments are shown in **Appendix No. III** regarding the Zilla Panchayat.

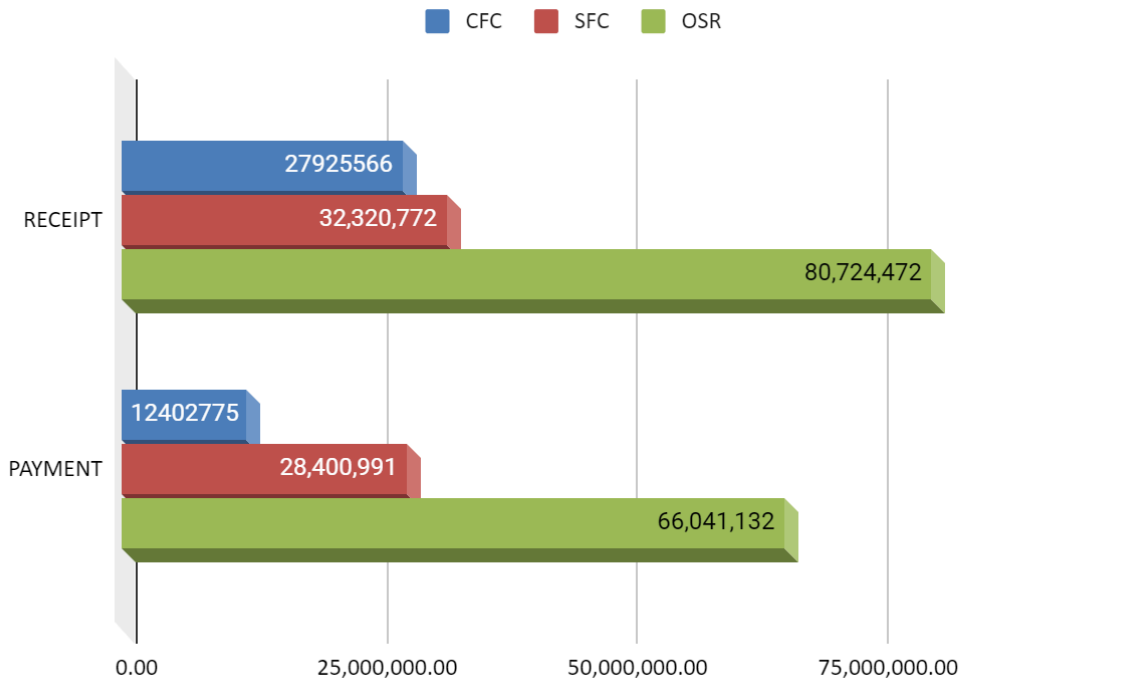


3. Nagar Panchayat

3.1 The aggregate Receipts (inclusive of OB, Receipt, and Interest) & Payments audited during the year for the financial year 2022-23 are **Rs. 16,45,71,813/-** & **Rs 12,55,91,372/-** respectively.



3.2 The aggregate Receipts (inclusive of OB, Receipt, and Interest) & Payments audited during the year for the financial year 2023-24 are **Rs. 14,09,70,810/-** & **Rs 10,68,44,898/-** respectively.

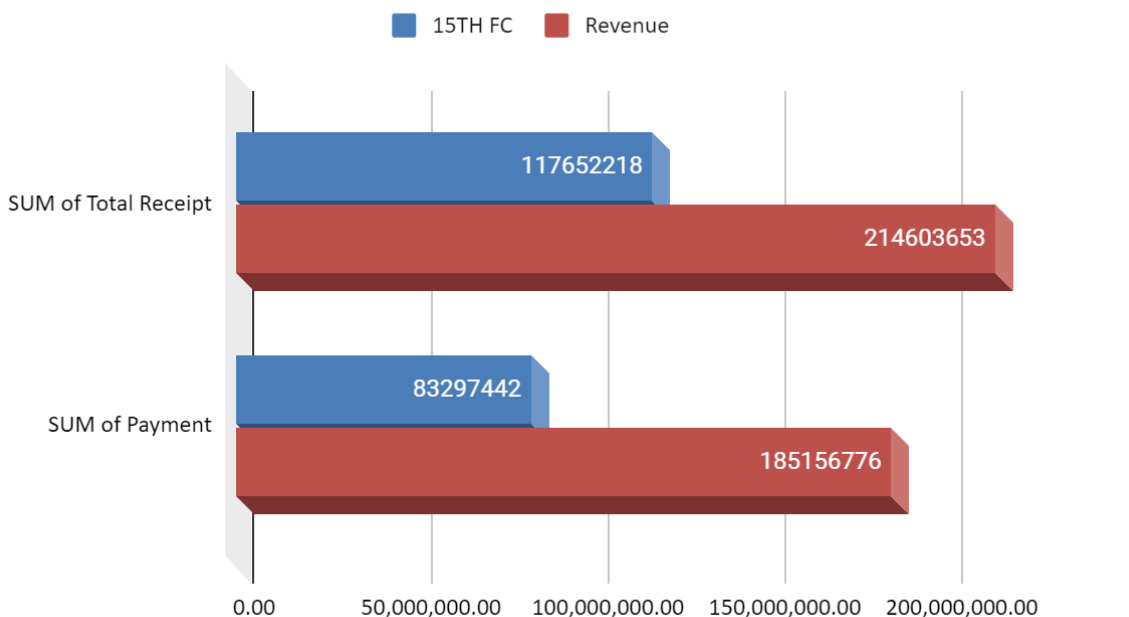


3.3 The details of Gross Receipts and Payments are shown in **Appendix No. IV** regarding the Nagar Panchayat.

4. Gangtok Municipal Corporation

5.1 The aggregate Receipts (inclusive of OB, Receipt, and Interest) & Payments audited during the year for the financial year 2022-23 are **Rs. 33,22,55,871/- & Rs 26,84,54,218/-** respectively.

SUM of Total Receipt and SUM of Payment



5.2 The details of Gross Receipts and Payments are shown in **Appendix No. VI** regarding the Municipal Council.

AUDIT ONLINE

The Audit Online application, developed by the Ministry of Panchayati Raj (MoPR), is a key component of the e-panchayat Mission Mode Project (MMP) designed to facilitate online audits of Panchayat accounts. **It is a generic and open-source application intended to strengthen financial management in Panchayats.**

Key functions of the Audit Online application include:

- Facilitating online and offline audits of accounts.
- Maintaining past audit records of the auditee, along with a list of auditors and audit teams involved.
- Serving as a financial audit tool to improve transparency and accountability.
- Providing information in the public domain for use by other Panchayat Enterprise Suite (PES) applications.
- Recording details for both internal and external audits as per the defined process.
- Facilitating audits at all three levels of Panchayats (District, Block and Village), as well as Urban Local Bodies (ULBs) and Line departments.

The XV Finance Commission has expressed concern over the unavailability of audited accounts at the local body level, leading to the development of this application. The Ministry of Panchayati Raj rolled out the Audit Online application on 15th April 2020 to make audited accounts of Panchayats readily available. As per the operational guidelines of the XV Finance Commission, **both tied and untied grants are contingent on Rural Local Bodies making available online both provisional accounts of the previous year and audited accounts of the year before the previous year.**

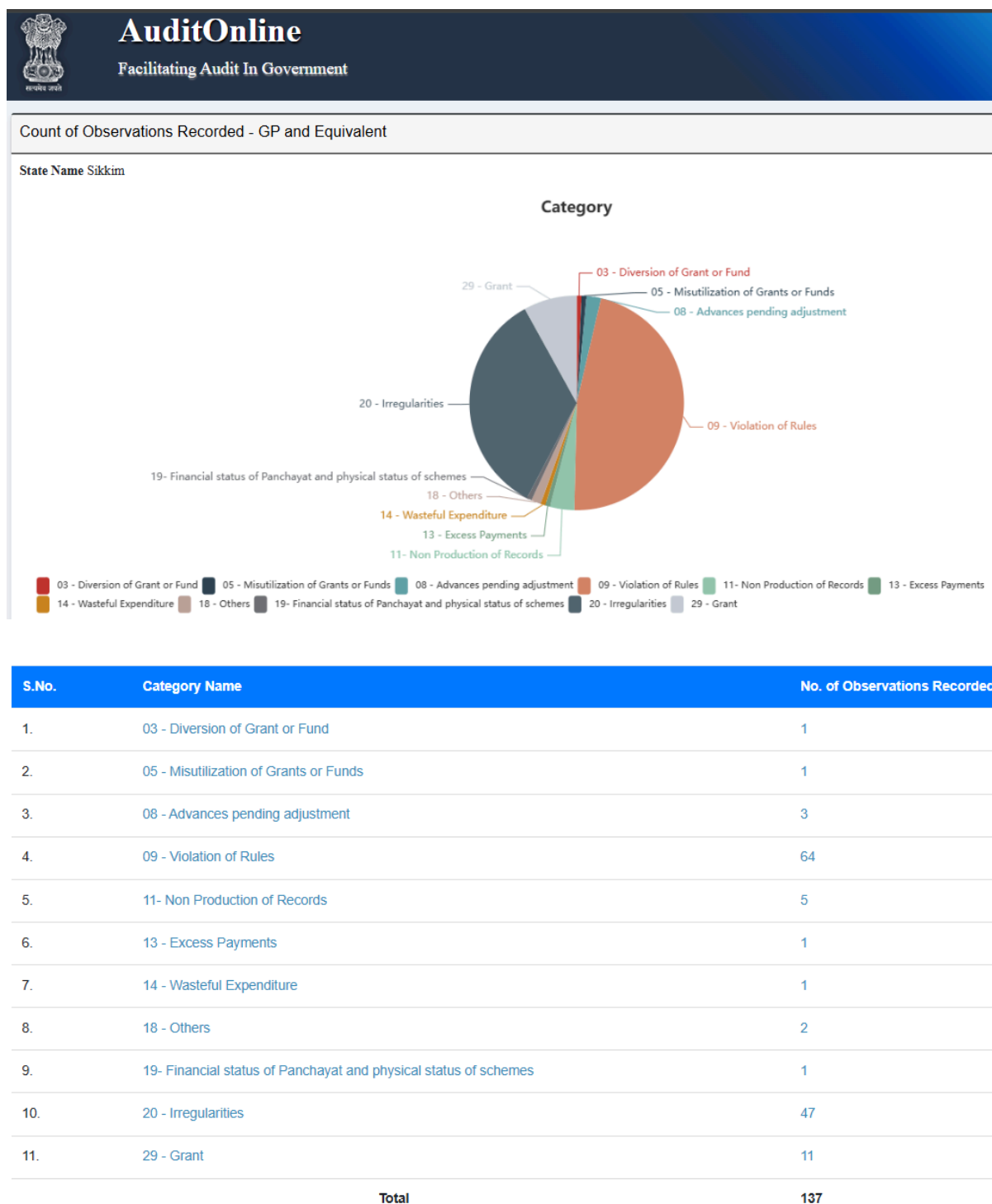
The Sikkim Directorate of Local Fund Audit (DLFA) uses the Audit Online platform for its audit processes, including audit replies and responses, as mandated by the XV Finance Commission. The DLFA is responsible for auditing the accounts of local bodies in Sikkim, including Panchayati Raj Institutions (PRIs) and Municipalities. The DLFA is expanding the audit coverage of local bodies each year. The DLFA has successfully completed 100% audits of the accounts of PRIs for FY 2023-24, meeting the targets set by the 15th FC. Despite a shortage of manpower, limited resources and logistics, such as touring vehicles, the DLFA has met the audit coverage targets in the state.

The Audit Online system also aims to address the issue of non-response from local bodies to audit observations by requiring that such replies are done online. The DLFA informs the responsible authorities of the local bodies of all the relevant standing Government laws and regulations and explains the proper bookkeeping of all expenditures and revenues.

The online platform promotes transparency and accountability in financial management. As of 31st March 2020, the application was used for the online audits of Panchayat accounts.

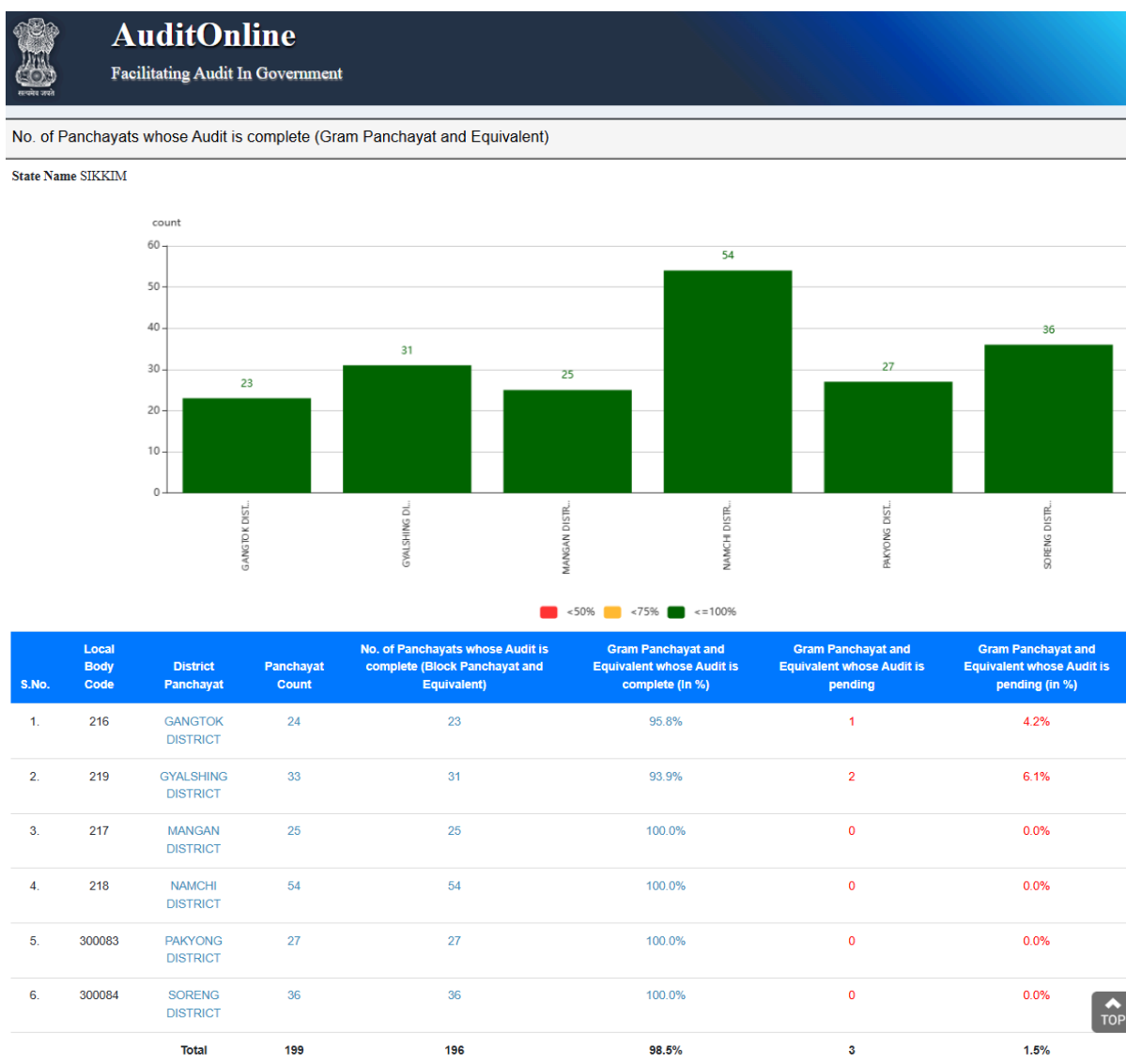
AUDIT ONLINE & SIKKIM LOCAL FUND AUDIT

1. GPU: Number of Observations Recorded



Source: <https://auditonline.gov.in/observationCountReport.htm?year=2023-2024>

2. GPU: Number of Audit Reports Generated



Note KPI statistics are updated through a scheduler that runs after every 4 hours Hence there might be a difference in the counts of reports at a point of time

Source: <https://auditonline.gov.in/gpWithAuditReportGeneratedReport.htm?year=2023-2024>

3. ZP: Number of Observations Recorded

 AuditOnline Facilitating Audit In Government			
Total Observations Recorded - ZP and Equivalent			
State Name Sikkim			
			Back Export to Spread sheet
S.No.	Local Body Code	District Panchayat Name	No. of Observations Recorded
1.	216	GANGTOK DISTRICT	65
2.	219	GYALSHING DISTRICT	113
3.	217	MANGAN DISTRICT	80
4.	218	NAMCHI DISTRICT	152
5.	300083	PAKYONG DISTRICT	64
6.	300084	SORENG DISTRICT	123
Total			597

Note KPI statistics are updated through a scheduler that runs after every 4 hours Hence there might be a difference in the counts of reports at a point of time

Source: <https://auditonline.gov.in/districtObservationCountReport.htm?year=2023-2024>

4. ZP: Number of Audit Reports Generated

 AuditOnline Facilitating Audit In Government						
No. of DPs with Audit Report Generated						
State Name SIKKIM						
						Back Export to Spread sheet
S.No.	Local Body Code	District Panchayat Name	Scheme Name	Period Being Audited	Audit Schedule Dates	Is Audit Report Generated
1.	216	GANGTOK DISTRICT	Others,General,TFC,14FC,15FC	2023-2024	12/11/2024 - 18/11/2025	✓
2.	219	GYALSHING DISTRICT	Others,General,TFC,14FC,15FC	2023-2024	02/05/2024 - 07/05/2024	✓
3.	217	MANGAN DISTRICT	Others,General,TFC,14FC,15FC	2023-2024	30/09/2024 - 05/10/2024	✓
4.	218	NAMCHI DISTRICT	Others,General,15FC	2023-2024	13/08/2024 - 19/08/2024	✓
5.	300083	PAKYONG DISTRICT	Others,General,TFC,14FC,15FC	2023-2024	05/11/2024 - 10/11/2024	✓
6.	300084	SORENG DISTRICT	Others,General,TFC,14FC,15FC	2023-2024	17/08/2024 - 22/08/2024	✗

Note KPI statistics are updated through a scheduler that runs after every 4 hours Hence there might be a difference in the counts of reports at a point of time

Source: <https://auditonline.gov.in/dpWithAuditReportGeneratedReport.htm?year=2023-2024>

PART I - PANCHAYATI RAJ INSTITUTIONS

A. AUDIT PARAS OF GRAM PANCHAYATS

Some of the Audit Observations of Gram Panchayat units raised for the financial year 2023-24 audited during the year 2024-25 are enumerated below:-

1. NON-ADHERENCE TO RULES

1.1 Simik Lingzey GPU: Cheque drawn in favour of Panchayat Accounts Assistant (PAA) / Senior Village Administrative Assistant (Sr VAA)

According to Sikkim Financial Rules, 1979 (Para 28) no money shall be drawn from the bank unless it is required for immediate disbursement, in anticipation of demands. It is not permissible to draw money from the bank in anticipation of demands or to prevent the lapse of budget grant. Thus, money may not be withdrawn from the Gram Panchayat account except by presentation of bills and the cheques in the name of the payee.

Nevertheless, it was seen the Simik Lingzey GPU had drawn a total of six cheques in favour of Panchayat Accounts Assistant and Senior Village Administrative Assistant under Financial year 2022-23. The details of the payment under 15th Finance Commission are stated as under:-

Sl No	Cheque No/ Date	Name of Beneficiary	Amount	Authorised Signatory
1	000000000034 02/04/2022	Bhawani Regmi	1,30,000	Sushil Subba,VAA Pralad Poudyal,PanchyatPresident
2	000000000035 05/04/2022	Sonam Tenzing Bhutia	1,80,000	Sushil Subba,VAA Pralad Poudyal,PanchyatPresident
3	000000000037 26/04/2022	Bhawani Regmi	2,20,000	Sushil Subba,VAA Pralad Poudyal,PanchayatPresident
4	000000000038 29/04/2022	Bhawani Regmi	55,000	Sushil Subba,VAA Pralad Poudyal,PanchayatPresident
5	000000000039 12/05/2022	Bhawani Regmi	2,50,000	Sushil Subba,VAA Pralad Poudyal,PanchayatPresident
6	000000000040 20/05/2022	Bhawani Regmi	1,00,000	Sushil Subba,VAA Pralad Poudyal,PanchayatPresident

1.2 Bhusuk Naitam GPU: Annual Budget prescribed in the Sikkim Panchayat Act not followed

Budget is the most important tool for financial planning, accountability and control. The Sikkim Panchayat Act, 1993 read with Sikkim Gram Panchayat (Financial) Rules, 2003 (Para 8) envisaged preparation of budget by the GPU's indicating estimated receipts and expenditure for the next year. The process involves drafting, discussing and approving the budget within the Panchayat body followed by scrutiny and approval at higher administrative levels. Any expenditure from Gram Panchayat Fund can be incurred only when there is a sufficient provision in the approved annual Budget for the financial year.

It was noticed that the no budget proposals were prepared by the GPU and emphasis on expenditure were laid only based on the annual plan. In the absence of the budget, the machinery to watch excess/saving in expenditure over and above the budget in respect of the GPU was also non-existent.

1.3 Rongey Tathangchen GPU: Observation in Cash Book

In course of test check of cash book maintained by Rongay Tathangchen GPU the following irregularities were noted:

- Improper financial recording was observed on the cash book as narration was incomplete, cheque number and date of payment were not mentioned for the payment released. It must be ensured that each entry should be dated and accompanied by a detailed description of the transaction. Necessary corrections in the cash book entries had not been attested by the officer in charge. It is necessary that any corrections are clearly documented and justified.
- A delayed entry of transactions in the cash book was observed. Not recording transactions promptly can lead to outdated or incorrect financial records. The cash book must be maintained in a systematic manner with recording all the cash receipts and payments on a daily basis.
- Physical verification of cash book/balance had never been carried out. Regular verification of entries should be conducted to ensure accuracy and accountability.

1.4 Regu GPU: Payment to Hi-Tech Computer Centre for Computer Classes

The introduction of computer classes or programmes in rural areas can be a transformative initiative, helping to bridge the digital divide and enhance the educational, economic and social opportunities for rural communities.

On scrutiny of records it was observed Regu GPU during the financial year 2022-23 had conducted computer classes program under the firm Hi Tech Computer Care Centre, however few anomalies were observed during the course of audit which are stated as below :-

- a. The enrollment records were not maintained for the above course being a critical document to track students admission, attendance, progress and completion of course along with the number of participants
- b. The number of participants who successfully completed the program could not be ascertained with the number of enrollment due to non availability of enrollment records.
- c. A comprehensive course duration being a major component before conducting any program was not indicated at the initial phase.
- d. An advance of Rs 1,00,000 paid by vide cheque no 056812 dated 17/07/2023 was released by the GPU but the details of which were not entered in the advance register.

1.5 Pachey Samsing GPU: Irregularities observed on Installation of Solar Street Light at Phirphirey Ward/Pachery Ward/Ganchung Ward amounting to Rs 7,14,000/-.

The Pachey Samsing GPU consists of five wards wherein the supply and installation of solar street light was sanctioned under 15th FC grants for three wards namely Phirphirey ward, amounting to Rs 2,00,000/-, Pachery ward amounting to Rs 2,64,000/-, Ganchung ward amounting to Rs 2,50,000/- which was handed over to Maa Laxmi Enterprises. On scrutiny of files and records for the above installation works few of the anomalies were observed which are detailed as below:-

- i. A contingent bill is submitted after the expenditure is incurred and requires supporting documents to justify the payment, however the above payment was released without the creation of the contingent bill.
- ii. Completion certificate which refers to an official document to confirm that a particular work or project has been completed in accordance with the agreed specification, terms and contracts was not enclosed in the above work file.
- iii. A picture generally being visual representation that documents various stages of a construction project that serves a variety of purposes including monitoring

progress, ensuring quality, maintenance records and fulfilling compliance requirements was unaccounted for above works.

- iv. A No objection Certificate(NOC) from Panchayat that certifies no objections or legal impediments to a particular work being carried out within the jurisdiction was not obtained.
- v. A Completion certificate that certifies the work has been completed in approved plan and applicable regulations was also not enclosed in the work file.

2. IRREGULARITIES IN EXECUTION OF WORKS

The Gram Panchayat had executed various civil works including the works mentioned below during the financial year 2023-24. The general procedure for execution of civil works from the Gram Panchayat Fund is prescribed in the 'Sikkim Public Works' Code and Manual and also in the 'Gram Panchayat Development Plan Implementation Manual' by the nodal Department (Rural Development Department) in a simplified manner. A brief procedure for execution of works as per the Gram Panchayat Development Plan Implementation Manual is illustrated as below:

- i. In accordance with the provision in the approved budget of the year, the Gram Panchayat should obtain the administrative approval by the competent authority for execution of any work which is incorporated in the annual plan.
- ii. The president of the Gram Panchayat after administrative approval forwards the same in particular file to the Engineering Cell of the BAC through BDO for drawl of estimate with Technical Sanction of the estimate.
- iii. The approved work with estimated cost is then put on tender processes widely floating NIT in local newspapers, notice board of the BAC and GPK for obtaining lowest bidder if the value of work exceeds rupees one lakh or more. In such tender processes, generally the lowest bidder is accepted except in any unavoidable circumstances for execution of the work by the tender committee already formed.
- iv. Issuance of work order and drawl of agreement in the prescribed formats are done by the Engineering Cell of the BAC in coordination with the Gram Panchayat.
- v. After completion of work or during the progress of work as the case may be, the concerned Junior Engineer prepares bill in prescribed format (form No. 24) after taking physical measurement of the work which he/she enters in concerned Measurement Book duly showing details of work done and progress of work to submit to the Gram Panchayat with necessary certificates as per the check lists for onward action.
- vi. On receipt of the bill with all details at GPK, the President submits the file to the BAC for calculation and verification of necessary taxes, deductions and recoveries that should be deducted from the contractor's bill through the Block Development Officer and pass order of the amount of bill by the concerned officer of Engineering Cell for release of payments.
- vii. After completing the above actions, the file along with measurement book and other documents is sent to the Gram Panchayat for release of payment of the contractor and other recoveries from the contractor's bill to be immediately deposited in the relevant accounts of the government. The drawl of cheque/FTO must follow the Pay Order from the President concerned at Gram Panchayat level indicating cheque number/FTO/Vr. Number, date and name of payee in each payment both in measurement book and in contractor's bills.
- viii. Accordingly, the payments are to be recorded in the 'Work Register' as prescribed in the manual.

- ix. All the above procedures are to be mentioned in the 'Note sheets' of the file related to the work.

2.1 Chisopani GPU under Khamdong BAC

The GPU had undertaken the work of construction of drainage from ATTC hostel to Rebirth Church at Shantinagar amounting to Rs 3,88,750/- under 15th FC wherein the following irregularities were found.

- i. Non execution of work under the scheduled plan year, the plan pertains to the preceding financial year. The common reasons for non execution of the work under the plan year may be due to resource constraints, planning deficiencies, contractual issues, unforeseen circumstances etc.
- ii. The value of work done was above the GST threshold but remittance in the form of TDS and GST was forbidden causing undue benefit to the contractor.
- iii. Storage Charge or ORDP typically associated or intended to recover the cost associated for storing materials or equipment was not depreciated from the payment bill.

2.2 Dung dung Thasa under Khamdong BAC

The GPU had undertaken the repair work of a water harvesting tank at Thasa amounting to Rs 1,00,000/- under 15th FC wherein the following irregularities were found.

- i. Pass order by the concerned engineer was not recorded in the Measurement Book. It is obligatory as to ensure that a certain stage of work is completed satisfactorily which facilitates payment for the completed work through pay order.
- ii. Non execution of work under the scheduled plan year, the plan pertains to the preceding financial year. The common reasons for non execution of the work under the plan year may be due to resource constraints, planning deficiencies, contractual issues, unforeseen circumstances etc.
- iii. Measurement book (MB) number was not mentioned for the above works. As stated in Sikkim Public Code & Manual, it has to be unique and are typically numbered sequentially to maintain a clear record in order to distinguish between various works.

2.3 Assam Lingzey GPU

The work "Construction of Assam Lingzey Sangrakchan Samiti Bhawan at Assam Lingzey GPU" was undertaken for an amount of Rs 6,62,000/- under 15th FC and the irregularities found are below:

- a) The competent authority is responsible for making decisions, approval and sanction before incurring any expenditure. However the payment was released without the consent of competent authority in the measurement book and Form No 24.
- b) Storage Charge or ORDP typically associated or intended to recover the cost associated for storing materials or equipment was not deposited in the Government account.
- c) Non execution of work under the scheduled plan year, the plan pertains to the preceding financial year. The common reasons for non execution of the work under the plan year may be due to resource constraints, planning deficiencies, contractual issues, unforeseen circumstances etc.
- d) Appropriate fees or royalties due to the Government for the use of forest resources were not credited into the Government accounts.

2.4 Rongay Tathangchen GPU

On scrutiny of audit, it was found that the expenditure of Rs. 1,00,000/- was incurred for repair work of existing tank and change of socket pipeline and hydrant at Chongay Rongay

Tathangchen GPU under 15th FC

- i. Passed order which authorizes the recording of measurement or certifies that the recorded work has been completed satisfactorily according to the specifications and standards were not recorded in the Measurement Book neither in Form no 24.
- ii. Non execution of work under the scheduled plan year, the plan pertains to the preceding financial year. The common reasons for non execution of the work under the plan year may be due to resource constraints, planning deficiencies, contractual issues, unforeseen circumstances etc.
- iii. Appropriate fees or royalties due to the Government for the use of forest resources were not credited into the Government account.

2.5 Rakdong Tintek GPU

The GPU had undertaken the work “Extension of Rooftop from meeting hall to GPK Office” amounting to Rs 3,98,000 under 15th FC(3,40,000 (15th FC)+ 50,000 (SBM). The following discrepancies were seen.

- i. The value of work done was above the GST threshold but remittance in the form of GST was forbidden causing undue benefit to the contractor.
- ii. Non execution of work under the scheduled plan year, the plan pertains to the preceding financial year. The common reasons for non execution of the work under the plan year may be due to resource constraints, planning deficiencies, contractual issues, unforeseen circumstances etc.
- iii. Surplus expenditure used for the construction work than the sanctioned amount which was unnoticed during the framing of the work estimate, as an additional amount of Rs 50,000 was used from SBM fund for which no administrative approvals was obtained.

2.6 Tumin GPU

On scrutiny of audit, it was found that the expenditure of Rs. 9,89,100/- was incurred for maintenance of GPK under 15th FC and the discrepancies found are as follows:

The Gram Panchayat under GPDP 2022-23 have passed below mentioned works for execution namely:-

SL No	Name of the work	Amount	Remarks
1	Construction of toilet at GPU	2,50,000	Tied Fund
2	Construction of drain for waste water from GPK toilet	2,89,100	Tied Fund
3	Furnishing with chairs ,tables, file rack at GPU	1,50,000	Untied Fund
4	Construction of pantry at GPU	1,50,000	Untied Fund
5	Construction of waiting area for general public	1,50,000	Untied Fund
Total		9,89,100	

All the above works inclusive of Tied and Untied Fund had to be solely executed, but the office of the Gram Panchayat had collaborated all the above works into one named as “**Maintenance of GPK**” with sanctioned amount Rs 9, 89,100/-. Similarly the estimate for above works had to be prepared individually for each work but the Engineering cell had framed a single estimate on the total amount sanctioned.

Considering the above facts it was later observed after completion wherein the payment to contractor was done part wise but the work was collaborated into one.

- i. The estimate prepared was without the endorsement of the Junior Engineer which is averse towards the guidelines stated in Sikkim Public Works Code and Manual.
- ii. Approved work with the estimated cost was to be put on tender processes individually for obtaining lowest bidder, but the work was handed over to a single contractor, although the tender process was followed.

- iii. The value of work done was above the GST threshold but remittance in form of GST was forbidden causing undue benefit to the contractor.
- iv. The terms outlined in SPWD Code and Manual 2009 states “**Security deposit to be deducted at 5% when final payment is made**”. Nevertheless the final payment was done without deduction of Security Deposit which is contrary in articulation to the guidelines.
- v. Non execution of the work under the scheduled plan year, the plan pertains to the preceding financial year. The common reasons for non execution of the work under the plan year may be due to resource constraints, planning deficiencies, contractual issues, unforeseen circumstances etc.

2.7 Kewzing Bakhim GPU under Ravangla BAC

On scrutiny of files and records of the works carried out by the Gram Panchayat in financial year 2023-24, the following discrepancies have been identified which require immediate attention and corrective action by the authorities.

Sl. No.	Particulars	PFMS no./date	Ref.	Amount
1.	Protective wall near the house of Ratna Gautam	R012408718591/ 25.01.2024		1,20,374/-
2.	Jhora training work at Tengaymending	R092307392435/ 25.09.2023		1,00,400/-

For sl. No. 1:

- i. The GPK has not followed the practice of obtaining pass order from the Assistant Engineer (AE) & pay order from the Panchayat president in the Measurement Book (MB) & form 24 before releasing payments.

For sl. No. 2:

- i. The work was completed on 07.01.2022 but the date on the supply bill was 28.09.2022 and the payment for work was made much later, on 25.09.2023. These dates appear very contradictory. It is thus advised to give a detailed explanation for the significant time gaps.
- ii. The royalty challan was issued without recording the vehicle number.

2.8 Legshep GPU under Ravangla BAC: Contractor profit not credited into GP account

In cases where the work is executed by the Panchayat departmentally, 7.5% contractor profit is required to be deducted and should ideally be credited back to the Gram Panchayat's account. This ensures the saved amount remains available for other developmental activities.

On scrutiny of files and records pertaining to the works executed by the Gram Panchayat during the financial year 2023-24, it was observed that all the works were carried out departmentally in convergence with MGNREGA scheme. Since no external contractor was involved, the contractor's profit of 7.5% of the estimated amount was duly deducted but it has come to notice that this amount was not credited to the Gram Panchayat Unit (GPU) account. It resulted in financial discrepancies and lack of transparency and accountability.

Therefore appropriate response pertaining to such lapses may be furnished to audit and is advised to ensure future deductions are handled appropriately to maintain financial accountability.

Sl. No.	Particulars	PFMS no./date	Amount	Contract or profit
1.	Const. of CCFP from PWD road to Gopal Singh subba in convergence with MGNREGA	151120232868/ 16.11.2023	1,11,400/-	9034/-

Sl. No.	Particulars	PFMS no./date	Amount	Contract or profit
2.	Const.of CCFP from Kharka Singh Chettri house to Deepa Rai in convergence with MGNREGA	150112023286 7/16.11.2023	1,11,326/-	9034/-
3.	Const.of CCFP from Jasmaya Rai house to PWD Road in convergence with MGNREGA	15112023203/1 6.11.2023	1,11,326/-	9034/-

2.9 Tinkitam GPU under Ravongla

On scrutiny of files and records related to the works executed by Gram Panchayat for the financial year 2023-24, the following discrepancies were identified which require immediate attention from the GPU authorities to ensure compliance with prescribed procedures.

- The GPK has not followed the practice of obtaining a pay order from the Panchayat president in the Measurement Book (MB) before releasing payments. It is recommended that accounts functionaries ensure pay orders are obtained and documented before processing payments.
- The photographs of the work sites have not been certified by the engineer concerned. No details of work were mentioned in signboards at the work site.
- No stock entry was recorded in the supply bill, indicating a lapse in tracking of materials.
- In the case of Sl. No. 2, the memorandum of payment section has been left blank.
- A 1% labour cess amounting to Rs. 1296/- was not deducted, nor was it reflected in the work estimate.

Sl. No.	Particulars	PFMS no/date	Amount
1.	Const. of CCFP from Sherpa gaon SPWD road to Fyangrang SPWD Road in convergence with MGNREGA	XVFC/23-24/5/22.08.2023	68,200/-
2.	Const. of CCFP from 14 TH KM SPWD road near Phurba Kinzing house to Paltsen house in convergence with MGNREGA	XVFC/2023/2024/P/13/24.1 2.2023	68,143/-

These observations reflect significant gaps in the documentation & procedural aspects of the GP's operations. It is strongly recommended that the concerned authorities take immediate corrective actions to address these issues and ensure proper adherence to financial and administrative rules & regulations.

2.10 Singling GPU under Soreng BAC

On scrutiny of files and records of the works executed by Gram Panchayat during FY 2023-24, the following discrepancies were noticed which needs to be addressed by the authorities of the Gram Panchayat.

Sl. No.	Particulars	Cheque no./date	Amount
1.	Repair of water storage tank at ward no.1. (15 th FC)	XFC/2023-24/P/ 7/22.11.2023	2,27,200/-
2.	Const. of CCFP from Rothak Khola		1,32,600/-
3.	Const. of Community sanitary centre near futsal ground at L/Singling with pipe		4,00,000/- (SA)

Sl. No.	Particulars	Cheque no./date	Amount
	connection of drinking water supply (15 th FC)		

The following discrepancies were seen for the work during scrutiny.

For sl. No. 1:

- i. Signature of BDO not found in Completion certificate.
- ii. Memorandum of payment was not attached.
- iii. Only cash memo enclosed for purchase of GI pipe and cement amounting to Rs. 1,39,396/- which seems doubtful on its payment. GPK should not entertain cash memos or katcha bills for such construction work supplies; bills/invoices must be GSTIN invoices.
- iv. Technical sanction was written but it was not signed by the AE.
- v. Royalty was not paid.

For sl. No. 2:

- i. NOC from Commercial Tax was not obtained.
- ii. Agreement copy was not signed by AE.
- iii. Date was not mentioned in the Supply Bill.
- iv. Payment made without obtaining pay order from Panchayat President.

For sl. No. 3:

- i. There is a discrepancy between the date of royalty payment i.e., 28.06.2023 and the date of completion of work i.e., 20.05.2023 which is contradictory.
- ii. Payment made without obtaining signature of AE & BDO in completion certificate.
- iii. No signature found in work bill form no. 24.
- iv. No invoice no. & date in the invoice of Pathivara Enterprise.
- v. GST not deducted in work estimate.
- vi. No signature of AE in Agreement paper.

2.11 Chotasamdong Arubotey GPU under Chumbung BAC- Irregularities in Payment made for the Construction of Community Water Tank

During the audit of the financial records of the GPU, the following irregularities were identified regarding the payment made for the Construction of Community Sanitary Complex at Ronglyang. The details of the observation are as follows:

-Net Amount Paid: Rs.2,96,000/-

- Date of Payment: 5th December 2023

- Payment Method: PFMS (Public Financial Management System)

The following shortcomings were found:

- i. Absence of Pay Order Pass Order Seal in Measurement Book: During the audit, it was observed that no pay order pass order seal was found in the Measurement Book pertaining to the construction of the water tank at Majuwa Ward No. 1. The lack of this important seal raises concerns about the transparency and authorization of payment processes.
- ii. Non-Deduction of GST: Observation made during the audit is that the Goods and Services Tax (GST) was not deducted from the total project cost of Rs. 2,96,000/-. This indicates a non-compliance with the applicable tax regulations and may result in financial implications for the project.
- iii. Discrepancy in Royalty Dates: The audit revealed a discrepancy between the royalty dates and the entries in the Measurement Book. It is important for the dates mentioned in the royalty documents to align with the corresponding entries in the Measurement Book to ensure accurate record-keeping and compliance with legal requirements.

- iv. Absence of Contract Agreement: The audit findings indicate that the Contract Agreement for the construction of the water tank at Majuwa Ward No. 1 was not found. The absence of this crucial document raises concerns regarding the clarity of terms and conditions, project deliverables, and responsibilities of the involved parties. This could lead to potential disputes and difficulties in resolving any contractual issues that may arise.

2.12 Mendogaon under Chumbung BAC- Irregularities in Payment made for the Construction of RMC

During the audit of the financial records of the GPU, the following irregularities were identified regarding the payment made for the Construction of RMC at ward no.1. The details of the observation are as follows:

-Net Amount Paid: Rs.1,49,478/-

- Date of Payment: 24th May 2023

- Payment Method: PFMS (Public Financial Management System)

The following shortcomings were found:

- i. During the audit, it was observed that the technical sanction for the construction of the RMC was not available. The absence of a technical sanction raises concerns regarding the adherence to proper procedures and the approval of the project's design and specifications. It is essential to obtain the necessary technical sanction before commencing any construction project to ensure compliance with quality standards and specifications.
- ii. The audit revealed that a completion report had not been obtained from the Block Development Officer (BDO). A completion report serves as evidence that the project has been finished as per the approved plans and specifications. The absence of this report raises doubts about the timely completion and conformity of the project.
- iii. During the audit, it was noted that the pay order related to the payment of Rs. 1,49,478/- to Daphuti Sherpa was not found in the Measurement Book. The unavailability of the pay order raises concerns about the transparency and accountability of the payment process. It is crucial to maintain proper documentation for all financial transactions to ensure proper utilization of funds.
- iv. The audit found that the contract agreement was not available. The contract agreement outlines the terms and conditions agreed upon by both parties involved in the project, including the scope of work, payment terms, and project timelines. The absence of a contract agreement raises concerns about the legality and validity of the project, as well as the obligations and responsibilities of each party involved.

These observations highlight significant deficiencies in the documentation and procedural aspects. Hence, it is advised to the concerned authorities to take immediate action to address these observations, including obtaining the necessary technical sanction, obtaining a completion report, locating the pay order, and retrieving the contract agreement. Such corrective measures will help ensure transparency, accountability, and adherence to established procedures in the construction.

2.13 Okhrey GPU under Daramdin BAC- Irregularities in Payment made for the work of Rural Water Supply & Sanitation

During the audit of the RWSS (Rural Water Supply and Sanitation) work at Upper Okharey, several irregularities were identified in relation to the payment made to Sangay Sherpa for Rs 1,92,019/- on 20/08/2023 through PFMS under Fifteenth Finance Commission.

The following observations were found during scrutiny.

- i. It was observed that Form 24, which is used for recording payments, was incomplete and not signed by the passing and paying authorities. This incomplete documentation raises

- concerns about the accuracy and validity of the payment.
- ii. The audit revealed that the contract agreement for the RWSS work at Upper Okharey was incomplete and did not contain the signature from the Engineering section.
 - iii. It was found that the estimate for the work performed was missing.
 - iv. The audit identified that the Forest Royalty challans were not found. This suggests a potential violation of regulations regarding the procurement of construction materials from forest reserves.

2.14 Barfok Lingdong GPU - Labour Clearance not obtained

During the audit of Barfok Lingdong GPU, it was observed that labour clearance certificates, as mandated under the relevant labour laws and contractual agreements, were not obtained for certain civil works. The details of some have been listed below:

Sl No	Scheme	Details	Amount	Labour Cess	Date	Mode Of Payment
1	15 TH FC	Construction of a water storage tank at Barfok Pry. school	105,643	1108	31/12/2023	PFMS
2	GIA	Construction of car wash at Lower Barfok	79,180	789	01/03/2024	cheque

The GPU is advised to strictly adhere to labour laws and ensure that labour clearance is obtained for all future projects before finalizing payments to contractors. Immediate corrective measures should be taken to regularize the pending clearances for the identified works to avoid further non-compliance.

2.15 Lingthem Lingdem GPU - Labour Clearance not obtained

It was observed that labour clearance certificates, as mandated under the relevant labour laws and contractual agreements, were not enclosed in the file, for certain civil works. The details of some have been listed below:

Sl No	Scheme	Details	Amount	Labour Cess	Date	Mode Of Payment
1	15 TH FC	Construction of toilet at crematorium and waiting shed	130,865	2970	08/07/2023	PFMS
2	15 TH FC	Maintenance of water storage tank in all wards	69,007	1939	10/10/2024	PFMS

2.16 Yangsum GPU

The Gram Panchayat had executed various civil works including the works mentioned below during the financial year 2023-24. The general procedure for execution of civil works from the Gram Panchayat Fund is prescribed in the 'Sikkim Public Works' Code and Manual and in 'Gram Panchayat Development Plan Implementation Manual' by the nodal Department (Rural Development Deptt) in a simplified manner. However, on scrutiny of files and records related to civil works, it was noticed that in most cases, there was severe delay in execution of works as works which were approved as per the 2021-2022 plan was executed only in the Financial Year 2023-24.

Sl	Name Of Work	Plan	Scheme	Amount
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No		Period		
1	Construction of water tank at Meghidara	2021-22	15 th FC	151485
2	Construction of public toilet and crematorium shed	2021-22	15 th FC	337441
3	Maintenance of assembly ground	2021-22	15 th FC	299938
4	Repair of water pipeline	2021-22	15 th FC	204977
5	Construction of water tank at Smritivan	2021-22	15 th FC	130306

2.17 Sanganath GPU

On scrutiny of files and records related to civil works, it was noticed that in most cases, there was severe delay in execution of works as works which were approved as per the 2020-2021 plan were executed only in the Financial Year 2023-24.

Sl. No.	Name of Work	Source of Fund	Plan Year	Sanctioned Amount (Rs.)
1.	Water source development for 5 wards	15 th FC	2020-21	3,23,500
2	Repair of community hall at GPK	15 th FC	2020-21	2,18,500
3	Repair and painting of ICDS, Sumbuk	15 th FC	2020-21	52,000

2.18 Tingchim Chadey GPU

The Forest and Environment Department, Government of Sikkim, had laid down the royalty rates and fees on various forest produce and services vide notification no 305/GOS/FEWMD dated 30/03/2016. However, in some cases the GPU had deducted forest royalty while making payment to the contractor, but the deducted amount was still in the GPU's bank account. The deducted forest royalty should have been brought into the system and streamlined into a proper channel by depositing it in the respective government account. By not depositing the forest royalty, the GPU hampers the revenue collection of the forest department.

It is recommended that the total amount deducted for Forest Royalty which is still in the GPU's bank account be transferred in the earliest possible time to the respective budget head of the forest department.

2.19 Mickhola Singithang GPU

On scrutiny of files and records related to civil works, it was noticed that in most cases, there was severe delay in execution of works as works which were approved as per the 2020-2021 plan were executed only in the Financial Year 2023-24.

Sl. No.	Name of Work	Source of Fund	Plan Year	Sanctioned Amount (Rs.)
1.	Construction of headmaster cabin at Kopchey	15 th FC	2020-21	1,99,000
2.	Source development of baidarey source at lower mikkhola	15 th FC	2020-21	2,00,000

2.20 Lachen Dzumsa GPU

The Gram Panchayat had executed various civil works during the financial year 2023-24. The general procedure for execution of civil works from the Gram Panchayat Fund is prescribed

in the 'Sikkim Public Works' Code and Manual and in 'Gram Panchayat Development Plan Implementation Manual' by the nodal Department (Rural Development Deptt) in a simplified manner. However, on scrutiny of files and records related to civil works, it was noticed that in most cases, there was severe delay in execution of works as works which were approved as per the 2016-2017 plan were executed only in the Financial Year 2023-24.

Sl. No.	Name of Work	Source of Fund	Plan Year	Sanctioned Amount (Rs.)
1.	Awareness and cleanliness drive at Gurudongmar	14 th FC	2016-17	20,000
2	Awareness on AIDS, TB, MDR etc	14 th FC	2017-18	2,73,000

2.21 Pecherek Heepatal GPU

It was noticed that in most cases, there was severe delay in execution of works as works which were approved as per the 2021-2022 plan were executed only in the Financial Year 2023-24.

Sl. No.	Name of Work	Source of Fund	Plan Year	Sanctioned Amount (Rs.)	Royalty (Rs.)
1.	Construction of 10 nos soak pit for 5 wards	15 th FC	2022-23	70,000	
2	Const. of community hall at Majhgaon	15 th FC	2022-23	180100	432
3	Const. of milk collection center at L. Pecherek	15 th FC	2021-22	199000	105
4	Const. of community shed at Majhgaon	15 th FC	2021-22	156700	493

On scrutiny of work related files of the GPU, the following discrepancies were mostly found:-

- As per subsection 7.2 of Sikkim Public Works Manual, 2009, "Before the bill of a Contractor/Supplier is passed, the entries in the Measurement Book relating to the description and quantities of work/supplies should be scrutinized by the Assistant Engineer and calculations of "Contents or Area" should be checked arithmetically under his supervision. The bill should then be checked and passed by the appropriate authority." However, in most cases pass order and pay order was not issued by the appropriate authority before passing the bill.
- For clarity and to avoid confusion, necessary details like date of payment, cheque no and date, etc should be mentioned in the notesheet / vouchers / bills. But on scrutiny of documents, it was found that in most cases, these information were not readily available leading to confusion. Such details should be recorded in the notesheet and other relevant documents.
- In a few cases, a labour clearance certificate was not issued.

2.22 Sopakha GPU

On scrutiny of files and records related to civil works, it was noticed that in most cases, there was severe delay in execution of works as works which were approved as per the 2021-2022 plan were executed only in the Financial Year 2023-24. Also, not a single work which is approved as per 2023-24 plan has been executed by the GPU during the financial year

2023-24.

SI No	Name Of Work	Plan Period	Amount
1	Water source development at Lingay ward	2021-22	1,35,640
2	Repair of water storage tank at Kumuk-Sepi	2021-22	1,35,260

Further, it was also noticed that for the construction of ground level protection wall & boundary fencing at GPU (plan period 2022-23) the work remains incomplete as the boundary fencing has not been done. The total value of the work is estimated to be Rs 5,04,800/- out of which Rs 4,79,280/- has already been paid. The remaining amount of Rs 25,500/- should be used to complete the remaining work.

2.23 Gyalshing Omchung GPU

The Gram Panchayat had executed various civil works during the financial year 2023-24. The general procedure for execution of civil works from the Gram Panchayat Fund is prescribed in the 'Sikkim Public Works' Code and Manual and in 'Gram Panchayat Development Plan Implementation Manual' by the nodal Department (Rural Development Deptt) in a simplified manner. However, the following irregularities were noticed by the audit team:

SI No.	Particulars	Amount	Cheque no
1	Immediate repair of meeting hall of GPU	6,05,820	209842 03/01/24
2	Truss, wall painting, cement plaster of GPU meeting hall	6,23,200	PFMS

- At the time of release of payment, GST should be deducted on all bills of any amount if the total value of the work order/supply order/contract/agreement etc. related to the bill is Rs. 2.5 lakhs and more. However in a few cases (some of which are mentioned below) it is seen that the GST for the total value of work was not deducted nor included in the estimate.
- As per subsection 7.2 of Sikkim Public Works Manual, 2009, "Before the bill of a Contractor/Supplier is passed, the entries in the Measurement Book relating to the description and quantities of work/supplies should be scrutinized by the Assistant Engineer and calculations of "Contents or Area" should be checked arithmetically under his supervision. The bill should then be checked and passed by the appropriate authority." However, in a few cases the pay order was not issued by the appropriate authority before passing the bill.

3. IRREGULARITIES IN PURCHASE PROCEDURE

3.1 Khamdong GPU under Khamdong BAC- Purchase Procedure not followed for Purchase of Stationary Rs 40,000/-

The Sikkim Panchayat Act, 1993, provides a framework for the functioning of Panchayat in Sikkim to handle various administrative and financial procedures, including purchases. The Act aims to empower local self-governments and ensure transparency and accountability in their operations. The general overview of the purchase procedure as outlined under the Sikkim Panchayat Act, 1993 are stated below:-

- Approval of the Purchase.
- Preparation of Purchase Estimates.

- Evaluation of Tenders/Quotations.
 - Approval and Placement of Order.
 - Receipt and Inspection of Goods/Services.
 - Payment Processing.
 - Record Keeping and Documentation.
 - Compliance with Rules and Regulations.
- i. To ensure the quality and reasonable rates of any item, however few anomalies were observed for the payment made :-Supply order being a formal document authorizing the supplier to deliver the goods and services should contain order number/memo no and date but the same was omitted.
 - ii. When making payments it is important to follow a structured process to ensure accuracy and compliance with financial regulations. Observations were made wherein payment was made into the account of the payee instead in the name of the firm i.e. M/S Yes Enterprises the registered supplier.

3.2 Latuk GPU under Parakha BAC: Purchase Procedure not followed for purchase of cubic desk Rs 2,85,000/-

To ensure the quality and reasonable rates of any item, the steps mentioned below have to be taken into consideration, however few anomalies were observed for the payment made :-

- i. When purchasing items quotations and comparative statements is a key step for cost comparison ,budgeting, transparency, supplier evaluation ,negotiation tool, risk management but the process of inviting quotations and comparative statements was defiant and purchase was initiated.
- ii. No Supply order was issued for the purchase of office expenditure namely cubic desk .Although supply order being a formal document contains key details namely order details, pricing, delivery terms, payment terms, contact information, terms and conditions etc.
- iii. To acknowledge the delivery of goods and services the practice of issuing challan is obligatory but the same was overlooked for the above purchase made.
- iv. The stock register being a vital document used to track details of items held in stock was not maintained by the GPU being fundamental to basic bookkeeping in accounts.

3.3 Rawtey Rumtek GPU under Ranka BAC: Purchase without calling quotation & other purchase procedure lapses

All purchases must adhere to established procurement procedures, including inviting quotations from at least three firms or suppliers, preparing a comparative statement, issuing a supply order, creating payment vouchers, and recording entries in the stock/asset register upon receipt.

However, the following expenditures were made without following the purchase procedures outlined in the GPDP implementation manual and other relevant rule books.

Sl. No.	Particulars	Cheque no/date	Amount
1.	Procurement of Dustbin & Signboard for installation under SBM Scheme	006791/ 19.05.2023	2,79,026/-
2.	Supply of Sentex for progressive farmer	006790/19.05.2023	2,00,000/-

The discrepancies are detailed below:

- i. Quotation from three firms was not obtained. Thus, no comparative statement was prepared.

- ii. Purchases were made without issuing a supply order to the Supplier.
- iii. Photographic evidence was not enclosed.
- iv. Acknowledgement of receipt was not enclosed for the supply of Sentex to farmers.

3.4 Rabong Barfung GPU under Ravangla BAC: Irregularities on purchase procedure

According to GPDP implementation manual, local purchases of stores normally be made only when the requirement is immediate and of such minor magnitude & when the expenditure does not exceed Rs 2500/- at a time. Moreover, in the case of all purchases of stores costing more than Rs 50000/- only, open tenders through advertisement or NIT should be initiated giving wide publicity

However it was ascertained that the GPK procured office furniture amounting to Rs. 2,50,000/- without calling quotations. The payment for this purchase was made from the GIA & 5th SFC scheme funds through two cheques issued to a GPK staff member of GPK, supported only by cash memos. The details are as follows:

Sl no	Particulars	Cheque no/date	Amount
1.	Purchase of furniture	089894/19.10.2023	200000/-
		089895/19.10.2023	50000/-

The absence of necessary records and non-compliance with prescribed procurement procedures raises doubts about the genuine utilisation of public funds. It has been advised to GPU to strictly adhere to the procedures outlined in the GPDP implantation manual and relevant financial rules in the future transactions.

3.5 Sangmo Rankey GPU under Ravangla BAC: Irregularities on purchase procedure

The GPK procured office furniture for the newly created GPU at a cost of Rs. 4,29,166/- from M/s Kungeria Traders (vide cheque no, 549853/12.10.2023) under 5th SFC scheme. However, the following irregularities were identified during the scrutiny:

- i. Only a quotation was called, no comparative statement of quotation was prepared.
- ii. Items received from the supplier were not recorded in the stock register which serves as a proof of receipt.
- iii. No payment voucher was created by the GPK prior to issuing the cheque.

These lapses raise concerns about the proper utilisation of public funds. It is advised to GPU to strictly adhere to the procedures outlined in the GPDP implementation manual in future purchases.

3.6 Tharpu GPU under Soreng BAC: Purchase without calling quotation & other purchase procedure lapses

All purchases are to be made by following proper purchase procedures such as inviting quotations at least from three firms/ suppliers, creating a comparative statement of the quotation, issuing a supply order, creating a payment voucher, making an entry in the stock/asset register once received etc.

On the contrary, an expenditure amounting to Rs. 99,000/- (cheque no. 446136 dated 01.08.2023) was incurred for procurement of furniture from the SFC scheme without following any procedures laid down in the GPDP implementation manual & other Rule book. This does not prove that the items were purchased at a reasonable market rate. Hence, the expenditure is irregular and in violation of the standing norms.

The discrepancies are detailed below:

- i. Quotation from 3 firms was not obtained. Thus, no comparative statement was prepared.
- ii. Stock entry was also not done in Stock Register as a result of total receipts of items, its genuineness of utilization could not be ascertained.

- iii. Purchase was done without issuing a supply order to the Supplier. Supply order is to be issued to the Supplier after proper verification of rates through quotation & comparative statement.
- iv. Contingent bill was not created by GPK.

3.7 Chakung GPU under Chumbung BAC - Irregularities on Purchase of PC and Projector

As per Sikkim Government Gazette no. 309 dated 25/10/2021 relating to Directorate of Information, Government of Sikkim, it is stated that “ Proposals for procurements of computers and peripherals by Government Department will be vetted by Directorate of Information the with an aim to get value for the money and to standardize the equipment”

However, During the audit of the financial records of the Gram Panchayat Unit, it was observed that the GPU purchased a PC and a Projector without obtaining the necessary concurrence from the Directorate of Information Technology office.

The details of the purchase are as follows: -

- Supplier: - Initialization
- Purchase Date: 26th September 2023
- Purchase Amount: Rs. 1,19,830/-
- Cheque Number: 521154

The IT office was not involved in the decision-making process or provided with an opportunity to evaluate the technical specifications and compatibility of the PC and laptop before the purchase. This lack of involvement increases the risk of acquiring hardware that may not meet the GPU requirements or may lead to compatibility issues with existing systems. Moreover, without the IT office's input, there is a possibility that the purchased PC and laptop may not be compatible with the GPU existing infrastructure, network, or software applications. This can result in additional costs for system modifications, software licenses, or even replacement of incompatible hardware in the future.

3.8 Beng Phegyong GPU under Martam BAC: Irregular Local Purchase

According to Rule 127 of Sikkim Financial Rule & Notification no 03/fin (Actts) dated 28/09/2004, issued by the Finance Department. Government of Sikkim. When stores are purchased from the open market directly, the system of open competitive tender should be adopted. In case of purchases of stores costing more than 1,00,000/- purchase should be made either through STCS or open tenders (through advertising) giving wide publicity in the leading newspapers at least a month before the last date of submission of tenders. For other purchases costing not more than one Lakh, whether made direct by the department or through STCS, the sealed tenders/quotations through advertisement in local papers should be invited. Scrutiny of vouchers and files revealed that the BAC had purchased Furniture from Pabitra Furniture , Ranipool amounting to Rs. 1,68,996/- vide Cheque No. 040310 dated 12/04/2023 without inviting open quotation from suppliers.

This led to non- Compliance to standing financial cannons and is fraught with vitiation of fair competition to arrive at most economic rates.

3.9 Lingi Sokpay GPU

The purchase procedure has not been followed by the GPU for the following payments.

Sl No	Particulars	Amount	Mode
1	Expenditure on construction of twin pit	100,000	PFMS

For the payment mentioned above it was observed that the supporting documents like

vouchers/tax invoice was not enclosed in the file. The vouchers are necessary to authenticate the purchase or payment of any material/expenditure as it acts as a proof of transaction as it provides a written record that a transaction has occurred, it also creates an audit trail that can be used to verify the accuracy and legitimacy of transactions and most importantly it serves as evidence in case of disputes. Hence it is of utmost importance to maintain and enclose vouchers/tax invoice in the respective file.

Also, the work mentioned above was distributed to nine (9) beneficiaries @ Rs 7000/- each which amounts to Rs 63,000/-. The remaining Rs 37,000/- could not be traced.

3.10 Lumgor Sangtok GPU

The purchase procedure has not been followed by the GPU for the following payments.

SI No	Particulars	Amount	Date
1	Awareness programme	2,00,000	26/04/2023
2	Awareness programme	50,000	21/11/2023

For the payment mentioned above it was observed that the supporting documents like vouchers/tax invoice was not enclosed in the file. The vouchers are necessary to authenticate the purchase or payment of any material/expenditure as it acts as a proof of transaction as it provides a written record that a transaction has occurred, it also creates an audit trail that can be used to verify the accuracy and legitimacy of transactions and most importantly it serves as evidence in case of disputes. Hence it is of utmost importance to maintain and enclose vouchers/tax invoice in the respective file.

3.11 Sorok Shyampani GPU

It was observed that necessary steps like calling quotation, preparing comparative statements and supply orders, and making entries in the stock register were overlooked by the GPU for the purchases mentioned below.

SI No	Particulars	Amount	Cheque No
1	Supply of disaster materials and tools	49920	109598 27/07/23
2	Purchase of stationeries	34800	PFMS 13/6/23

3.12 Samdong Sribadam GPU

It was observed that necessary steps like calling of quotation and drawing IT clearance was overlooked by the GPU for the purchases mentioned below.

SI No	Particulars	Amount	Cheque No
1	Purchase of 3 nos of laptop	1,50,000	102920 03/06/23
2	Expenditure on construction of cabin, table, chair, etc	3,18,730	102958 23/11/23

3.13 Central Pendam GPU

For the works/payments mentioned above and for most of the works/payments made by the GPU for the financial year 2023-24, it was observed that a contingent bill was not created and therefore deduction of stamp duty could not be verified.

SI No	Particulars	Amount
1	Purchase of furniture for Kumrek Primary School	2,59,000
2	Purchase of furniture for Samsing Primary School	3,05,000
3	Supply of office stationery	1,20,118

It was also noticed that important steps like calling of quotations, drawing comparative statements and issuing supply order to ensure reasonable rates were not practiced by the GPU in some cases.

3.14 Maniram Phalidara GPU

The purchase procedure as mentioned below has not been followed by the GPU for the following payments.

SI No	Particulars	Amount	Cheque No
1	Repair of kitchen at GPU	1,70,000	110109 11/8/23
2	Purchase of office stationery	28,319	264156 24/4/23

For the payment mentioned above it was observed that the supporting documents like vouchers/tax invoice was not enclosed in the file. The vouchers are necessary to authenticate the purchase or payment of any material/expenditure as it acts as a proof of transaction as it provides a written record that a transaction has occurred, it also creates an audit trail that can be used to verify the accuracy and legitimacy of transactions and most importantly it serves as evidence in case of disputes. Hence it is of utmost importance to maintain and enclose vouchers/tax invoice in the respective file.

3.15 Perbing Dovan GPU

The purchase procedure was not followed by the GPU for the following payments.

SI No	Particulars	Amount	Cheque No
1	Purchase of inverter & stationeries	1,70,215	230006 24-08-23
2	Purchase of laptop	61,500	230021 01-11-23

For the payment mentioned above it was observed that necessary steps like calling of quotation, preparing comparative statements and issuing supply order was neglected. The purchase made was either by directly or by reimbursement by the GPU.

4. NON PRODUCTION OF RECORDS

As per Rule 18 of Sikkim Financial Rules 1979 - A subordinate authority affords all reasonable facilities to Audit for the discharge of his functions and furnish fullest possible information required by him for the preparation of any official account or report. Also, as per Rule 19 of SFR 1979 - A subordinate authority shall not hold information, books or other documents required by audit. The Sachiva shall ensure the safe custody of all books of accounts and records of the Gram Panchayat and shall produce them for inspection to the auditors authorized by the Government.

4.1 Simik Lingzey GPU: Non production of Records

According to the prevailing Sikkim Gram Panchayat Financial Rule it is not sufficient that an officer's account should be correct to his own satisfaction. A Disbursing Officer has to satisfy not only him but also the audit that a claim which has been accepted is valid, that a file or voucher is a complete proof of the payment which it supports and that the account is correct in all respects. It is necessary that all the accounts should be kept and the details so fully recorded as to afford the requisite means of satisfying any enquiry.

It is further essential that the records of payment must be clear and self-contained to be producible as satisfactory and convincing evidence of facts, if required, in a court of law.

However the Simik Lingzey GPU failed to produce the following files, documents and vouchers to the audit

SL NO	DESCRIPTION
1	Payment made for the construction of Community Centre amounting to Rs 7,80,000/- Cheque no: 505489, 17/06/2021 amounting to Rs 3,00,000. Cheque no: 589756, 06/12/2021 amounting to Rs 4,80,000.
2	Cash book of all accounts FY 2023-24
3	All Register of accounts(Bill Register/Contingent Audit Register/Salary Audit Register/Stock Register/Advance Register/Work Register/Gram Sabha Register/Asset Register) FY 2023-24
4	All files and vouchers FY 2023-24
5	GPDP plan FY 2023-24
6	Annual Plan FY 2023-24

4.2 Arithang Chongrong GPU

As per section 87 of the Sikkim Panchayat Act-1993, **“The Sabhapati or, as the case may be, the Adhakshaya shall produce, or cause to be produced to the auditor all such accounts of the fund of the Gram Panchayat or the Zilla Panchayat concerned as may be required by the auditor.”** However, the following files were not produced during the time of auditing:

Sl No.	Particulars	Amount
1	13 nos JJM @Rs 29000 per work	3,77,000
2	Construction of car wash centre at L. Arithang	1,43,414

4.3 Dhupidara Narkhola GPU

As per section 87 of the Sikkim Panchayat Act-1993, **“The Sabhapati or, as the case may be, the Adhakshaya shall produce, or cause to be produced to the auditor all such accounts of the fund of the Gram Panchayat or the Zilla Panchayat concerned as may be required by the auditor.”** However, the following files were not produced during the time of auditing:

Sl No.	Particulars	Amount
1	Construction of Cafeteria	1,28,397
2	Construction of guest house	1,89,998

4.4 Rameng Nizrameng GPU

The following files were not produced during the time of auditing:

Sl No.	Particulars	Amount	Cheque no
1	Expenditure for tour to Kerela	2,70,000	<u>688970</u> 6/11/23

4.5 Yuksum Dubdi GPU

As per section 87 of the Sikkim Panchayat Act-1993, **“The Sabhapati or, as the case may be, the Adhakshaya shall produce, or cause to be produced to the auditor all such accounts of the fund of the Gram Panchayat or the Zilla Panchayat concerned as may be required by the auditor.”** However, the following files were not produced during the

time of auditing:

SI No.	Particulars	Amount	Cheque no
1	Expenditure on tiles fitting in GPU	1,89,728	784588 04/09/23
2	Construction and truss work at GPU	1,75,174	785226 16/02/24

4.6 Lingi Sokpay GPU

As per section 87 of the Sikkim Panchayat Act-1993, “The Sabhapati or, as the case may be, the Adhakshaya shall produce, or cause to be produced to the auditor all such accounts of the fund of the Gram Panchayat or the Zilla Panchayat concerned as may be required by the auditor.” However, the following files were not produced during the time of auditing:

SI No.	Particulars	Amount
1	Repair of pipeline at Lower Lingi	269,089
2	Office Administration expenses	46,456

5. DIVERSION OF FUND

5.1 Nandok Saramsa GPU: Diversion of SFC fund towards Renovation of Nandok Saramsa GPU-Rs 4,50,000/-

The State Finance Commission aims at fostering a balanced and sustainable approach to local governance and ensures that local bodies have the necessary resources and capabilities to effectively serve their communities. The commission allocates grants for various purposes to ensure regional development and fiscal stability. These grants are primarily aimed at strengthening the position of the urban and rural local bodies and are intended for improving infrastructure, sanitation and service delivery at the grassroots level with basic purposes such as water supply, sanitation ,maintenance of roads, cremation grounds and other essential services.

The allocation and utilization of these grants were intended to be in line with specific objectives set by the Finance Commission ensuring that the funds were used effectively for the intended purposes. The Gram Panchayat Unit were expected to utilize these grants according to the guidelines and objectives laid out by the commission. As per annual plan 2023-24 the Gram Panchayat had received fund of Rs 10,04,000/- by vide memo no 280/RDD/P dated 26/09/2023 under SFC.The approved action plan also included few of the following work activities:-

SI No	Particulars	Amount
1	Preparation of job card under MGNREGS	90000
2	Mobilising Farmers to be part of FPOs	90000
3	Inclusion of name of beneficiary in PDS	90000
4	Camp for inclusion of name in list of PM-Kisan Scheme	90000
5	Career Counselling Camps	90000
Total		4,50,000

However, on scrutiny of records the audit team noticed the cumulative amount of Rs 4,50,000/- sanctioned as basic amenities for rural beneficiaries under the approved annual action plan report were utilised for renovation of Nandok Saramsa GPU. Hence, incurring expenditure for purposes other than the prescribed without specific sanction of the Government is not permissible and it amounts to the diversion of funds. The grants should be utilised only for the specific purpose for which the grant is released and no diversion is permissible without the approval of the grant releasing authority.

5.2 Tinik chispoani GPU

Under rule 8 subsection (4) of Sikkim Gram Panchayat (Financial) Rules, 2003 notified vide Notification No.35(159)/93-94/RDD/P-III/33 dated 03-07-2003, “**No re-appropriation shall be allowed without the approval of the State Government.**” However, for the details mentioned below the funds have been transferred from 15th FC account to 5th SFC account and then the payment is made to the contractor without the approval of the state government.

Sl No.	Particulars	Amount	Cheque no
1	Expenditure on renovation and beautification of Panchayat Ghar	1,86,847	PFMS
2	Expenditure on construction of GPU kitchen	3,71,759	PFMS

5.3 Tarku Tanak GPU

Under rule 8 subsection (4) of Sikkim Gram Panchayat (Financial) Rules, 2003 notified vide Notification No.35(159)/93-94/RDD/P-III/33 dated 03-07-2003, “**No re-appropriation shall be allowed without the approval of the State Government.**” However, for the details mentioned below the funds have been transferred from 14th FC account to OSR account without the approval of the state government.

Sl No.	Particulars	Amount	Date
1	Transfer from 14 th FC to OSR	3,08,685	18/08/2023
2	Transfer from 14 th FC to OSR	18,84,571	14/08/2023
3	Transfer from 14 th FC to 5 TH SFC	12,850	13/06/2023

5.4 Menrongong GPU

Under rule 8 subsection (4) of Sikkim Gram Panchayat (Financial) Rules, 2003 notified vide Notification No.35(159)/93-94/RDD/P-III/33 dated 03-07-2003, “**No re-appropriation shall be allowed without the approval of the State Government.**” However, for the details mentioned below the funds have been transferred without the approval of the state government.

Sl No.	Particulars	Amount	Mode of payment
1	Transfer of fund from 14 th FC A/C to OSR new bank account	2,93,005	PFMS
2	Transfer of funds from GIA, VWSC and BRGF	1,01,140	Details not found

For serial no 2. In the table above, the details of transfer of Rs 1,01,140/- as reflected in the Annexure VII, serial no 9, submitted to the audit team could not be verified.

6. NON-REMITTANCE OF DEDUCTIONS/RECOVERIES FROM VOUCHERS/PAY BILLS/CONTINGENT BILLS

All money received by or on behalf of the Government shall be brought into the Government account without delay. As per the rule, the head of every officer shall be responsible to ensure that all revenue, receipts, or other sums due to the Government are regularly and promptly assessed, realized, and credited to the Government account under the relevant head of account.

6.1 Upper Timburbong GPU under Soreng BAC: GST paid to contractor

According to Rule 4(1) of the Sikkim Financial Rule, all money received by or on behalf of the Government shall be brought into the Government account without delay. The head of every officer shall be responsible to ensure that all revenue, receipts, or other sums due to the Government are regularly and promptly assessed, realized and credited to the Government account under the relevant head of account.

On contrary to the above rule, it was observed that on the construction work of an additional Library room at GP, 18% GST amounting to Rs. 93,710/- (CGST- Rs. 46,855/- & SGST - Rs. 46,855/-) was paid to the contractor instead of deducting it from the bill which has led to a loss of revenue to the Government. Hence, it is advised to recover the excess paid amount i.e., Rs. 93,710/- from the Contractor into the GPK account and make sure to not utilize the amount until proper direction from the Finance Department is received for the same.

It is advised to record the GST amounts deducted from each contractor in a Register specifying the gross amount, the date of deduction, the due date for deposit etc., and ensure that GST collected is deposited with the Government within the stipulated time frame to avoid penalty.

7. ADVANCES

7.1 Khamdong GPU: Advance payment of Panchayat Honorarium

Under rule 6 subsection (i) of Sikkim Gram Panchayat (Financial) Rules, 2003 notified vide Notification No.35(159)/93-94/RDD/P-III/33 dated 03-07-2003, "No money shall be drawn from the Bank unless it is required for immediate disbursement." It also outlines the governance and administrative structure of Panchayat in Sikkim including provisions related to honorarium and payments.

On scrutiny of the cash book it was observed Honorarium paid to elected members of the GPU for the month of September 2023 was drawn 30 days in advance into the accounts of Panchayat President and 26 days in advance into the accounts of the Vice President and Panchayat members.

Sl. No.	Particulars	Cheque no	Date	Amount
1.	Honorarium to Panchayat President from June to Sept 2023	202404	01/09/2023	40,000
2.	Honorarium to Vice President from June to Sept 2023	202406	05/09/2023	38,000
3.	Honorarium to Panchayat Members from June to Sept 2023	202407	05/09/2023	36,000
4.	Honorarium to Panchayat Members from June to Sept 2023	202413	05/09/2023	36,000

8. NON-UTILIZATION OF FUND

8.1 Sirwani GPU

The Grants of 15th FC serves several key purposes which are aimed at fostering balance and inclusive development across the State. The main purposes of these grants involve fiscal equalization, local Government empowerment, Infrastructure Development, Social Sector spending, Disaster Management, Relief, Capacity building, promoting sustainable development and economic growth. Overall the purpose of the grants allocated for 15th Finance Commission is to ensure equitable distribution of financial resources, empower local governance structures, promote sustainable and enhance the socio economic well being of all citizens across the state.

Grant Received(2023-24)	8,65,945
Opening Balance(Closing for FY 2022-23)	23,01,162

Total Receipts(including Interest)	32,05,177
Expenditure	9,43,262
Closing Balance(2023-24)	22,61,915
Fund Utilisation	29.42%

The Sirwani GPU under Financial Year 2023-24 received grant of Rs 8,65,945/- with unspent balance of the preceding year as Rs 23,01,162 with total receipts of Rs 32,05,177/-. On scrutiny of cash book and bank statement/cash total expenditure (payment) is Rs 9,43,262/- with the closing balance figures for Financial Year (2023-24) as Rs 22,61,915/- which is only 29.42% of the total receipt amount.

Considering the above financial figures it was revealed that the GPU has a huge sum of savings in the close of the financial year. Scores of money which should have been utilized in various development works remained parked in the various accounts as made evident in the figures given above through financial position. It shows failure of proper planning and inability to execute works in a timely manner.

8.2 Rhenock GPU:Limited utilization of Grants under SFC - 23.72%

The Grants of State Finance Commission serves several key purposes which are aimed at fostering balance and inclusive development across the State. The main purposes of these grants involve fiscal equalization, local Government empowerment, Infrastructure Development, Social Sector spending, Disaster Management, Relief, Capacity building, promoting sustainable development and economic growth. Overall the purpose of the grants allocated for State Finance Commission is to ensure equitable distribution of financial resources, empower local governance structures, promote sustainable and enhance the socio economic well being of all citizens across the state.

The Rhenock GPU under Financial Year 2023-24 received grant of Rs 53,00,492/- with

Grant Received(2023-24)	53,00,492
Opening Balance(Closing for FY 2022-23)	73,77,701
Total Receipts(including Interest)	1,28,96,345
Expenditure	30,59,089
Closing Balance(2023-24)	98,37,256
Fund Utilisation	23.72%

unspent balance of the preceding year as Rs 73,77,701/- .In addition to these two components(including interest) the total receipts is Rs 1,28,96,345 /-.

On scrutiny of cash book and bank statement/cash total expenditure (payment) is Rs 30,59,089/- with the closing balance figures for Financial Year (2023-24) as Rs 98,37,256 /- which is only 23.72% of the total receipts.

Considering the above financial figures it was revealed that the GPU has a huge sum of savings in the close of the financial year. Scores of money which should have been utilized in various development works remained parked in the various accounts as made evident in the figures given above through financial position. It shows failure of proper planning and inability of execution of works in a timely manner.

8.3 Amba GPU: Minimal utilization of grants under SFC –Amba GPU

The Grants of State Finance Commission serves several key purposes which are aimed at fostering balance and inclusive development across the State. The main purposes of these grants involve fiscal equalization, local Government empowerment, Infrastructure Development, Social Sector spending, Disaster Management, Relief, Capacity building,

promoting sustainable development and economic growth. Overall the purpose of the grants allocated for State Finance Commission is to ensure equitable distribution of financial resources, empower local governance structures, promote sustainable and enhance the socio economic well being of all citizens across the state.

The Amba GPU under Financial Year 2023-24 received grant of Rs 12,44,800/- with unspent

Grant Received(2023-24)	12,44,800
Opening Balance(Closing for FY 2022-23)	22,62,110
Total Receipts(including Interest)	35,74,181
Expenditure	3,22,153
Closing Balance(2023-24)	32,52,028
Fund Utilisation	9.01%

balance of the preceding year as Rs 22,62,110/- .In addition to these two components(including interest) the total receipts is Rs 35,74,181/-.

On scrutiny of cash book and bank statement/cash total expenditure (payment) is Rs 3,22,153 /- with the closing balance figures for Financial Year (2023-24) as Rs 32,52,028 /- which is only 9.01% of the total receipts.

Considering the above financial figures it was revealed that the GPU has a huge sum of savings in the close of the financial year. Scores of money which should have been utilized in various development works remained parked in the various accounts as made evident in the figures given above through financial position. It shows failure of proper planning and inability to execute works in a timely manner.

8.4 Ranka GPU under Ranka BAC: Parking of fund/ Delay in execution of civil works under 15th FC

The Panchayat President & other concerned staff of GPU must understand that the Government releases various grants to the local bodies for implementation of development works for public benefits & upliftment of their day to day life.

However, the scrutiny of the audit revealed that no civil works were undertaken from the 15th FC scheme during the financial year 2023-24. Consequently, a substantial amount of funds, totalling Rs. 25,87,773/- remained unutilised at the closing of accounts.

The serious lapse in utilising funds effectively has been highlighted by the audit. It is crucial that urgent remedial actions are taken to ensure these parked funds are promptly utilised for the developmental activities as per Gram Panchayat's annual plan.

The GPU is advised to submit an appropriate response to the audit justifying the non-execution of civil works as per the annual plan. Additionally, it is advised to ensure that funds are utilised within the stipulated period and ensure compliance with the grant's objectives.

8.5 Tingrithang GPU

The total fund received (which is the sum of the opening balance, fund received for the specific FY and the interest gained in that FY) for the financial year 2023-24 as per the bank statement is Rs 30,90,498/- wherein no expenditure was incurred for the entire financial year. Such instances of mismanagement of resources could have been avoided by proper planning and execution of works in a timely manner.

FY	Opening Balance	Receipt	Int	Total Receipt	Payment	Closing Balance
2023-24	26,14,562	3,92,000	83,936	30,90,498	0	30,90,498

8.6 Thingling GPU

The total fund received (which is the sum of the opening balance, fund received for the specific FY and the interest gained in that FY) for the financial year 2023-24 as per the bank statement is Rs 4,45,871/- wherein no expenditure is incurred. The balance fund of Rs. 4,45,871/- remained unutilized by the end of the financial year. Such instances of mismanagement of resources could have been avoided by proper planning and execution of works in a timely manner.

FY	Opening Balance	Receipt	Int	Total Receipt	Payment	Closing Balance
2023-24	0	4,41,000	4,871	445871	0	4,45,871

8.7 Samsing Pipalay GPU

The total fund received for 15th FC (which is the sum of the opening balance, fund received for the specific FY and the interest gained in that FY) for the financial year 2023-24 as per the bank statement is Rs 32,85,132/- wherein no expenditure is incurred for the entire financial year. The balance fund of Rs. 32,85,132/- remained unutilized by the end of the financial year. Such instances of mismanagement of resources could have been avoided by proper planning and execution of works in a timely manner.

FY	Opening Balance	Receipt	Int	Total Receipt	Payment	Closing Balance
2023-24	27,34,754	4,62,000	88,378	32,85,132	NIL	32,85,132

9. EXCESS PAYMENT

9.1 Central Pendam GPU

Excess payments, where more money is paid than is required or justified, can occur due to various factors such as errors in calculations, misinterpretation of contract terms, or inadequate oversight. While the intention behind excess payments might sometimes be to ensure timely completion of projects or to address unforeseen circumstances, they can also lead to significant financial waste, misuse of public funds and potential legal issues.

In the course of our audit, we identified some excess payment made by the GPU, as a result more funds were disbursed than what was justified by the actual work performed. The details of which are listed below:

Sl. No.	Name of Work	Source of Fund	Plan Year	Sanctioned Amount (Rs.)	Total value of work done (Rs.)	Total amount paid (Rs.)	Excess Payment (Rs.)
1.	Repair of drinking water pipeline from Rankey source to BAC	15 th FC	2022-23	2,00,000	1,64,899	1,87,965	23,066
2	Construction of toilet at ICDS	15 th FC	2022-23	1,90,000	1,53,033	1,55,033	2,000

We recommend prompt recovery of the overpaid amount of Rs 25,066/- and a review of the

payment approval process to prevent similar issues in the future.

9.2 Gyalshing Omchung GPU

It was observed by the audit team that the GPU made few payments by rounding off the exact expenditure to the nearest higher thousand, some of which are mentioned below. It was also noticed that the contingent bill was not prepared for the same. It is advised by the audit team that the exact amount should be paid by the GPU and the practice of rounding off to the nearest higher thousand should be discontinued.

Sl No.	Particulars	Amount Paid	Expenditure incurred	Cheque no
1	Cleanliness Drive	60,000	59,200	PFMS
2	Awareness programme on menstrual hygiene	36,000	35,830	PFMS

9.3 Namphing GPU

The Gram Panchayat had executed various civil works during the financial year 2023-24. The general procedure for execution of civil works from the Gram Panchayat Fund is prescribed in the 'Sikkim Public Works' Code and Manual and in 'Gram Panchayat Development Plan Implementation Manual' by the nodal Department (Rural Development Deptt) in a simplified manner.

For the work , installation of street light at Amaley primary school for an amount of Rs 1,61,699/- vide cheque no 241054 dated 13/06/2023, it was observed that payment was made to the contractor for the total value of work done but GST @ 18% (ie Rs 20,152/-) has not been credited in the government account.

10. DOUBTFUL EXPENDITURE

10.1 Malbasey GPU under Soreng BAC- Doubtful expenditure

The various irregularities were found for the work "Construction of CCFP at Bhirkuney" undertaken from 15th FC scheme by the contractor Mr. Biswa Tamang in convergence with MGNREGA with total amount Rs. 6,19,111/-.

Sl. No.	Particulars	Cheque no./date	Amount
1.	Construction of CCFP at Bhirkuney convergence with MGNREGA (15 th FC)	PFMS/25.09.2023	3,30,563/-

- According to GPDP Implementation manual, when the GP make proposal for the particular work, GP is required to forward the file to BAC as the BAC functionaries examine the proposal forwarded by the GP w.r.t. the compliance of stipulated norms provisioned in Budget & GPDP and other statutory compliances. The file is then forwarded to BDO for obtaining administrative approval. But **it was ascertained from the records that the file was not routed to BDO and Accounts section of the BAC which is highly objectionable.**
- The payment to Contractor for work done or services rendered are to be made on the basis of measurement book (MB) but it was seen in the GP that MB used for the work "Construction of CCFP at Bhirkuney (15th FC)" was not even issued. Moreover, **there was no signature of authorities in any pages of MB. In addition, there was no signature of concerned authorities in work bill form 24, form 44, estimate, other supporting documents, etc.**
- As per PWD code & manual and GPDP implementation manual, the work cannot be

executed without obtaining Technical sanction of detailed work estimate. But **it was found in GP that the work was completed & also made payment without obtaining technical sanction.** It is essential to obtain the necessary technical sanction before commencing any construction work to ensure compliance with quality standards and specifications.

- iv. **It was also revealed that the payments have been made to contractors without deducting GST** from the work bill which shows its non-compliance to the rule of GST in civil work. This has also resulted in a loss of revenue to the Government.

It appeared from the record that the GPK did not follow hierarchy or channel for approval and sanction for the said work. The GPK released the amount without following rules & guidelines and therefore it certainly creates doubt about the genuine utilization of public funds.

10.2 Bermiok Berthang GPU

For the payment incurred for the maintenance of ICDS and retrofitting of toilet, the work was awarded to seven (7) different individuals listed below for a total amount of Rs 5,65,200/- through PFMS:

Sl No	Name
1	Deepa Gurung
2	Radha Krishna Limboo
3	Sharmila Sharma
4	Purna Hang Limboo
5	Churamani Sewa
6	Rajman Mangar
7	Subash Subba

To facilitate transparent fund transfer within the government, the Public Financial Management System (PFMS) has been developed. Features such as vendor registration have been provided to track the flow of cash, by registering every vendor to which payment is made. However, for the payment mentioned above, the total amount has been transferred through PFMS to a single person (Panchayat Member) which hampers transparency and makes it difficult to track the cash flow. It also creates doubt on the legitimacy of the payment and whether all seven individuals got their share or not.

11. WASTEFUL EXPENDITURE

11.1 Gnathang GPU under Nandok BAC: Wasteful Expenditure for Purchase of Macbook 2 nos - Rs1,99,800/-

According to Rule 11 of Sikkim Financial Rules, 1979 which states about Standards of Financial Property concludes “Every officer incurring and authorizing expenditure from public money should be guided by high standards of financial property. The officer should also enforce financial and strict economy at every step and see that all relevant rules and regulations are observed by his own office and subordinate disbursing officers. The responsibility and accountability of every authority delegated with financial powers to procure any item or service on a Government account is total and indivisible”. Government expects that the authority concerned will have the public interest uppermost in its mind while making a procurement decision. This responsibility is not discharged merely by the selection of the cheapest offer but must conform to the yardsticks of financial property.

During the financial year 2023-24 the GPU incurred a sum of Rs 1,99,800/- as payment to

Linus Tech Store vide cheque no 016342 dated 15/05/2023 from SFC grant and Pfms id : 022024551506 dated 23/02/2024 from 15th FC grant for Purchase of two sets of Mac book which seems redundant .The expenditure incurred seems to be unnecessary as requirement of such high premium computer sets for administrative purposes seems to be non essential as it signifies wasteful expenditure through inefficient operations or unnecessary overhead cost that don't yield any returns. It would have been ideal to acquire basic specifications of computer sets through tender procedure along with the concurrence of the IT Department. Hence, expenditure was avoidable and could have been used for other purposes permissible as per the guidelines of 15th FC and SFC. Minimising wasteful expenditure typically involves careful budgeting, prioritizing needs and seeking cost effective solutions which can improve the financial health of the GPU.

12. IRREGULARITIES REGARDING REVENUE

12.1 Gnathang GPU: Recovery of double payment for Purchase of Projector -85,000/-

The Sikkim Panchayat Act 1993 read with Sikkim Financial Rules 2009 envisaged to govern the functioning of Panchayat including financial management and accountability. It states any amount due to the Government shall not be left unrealized without sufficient reason. If the amount appears to be irrecoverable, orders of the competent authority should be obtained for enforcing or expediting the recovery or for their write off.

On scrutiny of cash book observation were made wherein duplicity of payment was identified for the purchase of Projector amounting to Rs 85,000. The details of both the payment are as below:-

Particulars	Scheme	Amount	Details Of Payment
Purchase of Projector	SFC	85,000	016298, 06/10/2023
Payment for supply of projector	15 th FC	85,000	PFMS ID: 02202430315, 28/02/2024

The duplicity of payment was informed to the GPU authorities and on virtual acceptance by GPU authorities, the firm was directed to recover the amount which was executed by cheque no 961685 dated 10/07/2023 through SBS with amount Rs 85,000/-.

12.2 Riwa Machong GPU: Low Own Source Revenue under Riwa Machong GPU- Rs 13,535/-

Own Source Revenue refers to the fund that the Gram Panchayat generates independently. This revenue is crucial for the financial autonomy of the Gram Panchayat enabling it to manage local services and develop initiatives. These revenues can come from various sources including:-

- a) **Property Tax:** Tax levied on properties within the Panchayats jurisdiction.
- b) **Fees and Charges:** Fees for services provided by the Panchayat, such as issuing certificates, licensing, or providing water and sanitation services.
- c) **Market Fees:** Charges collected from markets or shops operating within the Panchayat area.
- d) **Rental Income:** Revenue from renting out Panchayat-owned assets, such as community halls or land.
- e) **Grants and Donations:** Contributions from individuals, businesses, or organizations etc.

During the audit of the Riwa Machong GPU it was observed the own source revenue generated by the Gram Panchayat was very low which only amounts to Rs 13,535 during the

audited financial year. To strengthen the financial independence, to improve service delivery, for empowerment of local governance and budget stability etc it is necessary for the Gram Panchayat to increase its own source revenue through various sources. Strengthening own source revenue for a Gram Panchayat involves a combination of strategic planning, administrative improvement and community engagement. Few of the major steps to strengthen or enhance revenue generation involve identifying current revenue sources, improving revenue collection mechanisms, increasing public awareness, regular monitoring and evaluation etc. By implementing the above major steps the GPU can enhance its own source revenue and also reduce its reliance on external funding which will enhance its financial sustainability and also helps in facilitating the execution of development projects.

12.3 Assam lingzey GPU under Nandok BAC: Use of Own Source Revenue(OSR)

Own Source Revenue (OSR) are funds that local Governments or Panchayats generate on their own, this includes various forms of income that Panchayats can collect directly. The Own Source Revenue is crucial for the financial autonomy and effectiveness of the local bodies. It enhances the financial independence of Panchayats, allowing them to implement and maintain local development services without relying solely on external funds as it supports long term planning and sustainable development at the local level.

It was observed Assam Lingzey GPU has maintained two accounts in the form of Own Source Revenue Collection bearing account number 2811100540200203 (SBS) and 3447764966(CBI). The total revenue collected is Rs 8,67,364 during the Financial Year 2023-24 whereas expenditure of Rs 5,83,000/- was used for the Purchase of computer set. However, analysis can be drawn wherein the fund which can be used for implementation of functioning and development of local area was used as administrative expenses in GPU rather incorporating the same in the annual proposal.

In contrast, the financial figures conclude the Own Source Revenue of GPU is accelerating at swift pace which is notable, as it reduces reliance on external funding resources and enhances the financial sustainability of the unit and facilitates the execution of the development initiatives for the welfare of the people.

12.4 Chuba Phong GPU

Generating revenue in a Gram Panchayat is essential for fostering local development and improving governance. It provides the financial foundation needed to meet local needs, improve infrastructure and services, and empower the public for long term growth and prosperity. Many factors help improve the revenue generation of the GPU such as Trade License, NOC, Tender form, etc.

The revenue generated by Chuba Phong GPU for the financial year 2023-24 is Rs 20,800/- which in comparison to other GPUs is very less. This lack of financial resources in term reduces the ability of the GPU to address local needs and increases its dependency on state or central funds.

The details are given in the table below:

Scheme	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
OSR	2058	20,800	433	23291	9,600	13691

12.5 Shipgyer GPU

The revenue generated by Shipgyer GPU (OSR bank A/C no 2813302140200790) for the financial year 2023-24 is Rs 15,020/- which in comparison to other GPUs is very less. This lack of financial resources in term reduces the ability of the GPU to address local needs and increases its dependency on state or central funds.

The details are given in the table below:

Scheme	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
OSR	10434	15,020	549	26003	10,000	16,003

12.6 Lingchom Tingda GPU

The revenue generated by Lingchom Tingda GPU for the financial year 2023-24 is Rs 34,927/- which in comparison to other GPUs is very less. This lack of financial resources in term reduces the ability of the GPU to address local needs and increases its dependency on state or central funds. The details are given in the table below:

Scheme	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
OSR	1060	34,927	139	36126	0	36,126

13. MISCELLANEOUS

13.1 Sudunglakha GPU : Unutilised Grant for Child Care Unit Scheme-Rs 1,70,259/-

The Child Care unit scheme initiated by the Government or the organisation is designed to provide support and resources for child care services. The scheme includes funding, training for caregivers and standards for child care facilities to ensure safety and quality. The key components of the scheme includes:-

- 1) **Financial Assistance:** Grants or subsidies for families to access affordable child care.
- 2) **Training Programs:** Development for caregivers to enhance skills and ensure high quality care.
- 3) **Quality Standards:** Regulations and guidelines that child care providers must meet.
- 4) **Resources Centres:** Support services for families, including information and referrals to local providers.

The Government releases special grants to the local bodies for implementing specific schemes. These grants are to be utilised for the purposes for which they meant for dully following the relevant guidelines. On scrutiny of records it was observed that Sudunglakha GPU under BAC-Rhenock have opened a separate bank account bearing account no 5101561466 under Central Bank of India for the Child care unit scheme. The GPU has been receiving grants on installments from the preceding financial year. An amount of Rs 50,000/- (**Cheque no: 101144 dated 04/05/2023**) has also been released as grants to the GPU for the financial year 2023-24. However, it was observed the scheme has not been initiated or brought into practise by the GPU from the past two years and grants are accumulated into the accounts of the GPU being unutilised. The closing balance figures for financial year 2023-24 for Child Care unit scheme is of Rs 1,70,259/- without any expenditure till date.

13.2 Yangsum GPU

As per section 87 of the Sikkim Panchayat Act-1993, "The Sabhapati or, as the case may be, the Adhakshaya shall produce, or cause to be produced to the auditor all such accounts of the fund of the Gram Panchayat or the Zilla Panchayat concerned as may be required by the auditor." However, the following files were not produced during the time of auditing:

Sl No.	Particulars	Amount	Cheque no
1	DA arrear of VAA	13068	043700 03/05/23
2	DA arrear of VAA	17952	047298 06/11/23
3	DA arrear of BFE	8736	047299 06/11/23

It is also worth mentioning that the circular for enhancement of DA from 42% to 46% w.e.f. 01/07/2023 vide circular number GOS/1(32)/Bud/Fin/2001-2002/Part II/01 was issued on 17th of June 2024. However, the DA arrears mentioned above have been withdrawn prior to the release of the official circular from the Government of Sikkim.

B. AUDIT PARAS OF ZILLA PANCHAYAT

Some of the selected audit objections of Zilla Panchayats for the financial year 2022-23 raised during the year 2023-24 are enumerated below:

1. NON ADHERENCE TO RULE

1.1 Namchi District Zilla Panchayat: Non -Compliance with PFMS Payment Rules

During the audit of the Namchi District Zilla Panchayat office, it was observed that the office made expenditures for the clearance of debris from the 15th FC fund through cheques, which is not allowed as per the Public Financial Management System (PFMS) rules.

The Public Financial Management System (PFMS) is a web-based online software application developed and implemented by the Controller General of Accounts (CGA), Department of Expenditure, Ministry of Finance, Government of India. PFMS started during 2009 with the objective of tracking funds released under all Plan schemes of Government of India, and real time reporting of expenditure at all levels of Programme implementation. Subsequently, the scope was enlarged to cover direct payment to beneficiaries under all Schemes.

PFMS is also the channel for payment, accounting, and reporting under Direct Benefit Transfer. As such, every Department/Ministry of Government of India transfers funds electronically to the beneficiary (individual or institution) through PFMS.

The Namchi District Zilla Panchayat office made the following expenditures using cheques, which is in contravention of the PFMS rules that mandate all fund transfers to be made through the PFMS system only:

- Cheque No. 000175 - ₹96,585/-
- Cheque No. 000176 - ₹101,235/-
- Cheque No. 177 - ₹95,190/-
- Cheque No. 178 - ₹144,000/-
- Cheque No. 179 - ₹150,000/-
- Cheque No. 180 - ₹103,600/-
- Cheque No. 181 - ₹188,700/-

The relevant file pertaining to these expenditures was not produced during the course audit.

1.2 Mangan Zilla Panchayat- Non-maintenance of files/documents of vehicles

As per section 16(1) of Appendix- 3A of the Sikkim Financial Rules, 1979, “History sheet of each government vehicle is to be kept as per the booklet attached to this appendix as annexure A”. However, during the course of the audit it was noticed that the history sheet of SK-01G-2363 was not updated by the ZP. The last updated record for purchase of tyres was on 07/06/2018 and last updated servicing record was on 20/06/2019.

Further, as per section 1 of Appendix- 3A of the Sikkim Financial Rules, 1979, “The expenditures on repairs of government vehicles shall not exceed the ceiling limit specified in schedule-I of this appendix”. To keep a tab on the ceiling limit, we would suggest the ZP to mention the ceiling limit of expenditure on repair along with the cumulative expenditure till date while processing the file for approval.

History books should be updated regularly as it provides detailed records of the vehicles past usage, maintenance, and repair history. This documentation is valuable for accountability, audit and transparency.

1.3 Gangtok Zilla Panchayat: Non execution of civil works through open competitive tender

The provisions in the Sikkim Financial Rules, 1979 and Sikkim Public Works Department Manual 2009 (Para 96 General Rules) states tenders must be invited in the most open and transparent manner preferably by advertisement in Sikkim Herald and national and local papers and by notice pasted in public places, duly hosting in the departmental website for transparent competition amongst bidders. In the notice inviting tenders/quotations minimum fifteen days should be given for purchase not exceeding Rs 10 lakhs and one month should be given for all purchase value which exceeds Rs 10 lakhs. The costs of the tender forms of different values fixed are as under:-

- a) Up to Rs 5 lakhs-Rs100/-
- b) Above Rs 5 lakhs and up to Rs 11 lakhs- Rs 250/-
- c) Above Rs 11 lakhs and up to Rs 20 lakhs- Rs 500/-
- d) Above Rs 20 lakhs and up to Rs 50 lakhs- Rs 1500/-
- e) Above Rs 50 lakhs and up to Rs 1 crore- Rs 5000/-
- f) Above Rs 1 crore and up to Rs 3 crore- Rs 30,000/-
- g) Above Rs 3 crore and up to Rs 10 crore- Rs 50,000/-
- h) Above Rs 10 crore and above, if any – Rs 2,00,000/-

However, on scrutiny of files and records related to execution of civil works it was observed through the approval of DPC meeting considering the works to be of utmost importance and to be commenced at the earliest the office of the Zilla Panchayat, Gangtok decided to execute all the civil works of 15th Finance Commission and State Finance Commission Departmentally instead of floating tenders. The office of the Zilla Gangtok, would have earned huge amount of revenue if the tender was floated as per the guidelines of the SPWD Code & Manual 2009 and Sikkim Financial Rules 1979 stated above. On the other hand executing civil works departmentally rather than through external contractors via tendering processes can also present several drawbacks as stated below :-

A) **Limited Expertise** - The office of the Zilla Panchayat may lack specialized skills or experience for certain type of civil works such as complex engineering designs or specialized construction techniques which can lead to compromise qualities or inefficiencies in execution.

B) **Resource Constraints** :- The Department may not have sufficient equipment, machinery or manpower to handle large scale or time sensitive projects effectively which can result in delays, increased cost or compromise in civil works outcomes.

C) **Higher Costs** :- While Departmental execution might save on tendering costs and contractor margins it can lead to higher costs if the Department needs to invest in new equipment, training or additional labor to complete projects.

D) **Risk Managements** :- The Department may face higher risks due to project delays, budget overruns or inadequate quality control without the external oversight and expertise provided by professional contractors.

In conclusion, the Departmental execution of civil works can offer certain advantages such as control over resources and scheduling, it also requires careful consideration of the potential drawbacks related to expertise, costs, accountability, and compliance with legal requirements. The office of the Zilla Panchayat, Gangtok should weigh these factors carefully when deciding between Departmental execution and external contracting through competitive tendering processes.

2. IRREGULARITIES IN THE EXECUTION OF WORKS

2.1 Gyalshing Zilla Panchayat

The Zilla Panchayat had executed various civil works during the financial year 2023-24. The general procedure for execution of civil works is prescribed in the 'Sikkim Public Works'

Code and Manual. However, following irregularities were noticed during the course of audit:

- i. As per section 154 of the Sikkim Public Works Code, 2009, “**Works may be executed in two ways (a) through Department by engaging labour (b) and through contractor.**
- ii. **(a) The work in the Department may be carried out departmentally if it is found more economical or urgent or for reasons of special importance, than through a contractor. In such cases, the work is done through labour engaged by the Department, supplying materials to the works.**” However, most works completed by the Zilla Panchayat during the financial year 2023-24 was done departmentally.
- iii. In some cases it was observed that necessary documents like Measurement book, MR acknowledgement, work bill were not enclosed in the work file.
- iv. The Government of Sikkim follows a system which is associated with the collection of fees for the use and extraction of forest resources. This system known as the “Forest Royalty” system is crucial for managing the state’s rich biodiversity and ensuring sustainable use of its forests. The revenue generated from these royalties is often used for forest conservation, community development and maintaining the ecological balance in the state.
- v. The Forest and Environment Department, Government of Sikkim, had laid down the royalty rates and fees on various forest produce and services vide notification no 305/GOS/FEWMD dated 30/03/2016. However, in some cases the ZP had not deposited forest royalty, which hampers the revenue collection of the forest department.
- vi. As per the existing norms of the Government of Sikkim, Rs 5/- (Rupees five only) should be deducted as stamp duty for bills exceeding Rs 5000/- (Rupees Five Thousand only) and should be deposited in the finance revenue head. However, during scrutiny of documents, stamp duty was not deducted in some cases.

3. NON PRODUCTION OF FILES

3.1 Mangan Zilla Panchayat

As per section 87 of the Sikkim Panchayat Act-1993, “The Sabhapati or, as the case may be, the Adhakshaya shall produce, or cause to be produced to the auditor all such accounts of the fund of the Gram Panchayat or the Zilla Panchayat concerned as may be required by the auditor.” However, the following files were not produced during the time of auditing:

SI No.	Particulars	Amount	Cheque no
1	Repair and renovation of water supply connectivity at MDZP	399855	018225 12/09/2023
2	Establishment of biodiversity at Naga	1874490	401569 18/04/2023

4. DIVERSION OF FUND

4.1 Soreng Zilla Panchayat: Diversion of fund

On scrutiny of records revealed that in the month of September 2023, there was an expenditure amounting to Rs. 6,72,000/- as payment of vehicle hiring charges utilised by Adhakshya and Up-Adhakshya, SDZP. The payment for such works was to be made from GIA account but due to a shortfall of funds in the said scheme, ZP had made payment from the 4th SFC after taking prior approval from the Finance department. However, it was noticed that the amount has not been refunded to the SFC scheme till the date of audit which is highly irregular.

The expenditure was incurred vide

- cheque no. 942595/05.09.2023 amounting to Rs. 3,32,640/-
- cheque no. 942597/12.09.2023 amounting to Rs. 6720/-
- cheque no. 942596/13.09.2023 amounting to Rs. 3,32,640/-

Therefore it is advised to refund the total amount of Rs. 6,72,000 from GIA fund to SFC as early as possible. This has also resulted in loss of interest in the SFC account. Action taken in this regard may be intimated to audit.

5. NON-UTILIZATION OF FUND

5.1 Pakyong Zilla Panchayat: Non utilization of fund in 15th FC & EFF scheme

The 15th FC scheme in Panchayati Raj refers to the financial recommendations made by the 15th Finance commission of India for the devolution of funds to Panchayats and Municipalities for the period 2020-2025. These funds are intended to empower local governance, improve service delivery and strengthen the functioning of local bodies in rural and urban areas. The key objectives of the 15th FC are:-

- 1) Enhance local Governance.
- 2) Improve service delivery.
- 3) Promote fiscal federalism.
- 4) Encourage administrative reforms.
- 5) Promote Sustainable Development.

Similarly, the EFF scheme in Panchayati Raj refers to Empowered Functionaries Fund which is aimed at strengthening local governance in rural areas. The scheme is designed to enhance the effectiveness of Panchayats to ensure the functionaries at the grassroots level are empowered and adequately funded to carry out their responsibilities. The key objectives of the EFF schemes are:-

- a) Empowerment of Panchayat Functionaries.
- b) Financial Support for Rural Development.
- c) Capacity Building.
- d) Monitoring and Accountability.

The financial position of the Zilla Panchayat, Pakyong in 15th FC and EFF scheme For Financial Year 2023-24 are illustrated as below :-

Scheme	Opening Balance	Receipts	Interest	Total Receipts	Payment	Closing Balance
15 th FC	0	4533000	35650	4568650	0	4568650
EFF Scheme	0	8366632	251404	8618036	0	8618036

On scrutiny of cash book and bank statement/cash total expenditure(payment) it was observed that for the financial year 2023-24 the Zilla Panchayat, Pakyong received a grant of Rs 45,33,000 for the 15th FC scheme and Rs 86,18,036/- under EFF scheme which was underutilized till date and financial resources being accumulated into the accounts of the office as such these can have implications on the timely completion of projects, economic efficiency and accountability. Considering the above financial figures it was revealed that the office of the Zilla Pakyong has huge sum of savings in the close of financial year. Scores of money which should have been utilized in various development works remained parked in the various accounts as made evident in the figures given above through financial position. It shows failure of proper planning and inability of execution of works in a timely manner as per the annual plan.

6. MISCELLANEOUS

6.1 Namchi Zilla Panchayat: Loss of Revenue Due to Non-Increase of Rent

This observation details the financial loss incurred by the Namchi District Zilla Panchayat due to non-compliance with the lease agreement for an ATM machine installed on the premises. The lease agreement stipulated a 10% increase in rent every three years, starting from 01/01/2021. Additionally, it was observed that rent was not collected in a timely manner, compounding the revenue loss.

Lease Agreement Overview

- **Lease Term:** 5 years (01/01/2021 to 31/12/2025)
- **Base Rent:** ₹8,000 per month
- **Escalation Clause:** 10% increase at the end of every three-year period

According to Sikkim Financial Rule Chapter II (Assessment, Collection & check of Revenues) Section I Rule 6 “Subject to the provision of rule 50 and such general and specific instructions as may be issued by Government, It is the duty of each department to ensure that the dues of government are correctly and promptly assessed, collected and paid into the bank”.

- **Rent Escalation Non-Compliance**

The lease agreement required a 10% rent increase every three years. The expected rent schedule should have been:

From 01/01/2021 to 31/12/2023: ₹8,000 per month

From 01/01/2024 to 31/12/2025: ₹8,800 per month

The actual rent collected remained ₹8,000 per month throughout the entire lease term, failing to comply with the escalation clause.

- **Delayed Rent Collection**

Records indicate that rent payments were not collected in a timely manner, leading to further financial discrepancies and administrative inefficiencies.

- **Revenue Loss Calculation**

Period 1 (01/01/2021 to 31/12/2023):

- Rent collected: ₹8,000/month × 36 months = ₹288,000

Period 2 (01/01/2024 to 31/12/2025):

- Expected rent (with 10% increase): ₹8,800/month × 24 months = ₹211,200
- Actual rent collected: ₹8,000/month × 24 months = ₹192,000

Total Revenue Lost:

₹211,200 - ₹192,000 = ₹19,200

PART II - MUNICIPALITIES

A. AUDIT PARAS OF NAGAR PANCHAYAT

Some of the selected audit objections of Nagar Panchayat for the financial year 2022-23 & 2023-24 are enumerated below.

1. NON ADHERENCE TO RULES

1.1 Rangpo Nagar Panchayat - Absence of Crucial Financial Registers

A review of the Nagar Panchayat's (NP) financial management system revealed a concerning absence of several essential registers. This lack of critical documentation hinders transparency, accountability, and effective financial oversight.

- **Missing Advance Register:** The NP does not maintain an Advance Register, a crucial document that tracks all advance payments made to contractors or employees. Without this register, it is difficult to monitor the justification, amount, and repayment status of such advances.
- **Missing Ledger:** The absence of a ledger, which serves as the central record of all financial transactions, is a significant shortcoming. The lack of a ledger makes it challenging to track financial activity, reconcile accounts, and prepare accurate financial statements.
- **Missing Bill Register:** A Bill Register, which records all incoming and outgoing bills, is apparently not maintained. This omission makes it difficult to track payable and receivable amounts, potentially leading to delays in payments or difficulties in collecting outstanding dues.
- **Missing Salary Audit Register (Non-Regular Employees):** The NP lacks a dedicated Salary Audit Register for non-regular employees. This absence makes it difficult to ensure the accuracy and legitimacy of payroll for temporary or contract staff.

1.2 Rangpo Nagar Panchayat - Irregularities and Non-Compliance in 15th Finance Commission (FC) Fund Utilization

A review of the 15th Finance Commission (FC) fund utilization revealed significant irregularities and non-compliance with mandated guidelines. These include:

- **Undertaking Works Without Prior Approval:** Works were undertaken without obtaining prior approval for a sanctioned plan, violating proper financial management procedures. This bypasses the plan approval process, hindering effective resource allocation and project prioritization based on community needs.
- **Lack of Segregation Between Tied and Untied Funds:** A clear distinction is not maintained between tied and untied components of the 15th FC funds. This raises concerns about adherence to mandated spending guidelines. The lack of segregation creates a risk of misuse or misappropriation of funds, potentially diverting resources away from their intended goals.
- **Unallowable Works and Expenditures:** The Nagar Panchayat carried out works and incurred expenditures that are not permissible under the 15th FC guidelines. This constitutes a diversion of funds.
- **Diversion of Funds:** According to the manual for the utilization of 15th FC tied grants to Rural Local Bodies /PRIs for water & sanitation, the 15th Finance Commission grants should not be used as a state share/contribution towards any particular scheme. However, transfers were made from the 15th FC account to Revenue Account and SFC account,

- which is a violation of proper financial management practices.
- Indiscriminate Payments: Payments for 15th FC funded projects were made without proper justification or adherence to established procedures. This weakens transparency and accountability.
- Use of Cheques for Payments: Payments for 15th FC funds were made using cheques, which is a violation of the mandated guidelines requiring utilization through the Public Financial Management System (PFMS).
- Unrecorded Advances: Advances were provided from 15th FC funds without proper recording or adherence to established procedures, increasing the risk of misuse.
- Non-Permissible Payments: The Nagar Panchayat used 15th FC funds for expenditures not permitted under the guidelines, such as repairs of vehicles.

1.3 Rangpo Nagar Panchayat - Irregularities in State Finance Commission (SFC) Fund Utilization

A review of the State Finance Commission (SFC) fund utilization revealed concerning practices involving both the nature and frequency of fund disbursements.

Permissible Uses: While SFC funds can be used for a broad range of activities, they are generally allocated for two main purposes as outlined in the SFC guidelines for Sikkim:

- a. Meeting administrative and establishment expenses: This includes expenditures related to salaries, allowances, sitting fees, and honorariums for Nagar Panchayat elected members.
- b. Implementation of development work: These funds can be used for various development projects that benefit the community.

However, the Nagar Panchayat appears to have utilized a significant portion of SFC funds for purposes that deviate from these categories. These questionable expenditures include:

- Office expenses and purchase of stationeries, computers, etc.
- Repair and maintenance of vehicles
- Purchase of tires and tubes
- Purchase of fuels
- Purchase of items for solid waste management
- Meeting and programme expenses

Furthermore, the frequent transfer of funds between the SFC account and other accounts further complicates the ability to track how these funds are being used.

1.4 Rangpo Nagar Panchayat - Absence of Annual Plan and Budget

A review of the financial management practices within the Nagar Panchayat (NP) revealed the concerning absence of an annual plan and budget for the financial year 2022-23 and 2023-24. These documents are crucial for effective resource allocation, project prioritization, and ensuring alignment with community needs.

1.5 Singtam Nagar Panchayat - Irregularities in 15th Finance Commission (FC) Fund Utilization

- Works were undertaken without prior approval of a sanctioned plan, violating proper financial management procedures.
- No clear distinction exists between tied and untied components of the 15th FC funds, raising concerns about adherence to mandated spending guidelines.

1.6 Nayabazar Jorthang Nagar Panchayat - Irregularities and Non-Compliance in 15th Finance Commission (FC) Fund Utilization

A review of the 15th Finance Commission (FC) fund utilization revealed significant

irregularities and non-compliance with mandated guidelines. These include:

- Use of Cheques for Payments: Payments for 15th FC funds were made using cheques, which is a violation of the mandated guidelines requiring utilization through the Public Financial Management System (PFMS).
- Unadjusted Advances: Advances were provided from 15th FC funds for purchase of water tank (1000ltrs 180nos) amounting to Rs 10,62,000/-, but the adjustments are not done till date, increasing the risk of misuse.
- Non-Permissible Payments: The Nagar Panchayat used 15th FC funds for expenditures not permitted under the guidelines, such as purchase of garbage tipper amounting to Rs 21,22,540/-.
- Taxes not deducted: In most cases, the Nagar Panchayat failed to deduct taxes such as forest royalty, labor cess, etc.
- Diversion of fund: It was observed during the audit that funds allocated under the 15th Finance Commission account were diverted to the Revenue account of the NP. The 15th FC grants are earmarked for developmental projects and local government infrastructure improvements. However, a sum of Rs 10,00,000/- was transferred to the revenue account without proper justification.
- Unjustified Advance Withdrawal: A total advance of Rs 4,00,000 was withdrawn by the Jorethang Nagar Panchayat for the Resource Recovery Centre project at Shipchu (the details of which are given in the table below). However, the withdrawal lacks supporting documents such as files, invoices, receipts, to substantiate the expenditure. This absence of proper documentation raises serious concerns about the transparency and accountability of the financial management surrounding the project.

SI No	Details	Amount	Cheque No
1	Advance for RRC at Shipchu	2,00,000	106458 10/08/2022
2	Advance for RRC at Shipchu	1,00,000	106467 16/09/2022
3	Advance for RRC at Shipchu	1,00,000	116376 15/10/2022
TOTAL		4,00,000/-	

1.7 Mangan Nagar Panchayat - Irregularities in Direct Purchases and Inventory Management

A review of the Nagar Panchayat's (NP) procurement practices identified instances of direct purchases bypassing established procedures and a lack of proper documentation for inventory management. These irregularities raise concerns about inefficiency, a potential for inflated costs, and a lack of transparency.

- Direct Purchases without Tenders: The NP has engaged in direct purchases without following the mandated NIT (Notice Inviting Tender) or tender process. This practice undermines fair competition and potentially leads to higher procurement costs.
- Absent Market Research and Price Comparisons: There is no evidence of conducting market research or price comparisons before making purchases. This raises concerns about whether the NP is obtaining the best value for its money.
- Missing Supply Orders: Supply orders, which authorize the procurement of specific goods or services, are frequently absent from purchasing files. The lack of these documents creates ambiguity regarding purchase approvals and adherence to established protocols.
- Poor Filing and Documentation: Overall filing and documentation practices related to purchases are inadequate. This makes it difficult to track procurement activities, verify

the legitimacy of transactions, and ensure accountability.

- Limited Stock Entry: Stock entry procedures for purchased items appear to be neglected in most cases. This creates a discrepancy between what is purchased and what is actually available in the NP's inventory, hindering effective stock management and control.

Some of these purchases are mentioned below:

Sl No	Particulars	Amount	Cheque No	Date
1	Student gallery	36700	335391	15/03/23
2	GCI sheet fencing at Children park	12000/- 35000/- 280000/-	335385 335386 335387	24/01/2023
3	Plaza Stairs	30000	335389	15/03/2023
4	Car parking Pentok	30000/- 15000/-	335392 335393	05/03/2023
5	Supply of Syntex	49210	426592	24/02/2023
6	Tap and water connection at Canara Bank and Music Class	37700	406382	03/03/2023
7	3 nos of hoarding board	45000	469855	05/09/2023
8	Supply of notice board, etc	36466 40560	702205 702206	06/06/2023
9	Computer consumables	24798	335378	19/10/2023
10	Purchase of stationeries	27544	446098	08/12/2022
11	Purchase of stationeries	14589	523216	02/11/2022
12	Purchase of stationeries	14945	523244	20/07/2022
13	Purchase of heater	15591	523233	06/07/2022
14	Purchase of stationeries	15008	509200	29/06/2022
15	Purchase of stationeries	14765	304476	07/04/2022

2. IRREGULARITIES IN EXECUTION OF WORKS

2.1 Rangpo Nagar Panchayat - Extensive Irregularities in Civil Works Execution and Financial Management

A review of the Nagar Panchayat (NP) civil works execution practices revealed numerous shortcomings in adherence to established procedures and financial regulations. These irregularities raise significant concerns about transparency, accountability, and potential misuse of public funds.

Specific irregularities identified include:

- Improper Filing and Documentation: Files related to civil works execution are poorly organized and lack essential documentation, hindering transparency and auditability.
- Missing Royalty Deductions: In many cases, royalty deductions for extracting minor minerals used in construction projects are absent. This omission represents a loss of revenue for the NP.
- Dominant Departmental Works: The majority of civil works are reportedly carried out departmentally, bypassing the tendering process. This practice raises concerns about fairness, transparency, and potential for inflated costs.
- No Tenders or NITs: There appears to be a lack of tender procedures for awarding contracts. Notice Inviting Tenders (NITs), a crucial step in ensuring competitive bidding, are not being issued.

- **Nominee Contractors and Unsigned Contracts:** In some instances, nominee contractors are used, but payments are made in the name of the Assistant Engineer (AE). Furthermore, contract documents for such projects are often unsigned, raising serious concerns regarding the validity of these agreements.
- **Missing Work Orders and Supply Orders:** For contract works, work orders, which authorize the commencement of specific tasks outlined in the contract, are frequently missing from project files. Similarly, for departmental works, supply orders detailing the procurement of materials are often absent.
- **Prevalent Advance Payments:** Advance payments to contractors were observed in almost all works. However, no Advance Register, a record of all advance payments, was found. This widespread practice of issuing advances without proper documentation raises concerns about the justification and control over these disbursements.
- **Missing Sanction Orders and Measurement Books:** Sanction orders authorizing the execution of works and Measurement Books documenting project progress and materials used are frequently absent. The absence of these documents complicates project monitoring and financial accountability.
- **Unacknowledged Muster Rolls and Missing Work Bills:** Muster Roll sheets, which record worker attendance and payments, are not acknowledged as received by workers. Additionally, work bills, detailing the scope and cost of completed works, are often missing.
- **Labour Cess Discrepancies:** Labour cess, a tax meant for welfare programs, is included in project estimates and bills. However, there is no evidence of Labour Clearance Certificates or deductions made for this purpose.
- **Unclear Payment Records:** Essential payment details like cheque numbers and disbursement details are frequently missing from project files. This makes it difficult to track the flow of funds and identify potential irregularities.
- **Unauthorized Works and Multiple Funding Sources:** Some projects appear to have been undertaken without approved plans. Additionally, payments for these projects may be made from multiple accounts or funds, further obscuring the proper allocation of resources.

2.2 Singtam Nagar Panchayat - Irregularities Swachh Bharat Mission (SBM) Fund Utilization

A review of the Swachh Bharat Mission (SBM) fund utilization revealed significant irregularities such as:

According to rule 147 of the Sikkim Financial Rules, 1979, “As a general rule, and subject to such exceptions as may be authorized by the government, no payment can be made to a contractor except for work actually done or supplies actually received. Subject to such general or special orders as may be issued by the government in this behalf, advances, if any, made to contractors during the execution of a work shall invariably be recovered from their bills for the value of works done or supplies made before final payment is made, which must, in no case, be permitted without detailed measurement.”

For construction of Resource Recovery Center, which was jointly funded by Rangpo NP and Singtam NP, a total payment of Rs Fifteen Lakhs only (Rs 15,00,000 /-) has been made by Singtam NP to Rangpo NP (Rs 12,00,000/- through PFMS and Rs 3,00,000/- to the contractor). However, as per enquiry, it has been revealed that the work is still pending and the work is not completed till date, but full payment has been made for the same.

According to section 4 subsection 1 of the Sikkim Public Works Manual 2009, “Any proposal for work generally consists of a report, plans, specification and a detailed statement of measurements, quantities and rates with an abstract showing the total estimated cost of each

item. These documents together form what is called “The estimate.” In the case of a project consisting of several works, the report may be a single document for all the works and likewise the specifications; but details of measurements and abstract may conveniently be prepared for each work, supplemented by a general abstract bringing the whole together.”

For the construction of “Community collection center at various wards located under Sikkim state” for an amount of Rs 15,09,153/-, it has been noticed that payment was made in full without creation of Measurement Book, estimate and work bill.

2.3 Nayabazar Jorhang Nagar Panchayat - Irregularities in Swachh Bharat Mission (SBM) Fund Utilization and construction of Resource Recovery Centre (RRC)

Observation:

- a) A review of the Swachh Bharat Mission (SBM) fund utilization revealed significant irregularities such as:
 - Improper maintenance of cash book: As per rule 49 subsection (iii) of the Sikkim Financial Rules – 1979, **“The cash book should be closed regularly and completely checked. The head of the department/office should verify the total amount of the cash book or have this done by some responsible subordinate other than the writer of the cash book and initial it as correct.”** However, the cash book was not closed regularly nor checked which increases the risk of errors.
- b) Construction of Resource Recovery Centre in Jorethang and observation thereof:
 - Location at landfill site: The Resource Recovery Center (RRC) in Jorethang, Sikkim, has been constructed at an existing landfill site, contrary to the best practices of waste management, which recommend building recovery centers away from landfill areas. The placement of the RRC at the landfill has not achieved its primary objective of reducing the load on the landfill, as the waste processing capacity has been insufficient to divert significant volumes of waste. This could have long-term implications on the landfill’s capacity and environmental impact.
 - Ineffectiveness in reducing landfill load: The RRC focuses on managing and processing municipal solid waste effectively. It operates under the principles of sustainable waste management, emphasizing waste segregation, recycling and composting. The center also aims to minimize waste sent to landfills by converting recyclable materials. This initiative aligns with the broader goals of the Swachh Bharat Mission. However, the centre has not been successful in substantially reducing the waste load at the landfill, which is a key objective of its establishment. This failure highlights the need for better planning and operational strategy to ensure that the RRC fulfills its intended purpose of minimizing the environmental burden of waste disposal.
 - Substandard Quality: A field visit of the audit team to the RRC in Jorethang revealed that it was substandard in nature. Several issues related to the quality of construction, material usage, and adherences to design specifications were observed, leading to concerns regarding the longevity and the effectiveness of the facility. This compromises its intended function of processing waste efficiently.
 - Budget Overrun: The project exceeded its allocated budget of Rs 15,09,153. The total expenditure surpassing the approved financial limit raises questions about the financial management and oversight during the project’s implementation. No sufficient justifications for the cost overruns were provided during the audit, suggesting the inadequate budget control and potential lapses in procurement procedures.
 - Unjustified Advance Withdrawal: A total advance of Rs 7,00,000 was withdrawn by the Jorethang Nagar Panchayat for the Resource Recovery Centre project (the details of which are given in the table below). However, the withdrawal lacks supporting documents such as files, invoices, receipts, to substantiate the expenditure. This absence

of proper documentation raises serious concerns about the transparency and accountability of the financial management surrounding the project.

Sl No	Scheme	Details	Amount	Cheque No
1	SBM	Advance for RRC	2,00,000	238100 05/07/2022
2	SBM	Advance for RRC	1,00,000	238102 19/07/2022
3	15 TH FC	Advance for RRC and Green Park repair	2,00,000	106459 22/08/2022
4	15 TH FC	Advance for RRC	2,00,000	106465 07/09/2022
TOTAL			7,00,000/-	

According to section 4 subsection 1 of the Sikkim Public Works Manual 2009, “**Any proposal for work generally consists of a report, plans, specification and a detailed statement of measurements, quantities and rates with an abstract showing the total estimated cost of each item. These documents together form what is called “The estimate.”** In the case of a project consisting of several works, the report may be a single document for all the works and likewise the specifications; but details of measurements and abstract may conveniently be prepared for each work, supplemented by a general abstract bringing the whole together.” However it was noticed that, an extra sum of money was added to the already sanctioned amount for the construction of RRC. The extra sum of money was directly drawn and it neither had an estimate nor escalation percentage. It also did not have any narration.

3. IRREGULARITIES IN REVENUE

3.1 Rangpo Nagar Panchayat - Incomplete Revenue Records, Lack of Staff Support, and Critical Need for Improved Revenue Management

- Difficulty obtaining detailed revenue collection information due to incomplete records. Revenue receipts are not categorized or regularly tabulated, hindering transparency and accountability.
- There appears to be a lack of proper record maintenance by revenue collection staff. This creates significant challenges for the accounts section in managing and processing revenue data.

3.2 Singtam Nagar Panchayat - Incomplete Revenue Records, Lack of Staff Support, and Critical Need for Improved Revenue Management

- Difficulty obtaining detailed revenue collection information due to incomplete records. Revenue receipts are not categorized or regularly tabulated, hindering transparency and accountability.
- There appears to be a lack of proper record maintenance by revenue collection staff. This creates significant challenges for the accounts section in managing and processing revenue data.

3.3 Rangpo Nagar Panchayat- Deficiencies in Municipal Car Parking and Bazaar Contract Management

A review of the current car parking and bazaar contract management practices revealed significant shortcomings. These deficiencies expose the Nagar Panchayat (NP) to financial risks and hinder transparency in the contracting process.

- Missing Security Deposit Clause: The current contract lacks a security deposit clause, as previously noted. This omission leaves the NP vulnerable to financial losses if users damage parking facilities.
- Improper Handling of Tender Amount: The tender amount appears to include the Tender

Deposit Receipt (TDR) or Security Deposit (SD) portion submitted by the highest bidder. This practice violates standard contract procedures, reducing the effectiveness of the TDR/SD as a financial guarantee.

- Improper Contract Practices: Evidence suggests that the overall contracting process is not conducted following established procedures. This raises concerns about fairness, transparency, and potential irregularities in contract awards.
- Incomplete Documentation: Files and documentation related to the contract appear to be incomplete or disorganized. This hinders effective contract management and makes it difficult to track key details or hold parties accountable for their obligations.

3.4 Rangpo Nagar Panchayat - Irregular Loan Practices in the Nagar Panchayat (NP) funded from the State Finance Commission (SFC) Account

The audit identified concerning practices related to loans provided by the Nagar Panchayat (NP). These practices are particularly concerning due to the source of funding: the State Finance Commission (SFC) account.

- Loan Recipients: Loans were granted to both Muster Roll and non-regular employees. These groups typically fall outside the standard NP employee categories and may not be eligible for such loans under established policies.
- Mischaracterization of Loans: The loans appear to be recorded in the register for advances to employees. However, this categorization might be misleading if the loans are intended for different purposes.
- Lack of Salary Deduction Records: The absence of a salary audit register makes it impossible to verify whether loan repayments are being deducted from salaries as intended. This lack of documentation creates a risk of unrecorded or untracked loans, hindering financial transparency.
- Irregular Loan Recipient: A regular employee, the Bazaar Inspector, received a loan of Rs. 80,000. This practice deviates from the usual purpose of such loans, which is typically to provide financial assistance for medical emergencies or other unexpected needs, primarily for non-regular employees.

3.5 Singtam Nagar Panchayat - Missing Security Deposit and Improper Tender Handling in Municipal Car Parking and Bazaar Contract

Observation:

- Missing Security Deposit Clause: The current car parking and bazaar contract lacks a security deposit clause, exposing the Nagar Panchayat to financial risks in case of damage to parking facilities by irresponsible users.
- Improper Handling of Tender Amount: We observed that the tender amount appears to include the Tender Deposit Receipt (TDR) or Security Deposit (SD) portion submitted by the highest bidder. This is a violation of standard contract practices.

3.6 Jorthang Nagar panchayat - Deficiencies in Car Parking, two wheeler parking, pay and use toilet and Shopping Complex Shop Contract Management

A review of the current car parking and bazaar contract management practices revealed significant shortcomings. These deficiencies expose the Nagar Panchayat (NP) to financial risks and hinder transparency in the contracting process.

- Non Compliance with contract agreement for shopping complex shop contract: Evidences suggest that few terms and conditions of the contract agreement were not followed by the nagar panchayat or the lessee, namely, serial No 3 of the agreement suggests that shopping complex shop rent is payable within 10th day of every month, failing which the arrear along with the penal interests @10% on monthly rent shall be

recovered. Also, serial no 6 of the agreement states that if the lessee fails to pay monthly rent for 3 consecutive months then the allotment made will be made to another eligible beneficiary. The details of the shop that have not complied with the contract agreement are as under:

SI No	Name	Shop No	Rent Per Month
1	Buddha Bir Jogi	4	1840
2	Bhuwan Tiwari	22	1740

Similarly, serial no 7 of the agreement suggests 10% increase in rent of the shopping complex shop rent every 5 years, and in few cases this agreement has not been followed.

- Non Compliance with contract agreement for car parking: Evidences suggest that few terms and conditions of the tender document and contract agreement were not followed by the nagar panchayat or the lessee. For eg, Serial no 3 of the tender document mentions that, the successful tenderer will have to pay the full amount at the time of signing the car parking agreement. No installment payment shall be permitted. In the event of the failure to deposit the full contract amount, the security deposit of the successful bidder shall be forfeited and the contract will be awarded to the next highest bidder provided the rate offered is above the offset price and the above conditions are fulfilled. Also, Serial no 1 of the contract agreement states that, the contractor shall pay the yearly contract fee in full at the time of signing the agreement. However, Smt. Doma Sherpa (Car parking Naya Bazar) has not complied with the terms of contract as mentioned above and has defaulted a sum of Rs 1,99,481/-. A final notice regarding non-payment of outstanding dues by her vide reference no 95/NJNP/2024 dated 19/02/2024 was prepared. The next highest bidder Shri Rajen Subba (bid of Rs 4,61,550/-) should have been awarded the contract instead.

Similarly, Shri. Dorjay Tamang (Car parking Jorethang Bazar) was the highest bidder with a bid amount of Rs 5,16,000/- . It was observed that Rs 4,08,000/- was paid by him in two installments and no record was found for the remaining amount of Rs 1,08,000/-. Final notice regarding non payment of outstanding dues was also not found.

- Non Compliance with contract agreement for two wheeler parking: In this case, it was clearly noticeable that Mr Benzamin Rai (lessee) had been nominated by board of councilors vide agreement dated 28/03/2023. However, the contract agreement was faulty as there was no provision for Security Deposit. Hence, no security deposit or TDR was collected from the lessee. Further, the lessee had to pay Rs 1,60,000/- p.a. but he paid Rs. 50,000/- and had defaulted the remaining amount of Rs 1,10,000/-. The Nagar Panchayat sent a final notice for non payment of outstanding dues vide ref no 37/NJNP/2024 dated 19/02/2024 yet, there is no record of recovery of dues.
- Improper Handling of Tender Amount: The tender amount appears to include the Tender Deposit Receipt (TDR) or Security Deposit (SD) portion submitted by the highest bidder. This practice violates standard contract procedures, reducing the effectiveness of the TDR/SD as a financial guarantee.
- Lack of corrective measures: The nagar panchayat does not take corrective measures to recover lost revenue. As most of the revenue being generated is being defaulted or the nagar panchayat fails to collect penal interests/ arrears, as is evident from the observations above.

4. MISCELLANEOUS

4.1 Rangpo Nagar Panchayat - Delayed CA Reports and Questionable Consultant Fees

A review of the Nagar Panchayat's (NP) financial management practices revealed concerning

issues related to delayed financial reports and consultant fees.

- **Missing CA Reports:** The CA reports for the financial years (FY) 2022-23 and 2023-24 are currently unavailable for audit review. These reports are crucial for a comprehensive assessment of the NP's financial health.
- **High Consultant Fees:** The NP hired an IT consultant, Mani Pradhan, for Rs. 85,000 to prepare the FY 2021-22 CA report. This fee appears to be excessively high, especially considering it was for the preparation of a report for a single fiscal year.

4.2 Singtam Nagar Panchayat - Delayed CA Reports & Improper Cashbook Handling

Significant Delays: The 2022-23 Chartered Accountant (CA) reports are nearly a year overdue, causing delays in the audit completion process and potentially hindering timely submission to relevant authorities. Also, the reports for 2023-24 are yet to be prepared.

B. AUDIT PARAS OF MUNICIPAL CORPORATION 1. NON COLLECTION OF REVENUES
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1.1 Gangtok Municipal Corporation - Non collection of revenue from Integrated Sports Arena by the Gangtok MC

The Gangtok Municipal Corporation was in possession of the Integrated Sports Arena with a total build up area of 30,410 sq ft and a total seating capacity of 572, in the galleries situated at the top floor of the GMC office building, Deorali, Gangtok, East Sikkim which the GMC had developed recently after having invested heavily on the said project.

As per the lease deed no. C 073216 dated 25th March 2022 between the Gangtok Municipal Corporation and M/S Sikkim Aakraman Sporting Club. The sporting club was granted permission by the GMC to operate the sports arena for a period of 60 months (5 years) commencing from 01.04.2022 to 31.03.2027 and the rent for the same was fixed at Rs 4,85,000/- (Four Lakhs and Eighty Five Thousand only) per month exclusive of all taxes and charges.

However, it was observed by the audit, that the sporting club had not paid rent after taking possession of the sports arena till date. The total rent till date (Nov 2023) to be collected by the GMC from the sporting club amounts to Rs 92,15,000/- (from 01.04.2022 – 30.11.2023) exclusive of all taxes and charges.

It was also mentioned in serial no 7 of the lease deed that the club at the time of execution of the agreement shall also deposit Rs 14,55,000/- (Fourteen Lakh and Fifty five thousand only) as interest free security deposit (3 months rent). Necessary documents relating to the submission of the security deposit if made by the sporting club was not produced to the audit team.

CONCLUSION

The conclusion drawn based on the audit conducted on the accounts of the Local Bodies are as under:

The audit of local bodies in Sikkim, conducted by the Directorate of Local Fund Audit (DLFA), is mandated by the Sikkim Local Fund Audit Act 2012, aligning with the recommendations of the Central Finance Commission. The DLFA has steadily increased its audit coverage, examining 209 out of 212 Panchayati Raj Institutions (PRIs) and Urban Local Bodies (ULBs) for the fiscal year 2023-2024.

The audit revealed several common issues:

- **Non-adherence to rules, notifications and circulars** issued by the State and Central Governments was found in most local bodies.
- Expenditures were frequently made **without proper vouchers** as required by existing laws and rules.
- Local bodies often failed to **remit taxes and revenues** like GST, TDS and forest royalties to the government.
- **Store procurements** were often done without proper market analysis, leading to excess payments.
- **Basic record-keeping** was inadequate, with missing cash books, registers, and ledgers.
- Local bodies did not always levy taxes as required by the Sikkim Panchayat Act, 1993.
- A major challenge was the **lack of responses** from local bodies to audit observations, which should be done online.

The XV Finance Commission has mandated that all accounts be audited and completed by September of the particular year for the fiscal year since 2022-23. The DLFA has met the target of 100% audits for the PRIs for the fiscal year 2023-24. However, some local bodies demonstrated systemic issues and required remedial action.

The audit for the financial year 2023-2024 included Gram Panchayat Units, Zilla Panchayats, Nagar Panchayats, and the Gangtok Municipal Corporation. The audit revealed specific instances of financial mismanagement, such as:

- **Cheques issued to individuals instead of payees**, violating financial rules.
- Works undertaken **without proper approvals** or technical sanctions.
- Payments made without essential documents like **measurement books or completion certificates**.
- **GST and royalty deductions** not being made, or not deposited to the government.
- **Non-utilization of funds**.
- **Excess payments** and rounding off of expenditures to the nearest thousand.
- **Non-production of records** during audits.
- Diversion of funds from designated accounts.
- Poor contract management practices.
- **Delayed audit reports** and questionable consultant fees.

The DLFA has been expanding its audit coverage despite resource constraints. The DLFA has also attempted to educate local authorities on government regulations and financial rules, as well as the proper bookkeeping of expenditures and revenues. The XV Finance Commission's guidelines for the Audit Online platform have been communicated to the PRIs. The local body officials have assured the audit teams that they will take action to implement the audit's recommendations.



(PATRICK RAI, SFAS)
Director,
Local Fund Audit/Internal Audit,
Finance Department

Countersigned



(MCP PRADHAN, SFAS)
Secretary - cum - Controller of
Accounts, Finance Department

Place: Gangtok

APPENDICES

APPENDIX- I

INSTITUTIONS AUDITED

During the financial year 2024-25 the following Local Bodies were audited by the Local Fund Audit:

Sl. No	Name of the Institution	Total Units	Total Units covered	%
1.	Gram Panchayat Unit	199	199	100.00
2.	Zilla Panchayat	6	6	100.00
3.	Nagar Panchayat	5	4	80.00
4.	Municipal Council	1	0	100.00
5.	Municipal Corporation	1	1	100.00
	Total	212	210	99.06

1.Panchayati Raj Institutions

a. Gram Panchayat Units

Sl. No.	District	Block	Unit No	GPU	Financial Year Audited
1	Pakyong	Duga	1	Sumin Lingzey	2023-24
2	Pakyong		2	West Pendam	-Do-
3	Pakyong		3	Central Pendam	-Do-
4	Pakyong		5	Budung Kamarey	-Do-
5	Gangtok	Khamdong	42	Sirwani	-Do-
6	Gangtok		43	Chisopani	-Do-
7	Gangtok		44	Khamdong	-Do-
8	Gangtok		45	Dung Dung Thasa	-Do-
9	Gangtok		46	Simik Lingzey	-Do-
10	Gangtok	Martam	38	Samlik Marchak	-Do-
11	Gangtok		39	Namli	-Do-
12	Gangtok		40	Martam Nazitam	-Do-
13	Gangtok		41	Beng Phegyong	-Do-
14	Gangtok	Nandok	15	Gnathang	-Do-
15	Gangtok		29	Assam Lingzey	-Do-
16	Gangtok		30	Bhusuk Naitam	-Do-
17	Gangtok		31	Nandok Saramsa	-Do-
18	Gangtok		32	Rongey Tathangchen	-Do-
19	Gangtok		33	Kopibari Syari	-Do-
20	Pakyong	Pakyong	4	East Pandam	-Do-
21	Pakyong		6	Chalamthang Pacheykhani	-Do-
22	Pakyong		7	Taza	-Do-
23	Pakyong		22	Biring Tareythang	-Do-
24	Pakyong		23	Amba	-Do-
25	Pakyong		24	Pachey Samsing	-Do-
26	Pakyong		25	Namcheybong	-Do-
27	Pakyong		26	Aho Yangtam	-Do-
28	Pakyong		27	Pakyong Yakten	-Do-
29	Pakyong	Parakha	19	Latuk Barapathing	-Do-
30	Pakyong		20	Linkey Parakha	-Do-

Sl. No.	District	Block	Unit No	GPU	Financial Year Audited
31	Pakyong		21	Riwa Machong	-Do-
32	Gangtok	Rakdong Tintek	47	Tumin	-Do-
33	Gangtok		48	Samdong Kambal	-Do-
34	Gangtok		49	Rakdong Tintek	-Do-
35	Gangtok		50	Patuk Singbel	-Do-
36	Gangtok	Ranka	34	Luing Perbing	-Do-
37	Gangtok		35	Ranka	-Do-
38	Gangtok		36	Rey Mendu	-Do-
39	Gangtok		37	Rawtey Rumtek	-Do-
40	Pakyong	Regu	12	Dolepchen	-Do-
41	Pakyong		13	Regoh	-Do-
42	Pakyong		14	Premlakha Subaneydara	-Do-
43	Pakyong		16	Lingtam Phadamchen	-Do-
44	Pakyong		17	Rolep Lamaten	-Do-
45	Pakyong		18	Chujachen	-Do-
46	Pakyong		28	Rongli Changeylakha	-Do-
47	Pakyong	Rhenock	8	Tarpin	-Do-
48	Pakyong		10	Aritar	-Do-
49	Pakyong		9	Rhenock	-Do-
50	Pakyong		11	Sudunglakha	-Do-
51	Mangan	Chungthang	15	Chungthang	-Do-
52	Mangan		16	Shipgyer	-Do-
53	Mangan		24	Lachen Dzumsa	-Do-
54	Mangan		25	Lachung Dzumsa	-Do-
55	Mangan	Kabi	1	Kabi Rongpa	-Do-
56	Mangan		2	Lingchom Tingda	-Do-
57	Mangan		3	Phensang	-Do-
58	Mangan		4	Men Rongong	-Do-
59	Mangan		5	Rongong Tumlong	-Do-
60	Mangan		6	Navey Shotak	-Do-
61	Mangan		8	Lingdok Namphong	-Do-
62	Mangan		51	Kyongnosla	-Do-
63	Mangan	Mangan	8	Ramthang Tangyek	-Do-
64	Mangan		9	Namok Swayem	-Do-
65	Mangan		10	Mangshila Tibuk	-Do-
66	Mangan		11	Tingchem Chadey	-Do-
67	Mangan		12	Ringhim Nampatam	-Do-
68	Mangan		13	Singhik	-Do-
69	Mangan		14	Tung Naga	-Do-
70	Mangan	Passingdong	17	Lingthem Lingdem	-Do-
71	Mangan		18	Passingdang Safo	-Do-
72	Mangan		19	Tingvong	-Do-
73	Mangan		20	Sakyong Pentong	-Do-
74	Mangan		21	Lingdong Barfok	-Do-
75	Mangan		22	Hee Gyathang	-Do-
76	Mangan		23	Lum Gor Sangtok	-Do-
77	Namchi	Namchi	27	Rong Bul	-Do-
78	Namchi		28	Maniram Phalidara	-Do-
79	Namchi		29	Kitam Manpur	-Do-
80	Namchi		30	Mikkhola Singithang	-Do-

Sl. No.	District	Block	Unit No	GPU	Financial Year Audited
81	Namchi		31	Boomtar Salleybung	-Do-
82	Namchi		32	Sorok Shyanpani	-Do-
83	Namchi		34	Assangthang	-Do-
84	Namchi		37	Mamely Kamrang	-Do-
85	Namchi		38	Tingrithang	-Do-
86	Namchi		39	Damthang	-Do-
87	Namchi			Kamrang	-Do-
88	Namchi	Namthang	13	Rameng-Nizrameng	-Do-
89	Namchi		14	Perbing-Dovan	-Do-
90	Namchi		15	Chuba Phong	-Do-
91	Namchi		16	Namthang Maneydara	-Do-
92	Namchi		17	Nagi Karek	-Do-
93	Namchi		18	Kateng Pamphok	-Do-
94	Namchi		19	Turung Mamring	-Do-
95	Namchi		20	Tanzi Bikmat	-Do-
96	Namchi		21	Rateypani	-Do-
97	Namchi			Saprey Naghi	-Do-
98	Namchi	Poklok Nandugaon	33	Salghari	-Do-
99	Namchi		35	Poklok Denchung	-Do-
100	Namchi		36	Tinik Chisopani	-Do-
101	Namchi			Denchong	-Do-
102	Namchi	Ravong	7	Rabong-Sangmo	-Do-
103	Namchi		44	Legship	-Do-
104	Namchi		45	Kewzing-Bakhim	-Do-
105	Namchi		46	Barfung-Zurung	-Do-
106	Namchi		47	Ralong-Namlung	-Do-
107	Namchi		48	Borong Phamthang	-Do-
108	Namchi			Ravang Berfong	-Do-
109	Namchi			Sangmo Rankay	-Do-
110	Namchi	Sikkip	40	Wak Omchu	-Do-
111	Namchi		41	Sanganath	-Do-
112	Namchi		42	Tinkitam Rayong	-Do-
113	Namchi		43	Lamting Tingmo	-Do-
114	Namchi	Sumbuk (Melli Sumbuk)	22	Sadam Suntoley	-Do-
115	Namchi		23	Mellidara Paiyong	-Do-
116	Namchi		24	Turuk Ramabong	-Do-
117	Namchi		25	Lungchok Kamarey	-Do-
118	Namchi		26	Sumbuk Kartikey	-Do-
119	Namchi			Sadam Rabitar	-Do-
120	Namchi	Temi	8	Ben Namprik	-Do-
121	Namchi		9	Temi	-Do-
122	Namchi		10	Tarku	-Do-
123	Namchi		11	Namphing	-Do-
124	Namchi		12	Barnayak Tokal	-Do-
125	Namchi	Yangang	1	Lingi	-Do-
126	Namchi		2	Paiyong	-Do-
127	Namchi		3	Kolthang Tokday	-Do-
128	Namchi		4	Niya-Mangzing	-Do-
129	Namchi		5	Sripatam-Gagyong	-Do-
130	Namchi		6	Yangang-Rangang	-Do-

Sl. No.	District	Block	Unit No	GPU	Financial Year Audited
131	Gyalshing	Arithang Chongrong	1	Karzi Mangnam	-Do-
132	Gyalshing		2	Dhupidara Narkhola	-Do-
133	Gyalshing		3	Kongri Labdang	-Do-
134	Gyalshing		4	Tashiding	-Do-
135	Gyalshing		5	Arithang Chongrang	-Do-
136	Soreng	Chumbong	39	Gelling Baiguney	-Do-
137	Soreng		40	Samsing Pipaley	-Do-
138	Soreng		41	Chakung	-Do-
139	Soreng		42	Mendogaon Berbotey	-Do-
140	Soreng		43	Chumbong	-Do-
141	Soreng	Daramdin	44	Zoom	-Do-
142	Soreng		55	Rumbuk	-Do-
143	Soreng		56	Upper Thambong	-Do-
144	Soreng		57	Lower Fambong	-Do-
145	Soreng		58	Lungchok Salyangdang	-Do-
146	Soreng		59	Siktam Tikpur	-Do-
147	Soreng		60	Okhrey	-Do-
148	Soreng	Dentam	61	Ribdi Bhareng	-Do-
149	Gyalshing		17	Sardong-Lungzik	-Do-
150	Gyalshing		18	Bongten Sapong	-Do-
151	Gyalshing		19	Karmatar-Gyaten	-Do-
152	Gyalshing		20	Maneybung	-Do-
153	Gyalshing		21	Sopakha	-Do-
154	Gyalshing		22	Dentam	-Do-
155	Gyalshing		23	Sangkhu Radhu Khandu	-Do-
156	Gyalshing		24	Hee	-Do-
157	Gyalshing	Gyalshing		Begha	
158	Gyalshing		11	Darap Nambu	-Do-
159	Gyalshing			Nambu Sindrabong	-Do-
160	Gyalshing		12	Singyang-Chumbong	-Do-
161	Gyalshing		13	Yangten	-Do-
162	Gyalshing		14	Gyalshing-Omchung	-Do-
163	Gyalshing		15	Yangthang	-Do-
164	Gyalshing		16	Lingchom-Tikjya	-Do-
165	Gyalshing	Kaluk		Tikjuk Kyongsa	-Do-
166	Soreng		29	Sangadorji	-Do-
167	Soreng		30	Tadong-Rinchenpong	-Do-
168	Soreng		31	Samdong	-Do-
169	Soreng		32	Deythang	-Do-
170	Soreng	Mangalbaria		Bara Samdong Boom Reshi	-Do-
171	Soreng		33	Parengaon	-Do-
172	Soreng		34	Takothang	-Do-
173	Soreng		35	Suldung-Kamling	-Do-
174	Soreng		36	Mabong-Segeng	-Do-
175	Soreng	Martam (Hee Martam)	37	Khaniserbong Suntale	-Do-
176	Gyalshing		25	Martam	-Do-
177	Gyalshing		26	Pecherek Hee Patal	-Do-
178	Gyalshing		27	Bermiok-Barthang	-Do-
179	Gyalshing	Soreng	28	Chingthang	-Do-
180	Soreng		38	Chota Samdong Arubotey	-Do-

Sl. No.	District	Block	Unit No	GPU	Financial Year Audited
181	Soreng		45	Malbasey	-Do-
182	Soreng		46	Bhudang	-Do-
183	Soreng		47	Soreng	-Do-
184	Soreng		48	Singling	-Do-
185	Soreng		49	Timburbong	-Do-
186	Soreng		50	Tharpu	-Do-
187	Soreng		51	Karthok Bojek	-Do-
189	Soreng		52	Dodak	-Do-
190	Soreng			Mangsari Mangurjung	-Do-
191	Soreng		53	Burikhop	-Do-
192	Soreng			Lower Timburbung	-Do-
193	Gyalshing	Yuksom	6	Gerethang	-Do-
194	Gyalshing		7	Yuksom	-Do-
195	Gyalshing		8	Thingli Khecheopalri	-Do-
196	Gyalshing		9	Meliaching	-Do-
197	Gyalshing		10	Rimbi Tingbrum	-Do-
198	Gyalshing			Thingling	-Do-
199	Gyalshing			Berfok Chandabong	-Do-

b. Zilla Panchayat

Sl. No.	Name of Zilla Panchayat	Financial Years Audited
1.	Gangtok Zilla Panchayat	2023-24
2.	Pakyong Zilla Panchayat	-Do-
3.	Gyalshing Zilla Panchayat	-Do-
4.	Soreng Zilla Panchayat	-Do-
5.	Mangan Zilla Panchayat	-Do-
6.	Namchi Zilla Panchayat	-Do-

2. Municipalities

a. Nagar Panchayat

Sl. No.	Name of Nagar Panchayat	Financial Years Audited
1.	Mangan Nagar Panchayat	2022-23 & 2023-24
2.	Singtam Nagar Panchayat	-Do-
3.	Rangpo Nagar Panchayat	-Do-
4.	Jorethang Nayabazar Nagar Panchayat	-Do-

b. Municipal Corporation

Sl. No.	Name of Municipal Corporation	Financial Years Audited
1.	Gangtok Municipal Corporation	2022-23

APPENDIX- II
STATEMENT SHOWING THE FINANCIAL POSITION OF GRAM PANCHAYAT
UNITS for the FY 2023-24 (in Rupees)

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
Baiguney	Samsing Pipaley	15th FC	2734754	550378	3285132	0	3285132
		5th SFC	1206843	902331	2109174	1777629	331545
		OSR	38399	133936	172335	120343	51992
		GIA	1769678	1345655	3115333	2947009	168324
	Zoom	15th FC	2634420	656432	3290852	435515	2855337
		SFC/OSR	1880335	1233767	3114102	1558553	1555549
		GIA	561264	2397364	2958628	2432948	525680
	Mabong Segeg	15th FC	1328867	1228658	2557525	732226	1825299
		OSR	270546	1745259	2015805	726854	1288951
		SFC	3139363	1207234	4346597	1307174	3039423
	Gelling Baiguney	15th FC	1787986	529875	2317861	470199	1847662
		SFC/GIA	932447	2772989	3705436	3165308	540128
		OSR	38357	164123	202480	195506	6974
Mangalbarey	Takuthang Chuchen	15th FC	2322396	1379446	3701842	805671	2896171
		5th SFC	2865948	2736595	5602543	1776277	3826266
		OSR/GIA	221157	1578081	1799238	1663507	135731
	Suldung Kamling	15th FC	3151027	1940904	5091931	1383471	3708460
		SFC/GIA	3200855	3386920	6587775	3985205	2602570
		OSR	69019	224972	293991	265460	28531
	Parengaon	15th FC	1401616	835264	2236880	695652	1541228
		SFC/GIA/O SR	1913745	2369990	4283735	1517160	2766575
	Khanisherbong Suntaley	15th FC	2154558	962338	3116896	1400270	1716626
		SFC/GIA	1247848	3093410	4341258	2995508	1345750
		OSR	111362	142419	253781	206115	47666
Hee Martam	Martam Nazitam	15th FC	1760471	638930	2399401	1195361	1204040
		SFC/GIA	1778151	2978406	4756557	2869765	1886792
		OSR	161562	176089	337651	209328	128323
		VWSC	4823	36025	40848	39700	1148
	Yangsum	15TH FC	5064773	722157	5786930	2963588	2823342
		SFC	2761901	3572391	6334292	3663260	2671032
		OSR	88912	89424	178336	126800	51536
	Pecherek Hee Patal	15TH FC	1,401,825	431459	1,833,284	694,145	1139139
		SFC/GIA	1734380	2755057	4489437	2205200	2284237
		OSR	144917	222180	367097	140990	226107

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Bermiok Barthang	15TH FC	2451518	995576	3447094	1309652	2137442
		SFC	2091151	3524608	5615759	3642255	1973504
		OSR	128270	220787	349057	156425	192632
		OSR (NEW)	0	205460	205460	472	204988
Kaluk	Tadong Rinchenpo ng	15th FC	4015255	962911	4978166	3528218	1449948
		5th SFC/GIA	2978897	3268160	6247057	2752255	3494802
		OSR	0	71587	71587	2414	69173
		VWSC	2906	1337	4243	450	3793
		BMC	89177	3379	92556	150	92406
	Deythang	15th FC	998407	410199	1408606	919388	489218
		SFC/GIA	2293805	1975474	4269279	2356996	1912283
		OSR	317427	337319	654746	130412	524334
		BMC	88028	2896	90924	0	90924
	Barasamdong Boom Reshi	15th FC	0	593072	593072	0	593072
		SFC/OSR	62689	1501821	1564510	402990	1161520
		GIA	100982	1210694	1311676	1278606	33070
	Samdong Sribadam	15th FC	3681274	653163	4334437	1917517	2416920
		SFC/GIA	3517848	3088965	6606813	3695378	2911435
		OSR	240940	343979	584919	177900	407019
	Sangadorji	15TH FC	3202754	927037	4129791	3135950	993841
		SFC/GIA/SBM	920529	3399082	4319611	2419809	1899802
		OSR	0	97213	97213	33361	63852
Arithang Chongrang	Dhupidara Narkhola	15th FC	1963984	353442	2317426	1524515	792911
		5th SFC/GIA	1870024	2857841	4727865	2421870	2305995
		OSR	206316	158535	364851	121259	243592
		OSR NEW	1000	43001	44001	0	44001
	Kongri Labdang	15th FC	859063	321988	1181051	226271	954780
		SFC/GIA	1557460	2624914	4182374	2376126	1806248
		OSR	36269	134400	170669	160881	9788
	Karjee Mangnam	15th FC	788628	199844	988472	483485	504987
		SFC/GIA	686245	2344565	3030810	2302289	728521
		OSR	53116	137167	190283	137491	52792
	Gerethang Labing	15th FC	3093842	793510	3887352	1287568	2599784
		SFC/GIA	2977034	3820396	6797430	3732178	3065252
		OSR	362838	676102	1038940	443778	595162
	Tashiding	15TH FC	5,401,577	1346151	6,747,728	3,167,994	3579734
		SFC/GIA	4816895	2566650	7383545	2462465	4921080
		OSR	177188	639327	816515	686270	130245

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Arithang Chongrang	15TH FC	1826753	766375	2593128	1477267	1115861
		SFC/GIA	2594443	2902942	5497385	3244420	2252965
		OSR	75401	240642	316043	284174	31869
Yuksum	Rimbi Tingbrum	15TH FC	1115116	405121	1520237	773905	746332
		SFC/GIA	463966	1688894	2152860	1515204	637656
		OSR	54574	199441	254015	186160	67855
	Melli Aching	15TH FC	959008	414666	1373674	699461	674213
		SFC	291936	2022484	2314420	1845444	468976
		OSR	5326	75849	81175	65805	15370
	Thingling	15TH FC	0	445871	445871	0	445871
		SFC/OSR	7962	1930503	1938465	1030680	907785
		OSR (NEW)	0	280688	280688	5000	275688
	Yuksum Dubdi	15th FC	3139580	848722	3988302	1831827	2156475
		5th SFC/GIA	1678659	3758867	5437526	3018268	2419258
		OSR	303581	300047	603628	486974	116654
	Khechiphe ri	15th FC	3413873	439118	3852991	1680303	2172688
		SFC	2117324	2605987	4723311	3446685	1276626
		OSR (OLD)	31451	106908	138359	119256	19103
		OSR (NEW)	0	68793	68793	0	68793
		VWSC	167328	14551	181879	0	181879
Gyalshing	Darap Shingphen g	15th FC	3531925	644635	4176560	1822214	2354346
		5th SFC/GIA	1839459	3259507	5098966	3209593	1889373
		OSR	37420	168233	205653	120525	85128
	Gyalshing Omchung	15th FC	4483646	1237524	5721170	2988189	2732981
		SFC	2728992	3566039	6295031	4217676	2077355
		OSR	63524	234291	297815	292123	5692
		OSR (NEW)	0	489673	489673	361049	128624
		VWSC	114124	3345	117469	0	117469
	Lingchom Tikjek	15th FC	331457	3564573	3896030	1461042	2434988
		5th SFC	4291207	1885245	6176452	2808438	3368014
		GIA	248284	1454074	1702358	1405515	296843
		OSR	361014	207542	568556	203072	365484
	Singyang Chumbung	15TH FC	2666105	2091363	4757468	1878526	2878942
		SFC	2374819	1747764	4122583	678651	3443932
		OSR	212928	687859	900787	412518	488269
		GIA	332016	1731849	2063865	1813133	250732
	Tikjuk Kyongsa	15TH FC	0	481892	481892	389	481503
		SFC	0	1984575	1984575	1177797	806778

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		OSR	0	142437	142437	6039	136398
	Yangtey	15TH FC	1,894,103	2938666	4,832,769	1,883,373	2949396
		SFC	3452729	3728040	7180769	3156210	4024559
		OSR	93081	41676	134757	128697	6060
	Yangthang	15th FC	2867247	658008	3525255	949201	2576054
		SFC/OSR	2426034	4112355	6538389	3708726	2829663
		SALARY	12541	360930	373471	365478	7993
Dentam	Bongten Sampong	15th FC	1571883	629696	2201579	983709	1217870
		5th SFC/GIA/OSR	2327276	2956118	5283394	2202253	3081141
	Mangmo Dentam	15th FC	5304212	678762	5982974	3059470	2923504
		SFC/OSR	2871852	2709427	5581279	3812854	1768425
	Begha	15th FC	0	477277	477277	0	477277
		SFC/OSR	64856	2490403	2555259	1318652	1236607
	Sangkhu Radhu Khandu	15th FC	3656330	1224004	4880334	3576104	1304230
		SFC/OSR	1395074	4951397	6346471	5401864	944607
	Hee	15th FC	3377542	813162	4190704	2736139	1454565
		SFC/GIA/O SR	1136272	4618813	5755085	3824001	1931084
	Sopakha	15th FC	2592018	672208	3264226	2013088	1251138
		SFC/OSR	1656627	2423177	4079804	2335295	1744509
	Gitang Karmatar	15th FC	1596533	593674	2190207	715582	1474625
		SFC/GIA/O SR	2419042	3914329	6333371	3477054	2856317
	Maneybon g	15th FC	2718901	691278	3410179	1903576	1506603
		SFC/OSR	1543433	3467487	5010920	2655619	2355301
	Sardong Lungzik	15th FC	901992	511366	1413358	248649	1164709
		SFC	33118	1605589	1638707	1222892	415815
		OSR	0	159923	159923	72187	87736
		BMC	85365	2530	87895	0	87895
Duga	Central Pendam	15th FC	5667173	2017287	7684460	5339525	2344935
		5th SFC	2987715	3620903	6608618	2652707	3955911
		OSR/GIA	160975	2139244	2300219	1876715	423504
	Budhang Kamerey	15th FC	3102406	896635	3999041	2653323	1345718
		SFC	2630332	1619190	4249522	1722126	2527396
		OSR	56724	104699	161423	10006	151417
		SAL	3024	2122826	2125850	1808941	316909
	West pendam	OSR (OLD)	138813	735945	874758	874758	0
		SFC/GIA	1858369	5708987	7567356	6134998	1432358

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		OSR (NEW)	347032	163068	510100	209341	300759
		15th FC	7220396	2188595	9408991	6524668	2884323
Melli Sumbuk	Mellidara	OSR	31076	857594	888670	839367	49303
		4TH SFC	12012	456	12468	0	12468
		5th SFC/GIA	1207486	6086609	7294095	6535965	758130
		15TH FC	4355712	1952619	6308331	3481551	2826780
	Turuk Ramabong	5th SFC/GIA	3106681	3124436	6231117	2978797	3252320
		4TH SFC	131310	4984	136294	0	136294
		OSR	408746	198941	607687	283115	324572
		VWSC	166197	67544	233741	0	233741
		BMC	86383	1683	88066	25000	63066
		15TH FC	4756573	953881	5710454	837809	4872645
	Sumbuk Kartikey	15th FC	4730926	833881	5564807	1857538	3707269
		SFC	2173885	3340140	5514025	3590410	1923615
		OSR (OLD)	73308	136645	209953	171680	38273
		OSR (NEW)	0	76531	76531	88	76443
	Sukrabarey Suntaley	OSR	1106098	1111691	2217789	396571	1821218
		5TH SFC	7340656	4321140	11661796	3945627	7716169
		15th FC	6618898	814674	7433572	1297921	6135651
	Sadam Rabitar	15th FC	0	339752	339752	0	339752
		SFC	0	1583827	1583827	134751	1449076
		OSR	414694	409158	823852	475323	348529
	Lungchok Kamerey	SAL	235459	12053	247512	205815	41697
		SFC/GIA/SB M	1545242	3539986	5085228	1878808	3206420
		OSR	124470	328223	452693	353877	98816
		15TH FC	1914672	573172	2487844	699339	1788505
		BMC	62190	1826	64016	0	64016
Namchi	Boomtar	15th FC	2905484	554601	3460085	1464103	1995982
		OSR	0	734601	734601	555196	179405
		SFC/OSR (OLD)	2710220	2600475	5310695	3024387	2286308
	Damthang	15th FC	2207971	541318	2749289	587335	2161954
		OSR	0	171617	171617	59	171558
		5TH SFC	4545586	4161208	8706794	3251289	5455505
	Sorok Shyampani	15th FC	2286607	706862	2993469	1206810	1786659
		SFC	3009092	3470010	6479102	4707134	1771968
		OSR	152231	349067	501298	383576	117722

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Maniram Phalidara	14THFC / 4TH SFC	7723158	1379922	9103080	5316867	3786213
		5th SFC/ 15TH FC	828164	7551456	8379620	4177480	4202140
		OSR	372206	458055	830261	556657	273604
	Tingrithang	15th FC	2614562	475936	3090498	0	3090498
		5th SFC	2006702	3581218	5587920	3024818	2563102
		OSR	0	95099	95099	12530	82569
	Rongbul	15th FC	1547039	443757	1990796	662213	1328583
		SFC/OSR	3733973	3194717	6928690	2369242	4559448
	Kitam Manpur	4TH SFC	16365	941	17306	0	17306
		SALARY	661173	1485936	2147109	1600658	546451
		OSR	0	313364	313364	195313	118051
		5TH SFC	1003203	1453712	2456915	426715	2030200
		15th FC	2146619	447295	2593914	333529	2260385
	Kamrang	15th FC	0	466573	466573	0	466573
		OSR	0	119388	119388	59	119329
		SFC	1985	2571951	2573936	1764326	809610
	Assangthang	15th FC	1406849	541964	1948813	561227	1387586
		SFC	1469324	3979433	5448757	3056659	2392098
		OSR NEW	0	102476	102476	65339	37137
		OSR OLD	11005	206403	217408	215525	1883
	Mickhola Singithang	SFC/GIA (N) (NEW)	2546439	3031831	5578270	2963138	2615132
		OSR NEW	0	116260	116260	44202	72058
		SFC/GIA (OLD)	17061	648	17709	0	17709
		OSR OLD	187169	36305	223474	220958	2516
		15TH FC	2161011	562809	2723820	1008610	1715210
	Mamley	15th FC	3779443	401212	4180655	1594712	2585943
		OSR	23489	132705	156194	92810	63384
		5TH SFC / GIA	3174012	2207252	5381264	2850947	2530317
Namthang	Tangzi Bikmat	5TH SFC/ OSR (OLD)	1761022	4059489	5820511	4109213	1711298
		5TH SFC/ OSR (NEW)	3850	181172	185022	64265	120757
		15TH FC	1363586	578205	1941791	271417	1670374
	Ramen Nizrameng	15th FC	1311710	479177	1790887	806726	984161

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		OSR/5TH SFC /14th FC/GIA/ 4TH SFC/SBM	2397728	3146269	5543997	2379606	3164391
		OSR (OLD)	1118228	103609	1221837	0	1221837
	Kabrey Karek	OSR	0	69863	69863	21088	48775
		5TH SFC/GIA	6517893	3754245	10272138	5610658	4661480
		15TH FC	4348232	782183	5130415	286000	4844415
	Kateng Pamphok	15th FC	2728744	759419	3488163	1479319	2008844
		SFC	2327258	5037842	7365100	3384590	3980510
		OSR	0	72515	72515	0	72515
	Nagi Ruchung	15th FC	0	297244	297244	0	297244
		5th SFC/ GIA	29019	1176309	1205328	1176412	28916
		OSR	0	87137	87137	6000	81137
	Namthang Maneydara	5TH SFC	828254	1597369	2425623	1106184	1319439
		15TH FC	2028669	892015	2920684	1667971	1252713
		OSR/GIA	82734	2182988	2265722	2203375	62347
	Rateypani	15th FC	1475816	575446	2051262	503453	1547809
		SFC/OSR	925931	2691678	3617609	2798490	819119
		SAL	65098	1788694	1853792	1700807	152985
	Turung Mamring	15th FC	2626328	933538	3559866	1823280	1736586
		BMC	86189	17579	103768	49990	53778
		5TH SFC	3765253	3957186	7722439	4144282	3578157
		OSR (NEW)	0	1199493	1199493	769297	430196
		OSR (OLD)	161042	807828	968870	850283	118587
		4TH SFC	21969	93	22062	22062	0
	Perbing Dovan	15th FC	1894596	545382	2439978	516720	1923258
		OSR	416535	137766	554301	339562	214739
		SFC	3403748	3255384	6659132	2115213	4543919
	Chuba Phong	15th FC	2329215	503799	2833014	838320	1994694
		OSR	2058	21233	23291	9600	13691
		SAL	65285	1649604	1714889	1435867	279022
		5TH SFC	1175570	1683265	2858835	1353156	1505679
Poklok	Tinik Chisopani	15th FC	3008787	1026880	4035667	1584220	2451447
		SFC	1985938	4982957	6968895	3656054	3312841
		OSR	33252	263138	296390	102105	194285
	Poklok	15th FC	2649315	571325	3220640	1345010	1875630
		SFC/OSR	2618723	3268686	5887409	2791172	3096237

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Salghari	OSR (NEW)	0	25700	25700	472	25228
		ORS OLD	30332	56058	86390	40580	45810
		SFC	1833051	3556493	5389544	3016323	2373221
		15th FC	1512231	640116	2152347	1350776	801571
	Denchung	15th FC	0	316000	316000	0	316000
		5TH SFC/OSR	60698	1913961	1974659	1376441	598218
Sikkip	Sanganath	15th FC	1401438	300502	1701940	747274	954666
		SFC/OSR	1739647	2359201	4098848	1834576	2264272
	Wok	15th FC	2569397	618511	3187908	1064810	2123098
		5th SFC/GIA	3927358	3702529	7629887	2687676	4942211
		OSR	80810	216553	297363	12000	285363
	Lamting Tingmo	15th FC	1619288	744090	2363378	1536631	826747
		5th SFC/GIA	903844	2592428	3496272	2386171	1110101
		OSR	74660	152675	227335	152810	74525
Chungthang	Chungthang	GIA/SFC	7107926	5507069	12614995	4164645	8450350
		15TH FC	7849338	1351001	9200339	5507069	3693270
		OSR	949468	248227	1197695	66500	1131195
	Lachen Dzumsa	SFC	4489722	1587450	6077172	901175	5175997
		15TH FC	5004526	954529	5959055	58585	5900470
		OSR	896757	39726	936483	124915	811568
		GIA	353812	1362169	1715981	1435307	280674
	Lachung Dzumsa	SFC/GIA/OSR	1816960	2906567	4723527	2734601	1988926
		15TH FC	1939327	822224	2761551	58585	2702966
	Shipgyer	5TH SFC	1056128	2771239	3827367	2335769	1491598
		15TH FC	1344457	268450	1612907	592351	1020556
		OSR	10434	15569	26003	10000	16003
Kabi	Rongong Tumlong	15TH FC	2679254	640893	3320147	1615007	1705140
		OSR NEW	0	13698	13698	236	13462
		OSR OLD	655861	554250	1210111	731604	478507
		5TH SFC/GIA	3976730	3799826	7776556	4432936	3343620
	Kabi Rongpa	15TH FC	1372738	675800	2048538	966498	1082040
		5TH SFC	647388	844148	1491536	681737	809799
		GIA	463835	2491359	2955194	2569205	385989
		OSR NEW	0	229368	229368	0	229368
		OSR OLD	231836	47470	279306	13770	265536
	Lingdok	OSR OLD	17762	62470	80232	80232	0

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		OSR NEW	0	149024	149024	90923	58101
		GIA/SAL	372138	2490171	2862309	2458898	403411
		15TH FC	2126903	618751	2745654	1374762	1370892
		5TH SFC	579541	1054750	1634291	976297	657994
	Men Ronrong	OSR NEW	0	339620	339620	0	339620
		5TH SFC/GIA	2963365	1557253	4520618	1954930	2565688
		15TH FC	902092	389355	1291447	501451	789996
		GIA	30696	1279327	1310023	1022020	288003
		OSR OLD	178788	105697	284485	157475	127010
		VWSC	5322	76	5398	0	5398
		BRGF	7633	109	7742	0	7742
	Kyongnosla	GIA	437114	1215788	1652902	1084342	568560
		SFC	1547899	1224391	2772290	512993	2259297
		15TH FC	1971073	373471	2344544	281846	2062698
		OSR	98904	393436	492340	196352	295988
	Lingchom Tingda	SFC	1159300	1611542	2770842	1048288	1722554
		15TH FC	1514512	340381	1854893	799578	1055315
		OSR	1060	35066	36126	0	36126
	Phensang	15TH FC	1196331	417700	1614031	766952	847079
		SFC/GIA	2560350	4144934	6705284	4063711	2641573
		OSR	43423	126903	170326	128058	42268
	Navey Shotak	5TH SFC/OSR/GIA	4949783	3609077	8558860	3545267	5013593
		15TH FC	6140628	1166132	7306760	3149727	4157033
Mangan	Singhik Sentam	15TH FC	3216413	885882	4102295	1598573	2503722
		SFC/GIA	2425129	3323784	5748913	2451813	3297100
		OSR	253576	651079	904655	611034	293621
	Ramthang Tengyek	15TH FC	1137559	365429	1502988	713128	789860
		5TH SFC/GIA	1652219	4201905	5854124	3462905	2391219
		OSR	122501	98705	221206	60000	161206
	Toong Naga	15TH FC	2503513	661739	3165252	995929	2169323
		TRADE LICENCE	202483	111613	314096	88668	225428
		5TH SFC/GIA	2137842	3796371	5934213	3440997	2493216
	Ringhim Nampitam	OSR/GIA/S FC	701900	2842250	3544150	2468845	1075305

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		5TH SFC/ GIA	0	2937306	2937306	2357884	579422
		15TH FC	2231213	797114	3028327	1623237	1405090
	Tingchim Chandey	15TH FC	1495666	691546	2187212	1504400	682812
		5TH SFC/ GIA	586714	3558903	4145617	3631900	513717
		OSR	43935	195627	239562	133619	105943
	Mangshila Tibuk	15TH FC	2310995	717313	3028308	2390548	637760
		5TH SFC/ GIA	1791809	3855059	5646868	4599397	1047471
		OSR	47332	383750	431082	162677	268405
	Namok Swayem	15TH FC	1567992	475101	2043093	1701680	341413
		GIA	3777	1669722	1673499	1648322	25177
		5TH SFC	390049	1626714	2016763	1510222	506541
		GIA DEDUCTIO N	2970	32581	35551	32672	2879
		OSR	0	92073	92073	5472	86601
Passingdong	Hee Gyathang	SFC/ 14TH FC/ GIA	3182450	1770477	4952927	1997153	2955774
		15TH FC	2587862	530540	3118402	870496	2247906
		OSR	22263	64892	87155	50301	36854
	Sakyong Pentong	GIA/SIG	1612643	2471403	4084046	2313781	1770265
		15TH FC	555208	225486	780694	184310	596384
		GIA	180399	588116	768515	577771	190744
		OSR	305918	48129	354047	247882	106165
	Tingvong	SFC/ 14TH FC/ GIA	1682926	1255498	2938424	779506	2158918
		GIA	193317	1463807	1657124	1227728	429396
		15TH FC	1287624	334382	1622006	688144	933862
		OSR (NEW)	0	40487	40487	413	40074
		OSR (OLD)	97222	97312	194534	191000	3534
	Passingdong Safoo	15TH FC	1079029	287354	1366383	432320	934063
		SFC /GIA	2439939	1643546	4083485	1768062	2315423
		GIA/OSR	284002	1002103	1286105	941950	344155
		OSR (NEW)	0	59200	59200	59	59141
	Lumgor Sangtok	15TH FC	1,970,136	600512	2,570,648	990,064	1580584
		5TH SFC/GIA	2823327	3095512	5918839	2598213	3320626
	Lingthem Lingdem	15TH FC	2972925	759034	3731959	1388587	2343372
		SFC/OSR	2130994	3542073	5673067	2131568	3541499

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Lingdok Berfok	15TH FC	1696285	428091	2124376	386927	1737449
		SFC	845628	1423265	2268893	1144562	1124331
		OSR	58689	41075	99764	81972	17792
Temi	Bermiok Tokal	15TH FC	2513708	830932	3344640	577152	2767488
		SFC/OSR /GIA	3295913	3038986	6334899	2375068	3959831
		OSR/5TH SFC	3295913	2928724	6224637	2298318	3926319
	Namphing	15TH FC	7973458	2062070	10035528	3031073	7004455
		5TH SFC/GIA	5211520	5166460	10377980	4549622	5828358
		OSR	686423	743046	1429469	702584	726885
	Temi	15TH FC	3287460	1093984	4381444	1338245	3043199
		OSR(OLD)	199495	228605	428100	165340	262760
		OSR(NEW)	0	254734	254734	18088	236646
		5TH SFC/GIA	3380081	4438287	7818368	4334037	3484331
	Ben Namprick	14THFC/GI A	1993967	36516	2030483	324580	1705903
		OSR	193837	213376	407213	340914	66299
		15TH FC	5488049	1293802	6781851	2172824	4609027
		5TH SFC/GIA	8083786	4621516	12705302	4269071	8436231
	Tarku Tenek	15TH FC	3154793	901060	4055853	1550516	2505337
		SFC	4909227	3291216	8200443	6359445	1840998
		OSR	0	2632945	2632945	2169581	463364
Yangang	Nia Magzine	5TH SFC/ GIA	3993531	3103729	7097260	3156426	3940834
		OSR (OLD)	666823	188200	855023	686982	168041
		OSR (NEW)	0	1675122	1675122	472	1674650
		15TH FC	3905859	904280	4810139	2793908	2016231
	Lingi Sokpay	OSR (NEW)	1224362	2857606	4081968	1742454	2339514
		15TH FC	3321014	757020	4078034	2026790	2051244
		5TH SFC	1224362	2835610	4059972	1720459	2339513
	Sripatam Gangyong	15TH FC	3172570	1430263	4602833	1869060	2733773
		OSR/GIA/S FC	2153621	5950085	8103706	5931871	2171835
	Lingmo Paiyong	SFC/GIA	1561014	3120386	4681400	3364607	1316793
		15TH FC	2727684	790569	3518253	1228900	2289353
		OSR	56145	204057	260202	30762	229440
	Yangang Rangrang	GIA/SFC	3,671,974	5293790	8,965,764	5,121,505	3844259

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		OSR	296889	601865	898754	730853	167901
		15TH FC		0	0	0	0
	Kolthang Tokdey	SFC/GIA/OSR	2832413	4032336	6864749	4221964	2642785
		15TH FC	2540398	1195680	3736078	2034161	1701917
Ranka	Rey Mindu	OSR	175817	617350	793167	528649	264518
		15th FC	2712516	1565910	4278426	1629105	2649321
		GIA	38067	1729919	1767986	1686989	80997
		SFC	1464845	2835024	4299869	2409787	1890082
	Rawtey Rumtek	15TH SFC	4013308	1304265	5317573	2152632	3164941
		5th SFC	2877348	2224000	5101348	1960244	3141104
		OSR	210105	258650	468755	382099	86656
		14th FC	184899	0	184899	184899	0
		GIA	129900	75197	205097	205097	0
		4th SFC	479026	0	479026	479026	0
		OSR	1501	132205	133706	41047	92659
		JJM		122183	122183	118	122065
	Luving Perbing	5th SFC	1798176	1904873	3703049	1808457	1894592
		15th FC	2402122	808108	3210230	1291448	1918782
		OSR	12302	402262	414564	141876	272688
		GIA	154626	2272210	2426836	1835546	591290
		Trade License	158733	146636	305369	220543	84826
	Ranka	5TH SFC	1118911	2510018	3628929	1748555	1880374
		OSR	25420	711579	736999	537096	199903
		15th FC	2519178	496386	3015564	427791	2587773
		OSR(Trade License)	182529	121565	304094	304094	0
		Salary	276897	1830043	2106940	1749459	357481
		JJM	0	645854	645854	0	645854
Ravangla	Rabong Berfong	SFC	75688	3694695	3770383	1720689	2049694
		OSR	5547	155991	161538	105211	56327
		15th FC	0	1277292	1277292	0	1277292
	Berfong Jarrong	15th FC	5569577	1362350	6931927	3758360	3173567
		5th SFC	3959290	3589586	7548876	3903487	3645389
		OSR	91345	206112	297457	213000	84457
	Tinkitam	OSR	309296	173295	482591	347491	135100
		15th FC	1724572	551120	2275692	880192	1395500
		GIA	872912	992900	1865812	1361955	503857
		5th SFC	987191	867320	1854511	509950	1344561

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		5th SFC (SIG)	665696	862243	1527939	688695	839244
	Kewzing	15th FC	2410454	921481	3331935	773709	2558226
		SFC/GIA	4680605	3882514	8563119	2721600	5841519
		OSR	19164	429571	448735	139221	309514
	Sangmoo Rankay	OSR	34242	388903	423145	202228	220917
		GIA	75530	802500	878030	732730	145300
		5th SFC	0	1466000	1466000	534166	931834
		15th FC	0	661431	661431	0	661431
	Ralang Namlung	OSR	721037	495582	1216619	468946	747673
		15th FC	3254138	828250	4082388	732219	3350169
		SFC	3029179	1356000	4385179	93530	4291649
		GIA	154640	2117766	2272406	1691513	580893
	Rabong Khop	15th FC	3270154	813182	4083336	1382052	2701284
		5th SFC	3163935	1058432	4222367	1278406	2943961
		OSR	146310	297570	443880	247483	196397
		GIA	773405	2452854	3226259	2727006	499253
	Borong Phamthang	OSR	463818	144696	608514	407351	201163
		GIA	496388	1836560	2332948	1653136	679812
		5th SFC	1829816	1842327	3672143	762524	2909619
		15th FC	1894945	874313	2769258	614882	2154376
		OSR/Trade Licence	120901	43650	164551	63795	100756
	Legship	OSR	25424	551816	577240	235444	341796
		5th SFC	1370875	1296000	2666875	970940	1695935
		GIA	396280	957000	1353280	1050780	302500
		15th FC	1587090	737844	2324934	1052601	1272333
Soreng	Kartok Bojek	5th SFC	536254	1103380	1639634	601758	1037876
		15th FC	792371	211229	1003600	180705	822895
	Malbasey	OSR	38288	42791	81079	18733	62346
		15th FC	1443116	454471	1897587	1405117	492470
		5th SFC	392649	2099164	2491813	2063808	428005
	Mangshari	5th SFC	524371	1299783	1824154	1398312	425842
		15th FC	1662373	614835	2277208	592990	1684218
		OSR	0	97736	97736	0	97736
	Singling	15th FC	2000877	773755	2774632	952568	1822064
		5th SFC	3514929	3788069	7302998	3568400	3734598
		OSR	59468	151908	211376	145043	66333
	Budhang	15th FC	1849312	476153	2325465	1195137	1130328
		5th SFC	1032266	2525789	3558055	2735834	822221

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		OSR	44093	115458	159551	82559	76992
	Lower Timburbon g	5th SFC/OSR	38020	1643240	1681260	1031800	649460
		15th FC	0	338256	338256	0	338256
	Tharpu	15TH fc	706297	362226	1068523	0	1068523
		SFC	968714	1250000	2218714	799347	1419367
		OSR		76000	76000	18836	57164
	Soreng	15TH fc	1448560	621566	2070126	1418573	651553
		SFC/OSR	429864	1097955	1527819	846664	681155
		OSR	1850	78705	80555	77337	3218
Chumbung	Chumbung	15TH FC	2175133	612278	2787411	86660	2700751
		OSR/GIA/S FC	3651822	3815141	7466963	2073580	5393383
		OSR	1	279980	279981	0	279981
		OSR/VWSC	2500	239192	241692	0	241692
		OSR	216303	119623	335926	133387	202539
	Mendogao n Borbotey	15TH FC	1101354	309000	1410354	256067	1154287
		OSR	18707	119787	138494	41287	97207
		GIA/SFC	978010	2911292	3889302	2163952	1725350
	Chotasamd ong	15TH FC	967814	508775	1476589	931282	545307
		SFC	2280376	1994451	4274827	2680119	1594708
		OSR	58745	3069	61814	60000	1814
	Chakung	15TH FC	2014267	627769	2642036	307731	2334305
		SFC/GIA/O SR/14TH FC	3701944	3854781	7556725	2605437	4951288
		OSR (Saving)	233991	122963	356954	356954	0
		OSR (Current)	0	315031	315031	25000	290031
Daramdin	Siktam Tikpur	15TH FC	3142241	561129	3703370	1592822	2110548
		OSR/SFC	2386028	1020402	3406430	1645862	1760568
		GIA	31385	1458072	1489457	1190739	298718
	Ribdi Bhareng	15TH FC	1170863	904060	2074923	525034	1549889
		OSR/SFC	2234287	1881273	4115560	1563373	2552187
	Upper Thambung	15TH FC	3521148	1923460	5444608	1564498	3880110
		OSR	332960	304954	637914	288102	349812
		GIA	124744	1858090	1982834	1678077	304757
		SFC	4433348	1841219	6274567	1683596	4590971
	Okhrey	15TH FC	2137360	573989	2711349	587838	2123511
		OSR/SFC/GI A	3535953	3589570	7125523	2533278	4592245
		15TH FC	4463356.3	881914	5345270.3	1237382	4107888.3

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Fambong	GIA/ Panchayat Honorarium & Discretionaries	46357	1756824	1803181	1566031	237150
		OSR/SFC/GIA	4470796	1713245	6184041	468164	5715877
	Rumbuk	15TH FC	2452860	617397	3070257	1292502	1777755
		SFC	2571165	2116048	4687213	2475133	2212080
		OSR	115416	138469	253885	141474	112411
		GIA	2146	1584072	1586218	1364551	221667
	Dodak	15TH FC	1831098	717039	2548137	0	2548137
		OSR	0	435558	435558	36188	399370
		SFC	2904284	2689625	5593909	1769540	3824369
		GIA	354384	1437810	1792194	1577435	214759
	Lungchok Salangdan g	15TH FC	2168411	1268088	3436499	1225488	2211011
		GIA	219269	2246367	2465636	2279648	185988
		OSR/SFC	3458092	2421459	5879551	1205114	4674437
	Buriakhop	15TH FC	1165249	443873	1609122	4639	1604483
		OSR	2700	170484	173184	83472	89712
		GIA/SFC	1936434	2549485	4485919	1533627	2952292
	Saprenagi	GIA	78429	805519	883948	462500	421448
		15th FC	246480	501677	748157	72601	675556
Martam	Namli	15TH FC	2011512	878755	2890267	1206112	1684155
		5TH SFC	1158134	1639000	2797134	1834543	962591
		OSR (Old A/C)	61260	375983	437243	417455	19788
		OSR(New A/C)	3000	413231	416231	383951	32280
		GIA	4090	1016810	1020900	918425	102475
	Marchak	15TH FC	1483462	823298	2306760	1349464	957296
		5TH SFC	793180	1646221	2439401	1361161	1078240
		OSR (Old A/C)	43781	544436	588217	537882	50335
		OSR(New A/C)	3000	317477	320477	241220	79257
		GIA	98142	1518790	1616932	1579318	37614
	Beng Phegyong	15TH FC	2017540	1090257	3107797	1623947	1483850
		SFC	1552078	1989237	3541315	2286066	1255249
		OSR & GIA	88866	1743514	1832380	1666121	166259
	Martam Nazitam	15TH FC	3775490	1453666	5229156	2600430	2628726

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		5TH SFC	2455207	2578078	5033285	1909787	3123498
		GIA	20054	487477	507531	399930	107601
		OSR	313242	1662427	1975669	1508756	466913
Rakdong Tintek	Tumin	GIA	0	417099	417099	295076	122023
		15thFC	3393103	436306	3829409	2370768	1458641
		OSR	81637	83049	164686	85000	79686
		SFC	1819395	3115052	4934447	3446456	1487991
	Rakdong	15thFC	4113303	1368535	5481838	2688594	2793244
		SFC	1445712	2372899	3818611	1889744	1928867
		GIA	100742	2743904	2844646	2789457	55189
		OSR1	65727	205833	271560	271560	0
		OSR2	0	441711	441711	21608	420103
	Samdong Kambal	15thFC	2856557	1532664	4389221	2895835	1493386
		SFC/OSR	2619529	1602551	4222080	2524316	1697764
		GIA	0	1732606	1732606	1237369	495237
	Patuk Singbel	15thFC	2145219	1324430	3469649	1183878	2285771
		OSR/SFC	1696312	4627968	6324280	3323840	3000440
Khamdong	Chisopani	15thFC	2973565	894702	3868267	2047290	1820977
		OSR1	517447	60251	577698	569597	8101
		OSR2	0	717812	717812	145482	572330
		GIA	1729	1111982	1113711	956740	156971
		SFC	2081545	1648141	3729686	816382	2913304
	Simik Lingzey	15thFC	913087	478457	1391544	0	1391544
		SFC/OSR	711787	1130328	1842115	1309703	532412
		SFC	0	1424048	1424048	0	1424048
		OSR	0	139531	139531	472	139059
	Sirwani	GIA	0	1579310	1579310	1413685	165625
		SFC	729370	1778027	2507397	893939	1613458
		OSR	59615	143527	203142	130099	73043
		15thFC	2301162	904015	3205177	943262	2261915
	Khamdong	15thFC	4310567	992930	5303497	1038564	4264933
		GIA	79489	2522375	2601864	2327938	273926
		Trade License	187062	27437	214499	99806	114693
		SFC	2859642	1723999	4583641	2007244	2576397
		OSR	724082	232705	956787	430854	525933
	Dung Dung Thasa	OSR1	50249	176411	226660	55071	171589
		SFC	517380	1260322	1777702	129670	1648032
		OSR2	10250	45466	55716	508	55208
		GIA	303815	2340679	2644494	2390474	254020

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
		15thFC	3170444	761095	3931539	459895	3471644
Nandok	Gnathang	15thFC	10237575	2917145	13154720	4668970	8485750
		OSR	14834	301546	316380	90921	225459
		SFC	3456915	6266728	9723643	6187398	3536245
	Rongay Tathangchen	15thFC	3588179	1331607	4919786	2054685	2865101
		OSR	87752	1534486	1622238	1438926	183312
		SFC	1524651	4418229	5942880	4859892	1082988
	Bhusuk Naitam	OSR	13702	148321	162023	99402	62621
		SFC	2053344	3097647	5150991	3586403	1564588
		15thFC	575995	1277027	1853022	1689457	163565
	Nandok Saramsa	15thFC	862898	2206258	3069156	772000	2297156
		SFC	452065	5109755	5561820	4681782	880038
		OSR1	9564	127390	136954	125100	11854
		OSR2	0	461489	461489	316448	145041
	Rongay Tathangchen	15th FC	3588179	1331607	4919786	2054685	2865101
		SFC	1524651	4418229	5942880	4859892	1082988
		OSR	87752	1534486	1622238	1438926	183312
Parkha	Linkey Parakha	OSR1	205379	75370	280749	1520	279229
		OSR2	0	8520	8520	62	8458
		15thFC	2053776	737705	2791481	1440838	1350643
		SFC	1615576	2770177	4385753	2202251	2183502
	Riwa Machong	15thFC	481261	490844	972105	283166	688939
		OSR	266691	22719	289410	75550	213860
		SFC	766636	2286415	3053051	2031734	1021317
	Latuk Chochenpheri	15thFC	1324284	463087	1787371	951162	836209
		SFC	963545	1926510	2890055	1807769	1082286
		OSR	222457	47103	269560	56410	213150
Regu	Regu	15thFC	2629560	673159	3302719	1579258	1723461
		OSR	0	115696	115696	8	115688
		GIA	198211	1456723	1654934	1592215	62719
		SFC/OSR	1640822	1388879	3029701	2020025	1009676
	Rongli Changeylakha	SFC	990055	1268018	2258073	1396653	861420
		OSR	107870	66423	174293	161341	12952
		15thFC	2097299	725103	2822402	1745817	1076585
		GIA	90796	1389600	1480396	1065767	414629
	Chujachen	SFC	1312565	3377907	4690472	2264659	2425813
		15thFC	4782478	1568044	6350522	2324203	4026319
		GIA	303517	1383870	1687387	1103050	584337
		OSR	168004	297174	465178	320565	144613

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
	Premlakha Subaneydara	SFC	1859105	2372318	4231423	2530889	1700534
		OSR	35112	326440	361552	290408	71144
		GIA	2830	1407823	1410653	1366582	44071
		15thFC	1558229	599222	2157451	1615629	541822
	Lingtam Phadamchen	15thFC	943835	550500	1494335	1055024	439311
		SFC	1312257	2386258	3698515	2197617	1500898
		OSR	39236	227371	266607	233143	33464
	Dalapchand	15thFC	1940549	829685	2770234	1106380	1663854
		GIA	132757	1744322	1877079	1830795	46284
		OSR	0	139547	139547	12673	126874
		SFC	1142147	1463528	2605675	1198718	1406957
	Rolep Lamaten	15th FC	1830570	484325	2314895	1325282	989613
		SFC	2816783	1680629	4497412	1390273	3107139
		GIA	277403	1459724	1737127	1539496	197631
		OSR	231732	144961	376693	66330	310363
Pakyong	Pakyong Yaakten	SFC	3248538	3242316	6490854	3258003	3232851
		Trade License	139565	173104	312669	221808	90861
		OSR	157929	213290	371219	317302	53917
		15thFC	2941043	998515	3939558	1367745	2571813
	Taza	OSR	184336	601107	785443	249970	535473
		SFC	3989422	2692274	6681696	3760548	2921148
		15thFC	2210237	616410	2826647	2007140	819507
	Amba	15thFC	2034455	706253	2740708	1379549	1361159
		SFC	2262110	1312071	3574181	322153	3252028
		OSR	1276126	202898	1479024	1322588	156436
		GIA	543572	1475038	2018610	1556667	461943
	Bering Tareythang	OSR	680284	118145	798429	92209	706220
		15thFC	1961159	669459	2630618	1085138	1545480
		SFC	3387196	4315406	7702602	3053580	4649022
	East Pendam	15thFC	3475975	1116360	4592335	1902987	2689348
		Trade License	28259	213719	241978	58458	183520
		GIA	769823	1666895	2436718	1806050	630668
		SFC/OSR	5512657	2906072	8418729	4669931	3748798
	Pachey Samsing	15th FC	2588364	960790	3549154	1463321	2085833
		OSR/SFC	3845230	4236563	8081793	4531467	3550326
	Chalamthang Pacheykhani	15th FC	3682625	984832	4667457	2667304	2000153
		SFC/OSR	1509588	6670283	8179871	5190287	2989584

Block Administrative Centre	Gram Panchayat Unit	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
Namcheybong	Namcheybong	SFC	5350085	5546339	10896424	5707713	5188711
		15thFC	4748903	1690311	6439214	1440296	4998918
		OSR1	909806	624368	1534174	1513052	21122
		OSR2	0	1836787	1836787	1347796	488991
	Sumin Lingzey	15th FC	3371479	940794	4312273	1723317	2588956
		SFC	1222680	2211458	3434138	2349792	1084346
		OSR	44725	114550	159275	156930	2345
	Assam Lingzey	OSR1	128099	404200	532299	236213	296086
		SFC	2033426	2338194	4371620	1589477	2782143
		15thFC	3514306	1220412	4734718	2512840	2221878
		OSR2	126064	481432	607496	606316	1180
		GIA	477440	1507613	1985053	1785418	199635
	Aho Yangtam	OSR	1794163	986820	2780983	1187933	1593050
		SFC	3670787	2581008	6251795	2472774	3779021
		15th FC	3353330	1347450	4700780	2156085	2544695
Rhenock	Sudunglakha	15th FC	1880149	588826	2468975	906625	1562350
		SFC	2449114	2085429	4534543	1736022	2798521
		OSR	776077	626368	1402445	284345	1118100
		GIA	168043	2108312	2276355	1896593	379762
		Child Care	115694	54565	170259	0	170259
		BMC	27643	807	28450	0	28450
	Rhenock	15th FC	7096208	1961013	9057221	3702920	5354301
		SFC	7377701	5518644	12896345	3059089	9837256
		OSR	183850	918382	1102232	544724	557508
	Tarpin	OSR	340775	576387	917162	413055	504107
		SFC	6634650	2277827	8912477	4592949	4319528
		BMC	84658	12116	96774	38965	57809
		15th FC	2317767	624526	2942293	582131	2360162
	Aritar	SFC	3483418	1887646	5371064	1407560	3963504
		15th FC	2769298	1030348	3799646	1282914	2516732
		OSR	1258281	124020	1382301	355427	1026874
		GIA	237793	2197547	2435340	2246785	188555
		GRAND TOTAL	983670384	887550307	1871220691	915119528	956101163

APPENDIX- III

STATEMENT SHOWING THE FINANCIAL POSITION OF ZILLA PANCHAYATS UNITS for the FY 2023-24(in Rupees)

Zilla Panchayat	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Expenditure	Closing Balance
Soreng Zilla Panchayat	Central Finance Commission	0	3366186	3366186	0	3366186
	State Finance Commission	12654763	20559804	33214567	22310188	10904379
	Grants in aid	407168	11433991	11841159	10991683	849476
	Own source of Revenue	0	42602	42602	0	42602
	Misc. fund	6592681	128659	6721340	6654558	66782
	JJM	0	128030491	128030491	128030491	0
	Total	19654612	163561733	183216345	167986920	15229425
Namchi Zilla Panchayat	Admin Account	10701604	26293984	36995588	36059479	936109
	5TH SFC	19719907	29065632	48785539	32470214	16315325
	15TH FC	18283742	7195153	25478895	13508870	11970025
	OSR	367633	397165	764798	247450	517348
	Total	49072886	62951934	112024820	82286013	29738807
Gyalshing Zilla Panchayat	15TH FC	16126294	3910634	20036928	13450483	6586445
	5TH SFC/DEV FUND / DIS GRANT MISC	28102063	69416115	97518178	66760839	30757339
	OSR	799843	3793479	4593322	2722474	1870848
	SALARY	16333602	34247223	50580825	30101960	20478865
	Roof water harvesting	4523269	339144	4862413	427849	4434564
	Innovation Fund	269358	8880	278238	0	278238
	Nirmal gram	3724114	122772	3846886	0	3846886
	BRGF	3554334	117175	3671509	0	3671509
	OSR (OLD)	2739	391990	394729	341708	53021
	Total	73435616	112347412	185783028	113805313	71977715
Mangan Zilla Panchayat	5TH SFC / 15TH FC	4344027	20813324	25157351	24007531	1149820
	GIA	5906740	30248202	36154942	28673355	7481587
	5TH SFC / 15TH FC	8838827	52624553	61463380	44655342	16808038
	Revenue	504339	146019	650358	0	650358
	Total	19593933	103832098	123426031	97336228	26089803
Gangtok Zilla	EFF	0	13395500	13395500	7025754	6369746
	SFC1	0	18949145	18949145	132400	18816745

Zilla Panchayat	Scheme	Opening Balance	Receipt + Interest	Total Receipt	Expenditure	Closing Balance
Panchayat	D&A	38754164	73404424	112158588	88242630	23915958
	SFC2	4846907	28909530	33756437	33661920	94517
	15th FC	16882379	4451135	21333514	14877435	6456079
	OSR	566061	9683040	10249101	9639819	609282
	Total	61049511	148792774	209842285	153579958	56262327
Pakyong Zilla Panchayat	SFC	27118381	53009845	80128226	49898990	30229236
	GIA	0	9073747	9073747	6310845	2762902
	15th FC	0	4568650	4568650	0	4568650
	EFF	0	8618036	8618036	0	8618036
	Total	27118381	75270278	102388659	56209835	46178824
	Grand Total	249924939	666756229	916681168	671204267	245476901

APPENDIX - IV

STATEMENT SHOWING THE SCHEME WISE FINANCIAL POSITION OF NAGAR PANCHAYATS (IN RUPEES)

A. Financial Position of Nagar Panchayats for FY 2022-23 (Figure in Rupees)

Nagar Panchayat	Scheme	Opening Balance	Receipt + Interest	Total receipt	Payment	Closing Balance
Jorethang Naya Bazar	15th FC	3129194	16,707,613	19836807	18393610	1443197
	Revenue	25819	22011921	22037740	15070146	6,967,594
	Other receipts	342739	2049484	2392223	2114547	277676
	Garbage	47,683	924,538	972,221	824646	147,575
	Green Park	128,984	2,087,832	2,216,816	2063876	152,940
	Trade Licence	111,260	1,800,298	1,911,558	1817763	93,795
	Cesspool	209,438	588,541	797,979	727222	70,757
	15th FC	2,909,509	168,027	3,077,536	3076675	861
	SBM	195,075	3,768,628	3,963,703	1830293	2,133,410
	Dev Work	1227682	366,638	1,594,320	1592027	2,293
	Total	8327383	50473520	58,800,903	47510805	11,290,098
Mangan Nagar Panchayat	15TH FC	3211103	4862644	8073747	7564355	509392
	5TH SFC	931064	15047147	15,978,211	10647322	5,330,889
	SBM	150316	2264720	2415036	1388462	1026574
	REVENUE	8855685	6618137	15473822	6635803	8838019
	Total	13148168	28792648	41940816	26235942	15704874
Rangpo Nagar Panchayat	5TH SFC	845017	18847017	19692034	16072811	3619223
	OSR	5255667	16000286	21255953	15155057	6100896
	14TH FC	829186	2890	832,076	813969	18,107
	SBM	250716	3513569	3,764,285	2190188	1,574,097
	15TH FC	7226391	11059355	18285746	17612600	673146
	Total	14406977	49423117	63,830,094	51844625	11,985,469
	Grand Total	35882528	128689285	164571813	125,591,372	38,980,441

B. Financial Position of Nagar Panchayat for FY 2023-24 (Figure In Rupees)

Nagar Panchayat	Scheme	Opening Balance	Receipt + Interest	Total receipt	Payment	Closing Balance
Jorethang Nagar Panchayat	15th FC	1443197	5,078,231	6521428	1584123	4937305
	Revenue	6967594	21191645	28159239	22,396,551	5,762,688
	Other receipts	277676	792882	1070558	1067500	3058
	Garbage	147,575	2,495,819	2,643,394	2570559	72,835
	Green Park	152,940	1,675,272	1,828,212	1737235	90,977
	Trade Licence	93,795	2,061,953	2,155,748	2044574	111,174
	Cesspool	70,757	929,500	1,000,257	926063	74,194
	15th FC	861	144,466	145,327	144517	810
	SBM	2,133,410	1,871,354	4,004,764	3939003	65,761
	Dev Work	2293	69	2,362	0.00	2,362.00
	Total	11290098	36,241,191	47,531,289	36410125	11,121,164
Mangan Nagar Panchayat	15TH FC	509392	2540835	3050227	509427	2540800
	5TH SFC	5330889	9647416	14,978,305	11459099	3,519,206
	SBM	1026574	1877341	2903915	2305498	598417
	Revenue	8838019	8454980	17292999	12184499	5108500
	Total	15704874	22520572	38225446	26458523	11766923
Rangpo Nagar Panchayat	5TH SFC	3619223	13720882	17340105	16941892	398213
	OSR	6100896	20473169	26574065	23114151	3459914
	14TH FC	18107	245875	263982	263,847	135
	SBM	1574097	3063969	4638066	3,024,931	1,613,135
	15TH FC	673146	5724711	6397857	631429	5766428
	Total	11985469	43228606	55214075	43,976,250	11,237,825
	Grand Total	38980441	101,990,369	140970810	106,844,898	34,125,912

APPENDIX - V

STATEMENT SHOWING THE SCHEME WISE FINANCIAL POSITION OF GANGTOK MUNICIPAL CORPORATION (in Rupees)

A. Financial Position of Gangtok Municipal Corporation for the FY 2022-23 (Figure In Rupees)

Scheme	Opening Balance	Receipt + Interest	Total Receipt	Payment	Closing Balance
15TH FC	15259970	102392248	117652218	83297442	34354776
Revenue (Offline)	67175085	147428568	214603653	185156776	29446877
Total	82435055	249820816	332255871	268454218	63801653